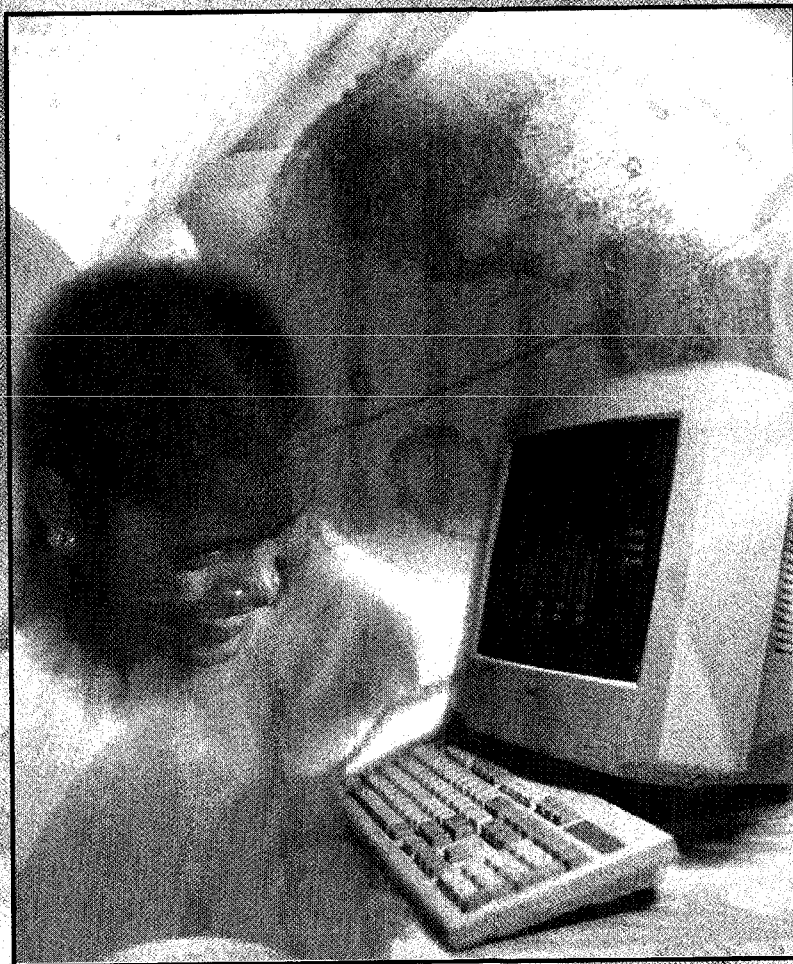


1 9 9 5

16499 vol.1
March 1997

Evaluation Results

Volume I



Linda G. Morra
Ulrich R. W. Thumm



OED

World Bank Operations Evaluation Department

1995 Evaluation Results
Volume I

Other Titles in the Series

PREPARED BY THE
WORLD BANK OPERATIONS EVALUATION DEPARTMENT

Zambia Country Assistance Review: Turning an Economy Around
(1997; contains summaries in French and Spanish)

Aga Khan Rural Support Program: A Third Evaluation
(1996; contains summaries in French and Spanish)

Lending for Electric Power in Sub-Saharan Africa
(1996; contains summaries in French and Spanish)

Industrial Restructuring: World Bank Experience, Future Challenges
(1996; contains summaries in French and Spanish)

Social Dimensions of Adjustment: World Bank Experience, 1980–93
(1996; contains summaries in French and Spanish)

1994 Evaluation Results
(1996; contains summaries in French and Spanish)

Ghana Country Assistance Review: A Study in Development Effectiveness
(1995; contains summaries in French and Spanish)

Evaluation and Development: Proceedings of the 1994 World Bank Conference
(1995)

Developing Industrial Technology: Lessons for Policy and Practice
(1995; contains summaries in French and Spanish)

The World Bank and Irrigation
(1995; contains summaries in French and Spanish)

1993 Evaluation Results
(1995; contains summaries in French and Spanish)

Structural and Sectoral Adjustment: World Bank Experience, 1980–92
(1995; contains summaries in French and Spanish)

Gender Issues in World Bank Lending
(1995; contains summaries in French and Spanish)

The World Bank's Role in Human Resource Development in Sub-Saharan Africa: Education, Training, and Technical Assistance
(1994; contains summaries in French and Spanish)

1992 Evaluation Results
(1994; contains summaries in French and Spanish)

New Lessons from Old Projects: The Workings of Rural Development in Northeast Brazil

(1993; contains summaries in French, Portuguese, and Spanish)

World Bank Approaches to the Environment in Brazil

(1993; contains summaries in French, Portuguese, and Spanish)

Trade Policy Reforms under Adjustment Programs

(1992; contains summaries in French and Spanish)

World Bank Support for Industrialization in Korea, India, and Indonesia

(1992; contains summaries in French and Spanish)

Population and the World Bank: Implications from Eight Case Studies

(1992; contains summaries in French and Spanish)

The Aga Khan Rural Support Program in Pakistan: Second Interim Evaluation

(1990; contains summaries in French and Spanish)

1995 Evaluation Results
Volume I

Linda G. Morra
Ulrich R.W. Thumm

THE WORLD BANK
WASHINGTON, D.C.

Copyright © 1997
The International Bank for Reconstruction
and Development / THE WORLD BANK
1818 H Street, N.W.
Washington, D.C. 20433, U.S.A.

All rights reserved
Manufactured in the United States of America
First printing March 1997

The opinions expressed in this report do not necessarily represent the views of the World Bank or its member governments. The World Bank does not guarantee the accuracy of the data included in this publication and accepts no responsibility whatsoever for any consequence of their use. The boundaries, colors, denominations, and other information shown on any map in this volume do not imply on the part of the World Bank Group any judgment on the legal status of any territory or the endorsement or acceptance of such boundaries. Some sources cited in this paper may be informal documents that are not readily available.

The material in this publication is copyrighted. Requests for permission to reproduce portions of it should be sent to the Office of the Publisher at the address shown in the copyright notice above. The World Bank encourages dissemination of its work and will normally give permission promptly and, when the reproduction is for noncommercial purposes, without asking a fee. Permission to copy portions for classroom use is granted through the Copyright Clearance Center, Inc., Suite 910, 222 Rosewood Drive, Danvers, Massachusetts 01923, U.S.A.

ISSN: 1019-4363
ISBN: 0-8213-3898-6 [2-vol. set]

Contents

Foreword	xi
Prefacio	xiii
Préface	xv
Acknowledgments	xvii
Abbreviations and acronyms	xviii
 Summary	 1
Resumen	8
Résumé	17
 Introduction	 25
 1. Performance trends	 27
Introduction: characteristics of the 1995 cohort	27
Performance results: the 1995 cohort	29
Performance: longer-term trends	45
Conclusions and outlook	54
 2. A sector and thematic perspective	 56
Introduction	56
Risks and rewards: the sector dimension	56
Risks and rewards: poverty reduction	65
Risks and rewards: environment	68
Conclusions and outlook	72
 3. Managing portfolio performance: determinants, risks, and options	 74
Scope and methodology	74
Key findings at the project level	75
Lessons from performance outliers	75
Key findings at the country level	78
Econometric tests	78
A conditional probability model	79
Conclusions and outlook	83
 4. Concluding observations and implications	 86
Borrower performance	86
Bank performance	86
Risk and reward	87
Economic management	87
Support for institutional development	87
Selectivity	87
The portfolio improvement challenge	88
Implications for Bank policy	88
Implications for borrowers	89

References 91

Figures

1.1	Distribution of evaluated operations by region, 1995 and 1994 cohorts	29
1.2a	Percentage of operations with cost over- and underruns, 1995 cohort	30
1.2b	Percentage of operations with time over- and underruns, 1995 cohort	30
1.3	Interrelationship of relevance, efficacy, and efficiency, 1995 cohort	32
1.4	Frequency of factors contributing to project sustainability, 1995 cohort	32
1.5	Frequency of factors contributing to institutional development impact, 1995 cohort	33
1.6	Bank performance, 1995 cohort	33
1.7	Percentage of evaluated operations with satisfactory outcomes, by lending type and source, 1995 cohort	34
1.8	Percentage of evaluated operations with satisfactory outcomes, by region, 1995 cohort	35
1.9	Percentage of evaluated operations with satisfactory outcomes, by income group, 1995 cohort	35
1.10	Demandingness, complexity, and riskiness, approval years 1979–90	36
1.11	Percentage of operations with satisfactory outcomes, Bankwide and by region, closing years 1974–94	37
1.12	Percentage of evaluated operations with satisfactory outcomes, by lending type, closing years, 1974–94	38
1.13	Percentage of evaluated operations with satisfactory outcomes, by lending source, closing years, 1974–94	38
1.14	Percentage of evaluated operations rated likely sustainable, Bankwide and by region, closing years 1987–94	39
1.15	Percentage of evaluated operations with substantial institutional development impact, Bankwide and by region, closing years 1987–94	47
1.16	Percentage of projects with re-estimated economic rate of return, by cohort year	49
1.17	Variance of re-estimated economic rates of return, by approval year	49
1.18	Percentage of evaluated operations with satisfactory outcomes, by lending instrument, closing years 1990–94	50
1.19	Recent trends in overall Bank performance, closing years 1988–94	50
1.20	Recent trends in Bank performance, by region, closing years 1988–94	51
2.1	Outcome of evaluated operations, by sector, 1995 cohort	58
2.2	Long-term performance trends for selected sectors, by closing years 1984–94 (two-year interval) and 1995 cohort	60
3.1	Percentage distribution of selected performance determinants, by performance groupings, 1995 evaluation cohort	77

Boxes

1.1	Unsatisfactory projects can yield benefits	31
1.2	Different perspectives on performance	44
1.3	A new project cycle for the World Bank?	46
1.4	Project outcomes: repeater projects build on experience and perform better	48
2.1	Technical assistance and the World Bank	63
2.2	Capacity building in Africa	64
2.3	Poverty reduction and the World Bank: progress and challenges in the 1990s	66
3.1	Management action to promote quality in operations	80

Tables

1.1	Portfolio and country economic performance, evaluation years 1991–95	40
1.2	Risk and reward, by region, evaluation years 1993–95	42
2.1	Risk and reward, by sector, evaluation years 1993–95	59
3.1	Outstanding and poor operations in the 1995 evaluation set	76

Foreword

OED's twenty-second Annual Review reports on the results of 264 completed lending operations evaluated in 1995, representing disbursements of about \$22 billion to 80 countries. It analyzes performance trends and explores new ground on portfolio risks. The analysis highlights for Bank management and borrowers the kinds of actions that will be needed if the Bank is to dramatically improve its performance.

The results for the operations evaluated in 1995 show a modest improvement over those of the previous year, but no sharp break from long-term trends. Some 68 percent of the operations had satisfactory outcomes. Only 46 percent were judged likely to sustain their benefits after the completion of loan disbursements (another 32 percent were judged uncertain to sustain their benefits). Fewer than a third had a substantial impact on borrowing countries' institutional development. The Bank's performance was satisfactory in 78 percent of the operations and borrowers' performance was satisfactory in 69 percent. Borrowers in low-income countries, especially those with weak administrative capacities, tended to perform less well than those in middle-income countries.

Looking at the factors that affect project performance, the review emphasizes the importance of client countries' policies, borrowers' performance in implementing projects, and the Bank's own performance. The results emphasize that, to make more of its lending operations succeed, the Bank should give as much attention to managing development risks as it does to managing financial risks.

Substantial progress is being made. The Bank's ongoing portfolio improvement program focuses on ensuring the quality of new projects entering the portfolio and on managing ongoing projects better. The Bank is using new measures of risk to assess the health of the ongoing portfolio, making it easier to spot problematic projects early enough to restructure them. Bank managers and staff are being held more directly accountable for results than in the past, and new professional networks, along with new training programs for staff, are expected to improve project management.

The analysis in this Annual Review confirms that these initiatives should significantly improve performance as the Bank renews its portfolio. The improvements will take time to work their way through; because most projects take many years from conception to completion, the current portfolio is largely shaped by past decisions and contractual relations.

There are limits, however, to the current approach. To go beyond them, the Bank would need to become more selective in its lending, in line with borrowing countries' commitment to growth and poverty reduction and to sound implementation of development projects. Where domestic capacity is inadequate and a will to reform is evident, the Bank should provide nonlending services upstream of lending. The Bank would also need to make more systematic use of piloting in advance of large-scale undertakings; to provide stronger support for

borrowers' implementation capacity; and to develop strategic partnerships with nongovernmental organizations and bilateral agencies.

Robert Picciotto
Director General
Operations Evaluation

Prefacio

En este vigésimo segundo examen anual del DEO se examinan los resultados de 264 operaciones de préstamo concluidas, que se evaluaron en 1995 y representan desembolsos por un monto aproximado de US\$22.000 millones distribuidos entre 80 países. En él se analizan las tendencias de los resultados y se exploran nuevos aspectos relacionados con los riesgos de la cartera. En dicho análisis se señalan a la atención de la administración del Banco y de los prestatarios los tipos de iniciativas que deberán emprenderse para que el Banco pueda mejorar de forma notable la eficacia de su actuación.

Los resultados de las operaciones evaluadas en 1995 revelan una modesta mejora con respecto de los del año anterior, pero no representan una ruptura con las tendencias a largo plazo. Aproximadamente el 68 por ciento de las operaciones tuvieron resultados satisfactorios. Sólo en el 46 por ciento de los casos se consideró que podrían prolongar sus beneficios una vez concluidos los desembolsos del préstamo (en otro 32 por ciento esa posibilidad se consideró incierta). Menos de un tercio del total tuvo repercusiones notables en el desarrollo institucional de los países prestatarios. Los resultados del Banco fueron satisfactorios en el 78 por ciento de las operaciones, y el comportamiento de los prestatarios en el 69 por ciento. Los prestatarios de países de bajo ingreso, en particular los que tienen escasa capacidad administrativa, tuvieron por lo general peores resultados que los de países de ingreso mediano.

En lo que respecta a los factores determinantes de los resultados, en el examen se hace hincapié en la importancia de las políticas de los países, el acierto de los prestatarios en la ejecución de los proyectos y el comportamiento del propio Banco. Lo que se desprende con claridad es que, para que aumente el número de operaciones crediticias fructíferas, el Banco debe considerar los riesgos para el desarrollo con la misma atención que los riesgos financieros.

Se están consiguiendo progresos notables. El programa de mejoramiento de la cartera del Banco debe orientarse a garantizar la calidad de los nuevos proyectos que se incorporan a ésta y administrar mejor los proyectos en curso. El Banco está adoptando nuevas mediciones del riesgo para evaluar la robustez de su cartera, lo que permitiría detectar los proyectos problemáticos a tiempo para reestructurarlos. Cada vez más, la administración y el personal del Banco deben rendir cuenta directa de los resultados, y se espera que las nuevas redes profesionales, junto con los nuevos programas de capacitación del personal, mejoren la gestión de los proyectos.

El análisis del presente examen anual confirma que estas iniciativas deben mejorar significativamente los resultados al mismo tiempo que el Banco renueva su cartera de proyectos. Se requiere tiempo para introducir las mejoras; como en la mayor parte de los proyectos transcurren varios años desde la concepción a la conclusión, la cartera actual depende en gran parte de relaciones contractuales y decisiones anteriores.

No obstante, este planteamiento tiene sus límites. Para superarlos, el Banco debería ser más selectivo en sus actividades crediticias, teniendo en cuenta el compro-

miso de los países prestatarios con el crecimiento y la reducción de la pobreza y con una aplicación racional de los proyectos de desarrollo. En los países que carecen de capacidad interna pero se observa una firme voluntad de reforma, el Banco debería ofrecer servicios de apoyo institucional antes de servicios de préstamo. Debería también utilizar en forma más sistemática procedimientos experimentales en preparación de las empresas en gran escala, reforzar su apoyo a la capacidad de ejecución de los prestatarios y establecer vinculaciones estratégicas con las organizaciones no gubernamentales y los organismos bilaterales.

Robert Picciotto
Director General
Evaluación de Operaciones

Préface

Le 22e rapport annuel de l'OED rend compte des résultats de 264 opérations de prêt achevées, ayant fait l'objet d'une évaluation en 1995. Environ 22 milliards de dollars ont été décaissés dans 80 pays au titre de ces opérations. Le rapport analyse l'évolution des résultats et aborde la gestion des risques du portefeuille sous un angle nouveau. S'adressant à la direction de la Banque et aux emprunteurs, il fait ressortir le type de mesures que l'institution devra mettre en oeuvre pour améliorer considérablement sa performance.

Les résultats des opérations ayant fait l'objet d'une évaluation en 1995 sont en légère amélioration par rapport à ceux de l'an passé, sans toutefois marquer de rupture avec la tendance à long terme. Environ 68 pour cent des opérations ont eu des résultats satisfaisants. Seuls 46 pour cent d'entre elles ont été jugées susceptibles de continuer à porter leurs fruits une fois les décaissements terminés (pour 32 pour cent d'entre elles, cette perspective a été jugée incertaine). Moins d'un tiers des opérations ont profondément influé sur le développement institutionnel des pays emprunteurs. La performance de la Banque était satisfaisante dans 78 pour cent des cas, celle de l'emprunteur dans 69 pour cent. Les emprunteurs des pays à faible revenu, particulièrement ceux dotés de moyens administratifs limités, ont eu tendance à obtenir des résultats moins bons que ceux des pays à revenu intermédiaire.

S'agissant des facteurs qui influent sur le bilan d'un projet, le rapport souligne l'importance des politiques des pays clients, des résultats obtenus par les emprunteurs lors de l'exécution des opérations et de la propre performance de la Banque. Il ressort clairement de l'étude que la Banque doit être aussi attentive à la gestion des risques de développement qu'à celle des risques financiers si elle veut augmenter les chances de succès de ses opérations de prêt.

D'importants progrès sont enregistrés. Dans le cadre de son programme actuel d'amélioration du portefeuille, la Banque cherche à s'assurer de la qualité des nouveaux projets et à mieux gérer ceux en cours. Elle utilise de nouveaux indicateurs de risque pour évaluer le comportement de son portefeuille, afin de repérer les projets à problèmes suffisamment tôt pour les restructurer. Les différents services et leurs responsables sont tenus plus directement responsables des résultats que par le passé, et l'établissement de nouveaux réseaux de travail, qui s'accompagne du lancement de nouveaux programmes de formation pour le personnel, devrait normalement se traduire par une amélioration de la gestion des projets.

L'analyse faite par le rapport annuel confirme que ces initiatives devraient permettre d'améliorer sensiblement les résultats, parallèlement au renouvellement du portefeuille de la Banque. Toutefois, ces améliorations n'apparaîtront qu'au fil du temps. En effet, un grand nombre d'années s'écoulant entre la conception et l'achèvement de la plupart des projets, le portefeuille continuera pendant quelque temps encore à être le reflet des décisions et relations contractuelles passées. Mais la démarche actuelle a ses limites. Pour aller plus loin, il faudra que la Banque prête de façon plus sélective, en s'alignant sur la détermination des pays emprunteurs à promouvoir leur croissance, à faire reculer la pauvreté et à exé-

cuter rationnellement leurs projets de développement. Lorsque les capacités du pays sont insuffisantes et qu'une volonté réelle de réforme existe, la Banque devrait faire précéder ses opérations de prêt de services d'un autre type. Il conviendrait également qu'elle recoure plus systématiquement à des projets pilotes avant de se lancer dans des entreprises de grande envergure, qu'elle contribue davantage à accroître la capacité de mise en oeuvre des emprunteurs et qu'elle bâtit des partenariats stratégiques avec les organisations non gouvernementales et les organismes d'aide bilatérale.

Robert Picciotto
Directeur général
Évaluation des opérations

Acknowledgments

This study was prepared by Operations Evaluation Department (OED) staff. The core team consisted of Ulrich Thumm and Linda Morra (general management and main authors), Bill Battaile (modeling), Bing Deng (data analysis), Diana Qualls (general assistance), and Nischint Bhatnagar (support). Angie Gentile-Blackwell was the copy and production editor. Debra Malovany managed composition.

Abbreviations and acronyms

AFR	Africa region
ARPP	Annual Report on Portfolio Performance
CAR	Country assistance review
CAS	Country assistance strategy
CODE	Committee on Development Effectiveness
DO	Development objectives
EA	Environmental assessment
EAP	East Asia and Pacific region
ECA	Europe and Central Asia region
EDI	Economic Development Institute
ERL	Emergency recovery loan
ERR	Economic rate of return
ESW	Economic and sector work
FIL	Financial intermediary loan
FSAL	Financial sector adjustment loan
FY	Fiscal year
GDP	Gross domestic product
GEF	Global Environment Facility
GNP	Gross national product
IBRD	International Bank for Reconstruction and Development
ID	Institutional development
IDA	International Development Association
IP	Implementation progress
LAC	Latin America and the Caribbean region
M&E	Monitoring and evaluation
MIS	Management information system
MNA	Middle East and North Africa region
NEAP	National Environmental Action Plan
NGO	Nongovernmental organization
NTC	Nepal Telecommunications Corporation
OD	Operational directive
OED	Operations Evaluation Department
OLS	Ordinary least squares
OPR	Operations Policy Research Department
PERL	Public enterprise reform loan
PHN	Population, health, and nutrition
PIF	Project information form
PIP	Portfolio improvement program
PMTF	Portfolio Management Task Force
QAG	Quality Assurance Group
RERR	Re-estimated economic rate of return
SAC	Structural adjustment credit
SAL	Structural adjustment loan
SAR	Staff appraisal report
SAS	South Asia region
SECAL	Sector adjustment loan
TA	Technical assistance

TAL	Technical assistance loan
UNCED	United Nations Conference on the Environment and Development—"Earth Summit"
UNDP	United Nations Development Program
WDR	World Development Report
WSS	Water and sanitation sector
WUA	Water users association

Summary

Overall findings

The results of the 1995 cohort of 264 operations are similar to last year's. They show that the performance record of Bank-supported operations continues to hover at the two-thirds satisfactory outcome mark. In terms of lending volume, however, performance has rebounded to 73 percent from 65 percent last year, and 66 percent in 1990–94. While individual project risk and potential reward vary by region, country, lending instrument, and sector, analysis of the 1993–95 evaluation set shows that although 23 percent of Bank operations were in the most desirable low risk-high reward category, 30 percent were in the least desirable high risk-low reward category. Fortunately, as this report shows, much is known about what works, and applying the lessons of the past should positively influence the future outcome of the Bank's portfolio.

Borrower and Bank performance matter and are, respectively, the most important determinants of individual project success. With Bank performance rated satisfactory for 78 percent of the 1995 cohort and borrower performance rated satisfactory for 69 percent, there is ample scope for improvement. Bank performance in supervision stands out as an area needing continued monitoring and attention.

Additional strategies are available for managing risk. For example, analysis finds that repeater projects have more successful outcomes than other projects—a finding that argues for their continued selective use. Promising strategies for managing risk include increased use of pilots for higher-risk projects and greater resort to partnerships with other development agencies and private volunteer organizations.

Statistical analysis finds that at the country level, improved macroeconomic management has the highest payoff for improving portfolio outcomes in countries with low performance records. Bank performance has to be very strong to overcome the odds of a weak country economic and implementation environment. These findings suggest both that the Bank should be more selective in its lending and that nonlending services should be used more systematically to nurture appropriate policy environments as a precondition for successful lending.

Using a conditional probability model, the review carried out sensitivity analyses of future portfolio outcomes. The results show that achieving a marked improvement in Bank portfolio performance is challenging and will require sustained efforts over time as the portfolio renews itself. These efforts will need to include significantly improving quality at entry and project implementation, channeling lending more to countries with suitable economic policy and governance environments, and providing more nonlending services to others. Only with a radical departure from current practices, including greater selectivity in terms of countries and assistance instruments, extensive use of piloting, and increased resort to cancellations of substandard projects, could one expect to achieve an 80 percent satisfactory outcome.

*Portfolio
performance
continues to
hover at the
two-thirds
satisfactory
mark*

Specific findings

What do the performance record of operations¹ evaluated in 1995 and the longer-term trend indicate about project and portfolio risk?

- The 1995 evaluation cohort consists of 264 operations representing disbursements of about \$22 billion to 80 countries, and about \$3.6 billion in cancellations.
- The Bank has a rigorous methodology for evaluating project performance. It is emphasized that an unsatisfactory outcome rating does not necessarily signal an utter project failure. Projects with unsatisfactory outcome ratings can have significant benefits that contribute to overall welfare, even though the projects do not meet one or more major expectations.
- The overall performance record is similar to last year's: for the 1995 cohort, 68 percent of the operations had satisfactory outcomes (compared with 66 percent for the 1994 cohort); 46 percent were considered likely to be sustainable (similar to the 44 percent rate for the 1994 cohort); and 27 percent had a substantial institutional development impact (compared with 30 percent for the 1994 cohort).²
- Looking at the performance record in terms of lending volume, performance has climbed to a satisfactory outcome rating of 73 percent for the 1995 cohort from 65 percent for the 1994 cohort. The jump is associated with a marked increase in the average size of projects in 1995 over 1994, with larger projects generally being more successful than smaller ones. The jump is not necessarily meaningful as it may simply reflect the different size distributions of two cohorts of projects that were evaluated in two successive cohorts.
- Overall Bank performance was rated satisfactory for 78 percent of the operations (86 percent when weighted by disbursement), but borrower performance was satisfactory in only 69 percent (75 percent disbursement-weighted). While Bank performance overall shows an encouraging increase from the 1994 cohort's rate of 73 percent satisfactory, the longer-term trend shows Bank performance in supervision decreased each year from a high of 82 percent satisfactory in closing year 1991, to 74 percent satisfactory in closing year 1994. The Bank has recently given much attention to improving supervision; this is an area meriting continued close monitoring.
- Economic rates of return reached or exceeded 10 percent in real terms for 86 percent of the operations for which they were calculated in the 1995 cohort. They were calculated, however, for only 36 percent of the operations in the cohort, and the overall quality of economic analysis needs to be improved.
- If the satisfactory rate continued at about 70 percent (averaging the satisfactory outcome rate based on the number of projects with the disbursement-weighted satisfactory outcome rate) for the active portfolio, some \$40 billion in ongoing Bank commitments would be at risk of unsatisfactory results, that is, not achieving their relevant objectives.
- War and civil strife are significant factors in the outcomes of the 1995 cohort. If the analysis excludes all projects with substantial negative effects resulting from war and civil strife, the outcome rating for the cohort would climb to 73 percent satisfactory from 68 percent.

An unsatisfactory outcome rating does not necessarily signal that a project is without some benefit

- Risks are associated with regions and country income. East Asia and Pacific continues to be the best-performing region, while Africa clearly ranks lowest and is highest risk. By income group, the lower-middle-income countries tend to be the best performers, while low-income countries are the higher risks. IBRD loans consistently have better outcomes than IDA and blend-financed operations.
- Investment loans fared only slightly better than adjustment loans in the 1995 cohort, and since 1990 both lending types have on average performed equally well. Emergency recovery loans tended to be highly successful.
- Repeater operations have better outcomes (79 percent satisfactory) than all operations taken together (72 percent satisfactory for the group of projects evaluated between 1974 and 1995).
- This year's assessment identifies project and portfolio risk and actual rewards in terms of outcome, sustainability, and institutional development impact. For the 1993–95 evaluation set, 23 percent of Bank operations were in the most desirable low risk-high reward category, while 30 percent were in the least desirable high risk-low reward category. The challenge is to increase the former while decreasing the latter.

What are the sectoral and thematic highlights of the 1995 evaluation year and what are the implications for risk management?

- Risks and rewards also vary by sector. In particular, finance (typically lines of credit) and technical assistance—two sectors of great import for country wide impact and/or institutional development and sustainability—show poor performance over time.
- Agriculture and industry, sectors with traditionally weak performance, show upturns in the 1995 cohort; the improvement can be traced to shifts in the country and/or subsector composition.
- Analysis of risks and rewards by sector finds that program and policy projects (for example, structural and sectoral loans, private sector development loans, and public sector management loans) stand out as high risk, but with almost as strong a likelihood of being high reward as low reward. Urban and technical assistance stand out as sectors with high risk and low rewards, while telecommunications is the sector posing the lowest risk and yielding the highest rewards, followed by the power sector. Energy and human resources (encompassing education, health, and nutrition projects) are high-risk sectors, but also tend to be high reward.
- Poverty reduction is the Bank's overarching goal, and the 1995 cohort reflects this focus. However, the cohort predates the Bank's current strategy for poverty reduction, adopted in 1991. The strategy consists of labor-intensive growth, targeted interventions that focus on social services (that is, primary education, basic health care, family planning, and improved nutrition) to equip the poor to respond to the income-earning opportunities created by growth, and the provision of a social safety net to protect those unable to respond to new economic opportunities (such as children and the elderly) or those vulnerable to shocks such as floods, droughts, or austerity policies. About 90 percent of the 1995 cohort are growth projects, while in the current portfolio almost one-fourth of the projects support investment in the social sectors.

Telecommunications have posed the lowest risks and yielded the highest rewards

*Borrower
and Bank
performance
have the
greatest
impact on
individual
project
results*

- Some inroads have been made in reducing poverty, but the gains are modest when set against the challenge. More attention needs to be given to poverty assessments and their reflection in country assistance strategies. No country has been able to sustain its efforts in reducing poverty without economic growth, but the pattern of growth is an important determinant of how growth affects poverty reduction.
- About 25 percent of the projects in the 1995 cohort had an environmental focus, with the largest concentration in agriculture. Project outcomes were slightly below the Bankwide average. About half of the projects were approved prior to FY86, that is, before major improvements in Bank procedures regarding the environment took effect.
- Environmental projects in the cohort approved after 1991 generally have better outcomes than those approved during the early 1980s. Recent operations pay more explicit attention to environmental issues, and there are signs that learning is taking place and progress is occurring. At the same time, this progress is constrained by the institutional capacity of borrowers and the size of the challenge posed by population growth.

What are the determinants of project and portfolio performance? What can be learned from outstanding and poor projects?

- At the individual project level, borrower performance had the greatest influence on project results. Closely following was the impact of Bank performance.
- Of the 356 operations evaluated and audited in 1995, 16 (5 percent) were rated as outstanding and eight (2 percent) as poor. The outstanding operations all illustrate strong borrower ownership of, and commitment to, the operation.
- At the portfolio level, cross-country econometric analysis suggests that good economic management has the highest payoff for improving portfolio outcome and sustainability, particularly in countries with poor portfolio performance. While good Bank performance is likely to reduce the risk of an unsatisfactory outcome, however, the effort has to be very strong to overcome the odds of a poor country economic and implementation environment.

What are management's options to improve portfolio performance? What is the likely impact?

- To explore the likely impact of management options to improve portfolio performance, a series of sensitivity tests was conducted. Econometric model-based tests suggest that simultaneous improvements in Bank appraisal and supervision up to the 90–95 percent satisfactory level and in borrower implementation to about the 80 percent level would raise portfolio outcome by about 12 percentage points to about 80 percent, up from the current 68 percent satisfactory rating. The estimate is subject to important methodological caveats.
- Additional tests were based on a conditional probability model that is linked to the status of the current portfolio and is adaptive—that is, changing project behavior over time is taken into account by weighting the most recent observations more heavily than earlier observations. The results are consistent with the econometric tests. The model suggests that with better portfolio

management, greater selectivity in country assistance, and improved quality at entry, the share of projects with satisfactory outcome at completion could increase to about 80 percent over the next eight years. Improved quality at entry is the most important factor as the portfolio is progressively renewed over time.

- The various sensitivity tests clearly suggest that portfolio improvement is a formidable task that requires bold action by the Bank and commitment and perseverance by the borrowers. The joint efforts would best be backed by a new compact between the Bank and borrowers, spelling out each country's commitment to its own development and poverty reduction and the Bank's modulated response. The poorer a country's performance, the less lending it would receive. For some poor performers, Bank assistance would predominantly (or entirely) take the form of economic and sector work (ESW) and institutional support. In extreme cases there might be no Bank support of any kind until and unless a borrower demonstrated ownership of its development efforts. It is argued that only with a radical departure from current practices, backed by compacts, could one expect to achieve an 80 percent satisfactory outcome within the next five years or so. The types of management actions indicated would include, for example, strict selectivity in terms of countries and assistance instruments, new-type projects with extensive use of piloting, and cancellations of actual risk projects, as well as restructuring of potential risk projects.
- Historically shaped behaviors in client countries, the Bank, and its partners are major factors in portfolio performance. The model suggests that achieving a marked improvement in Bank portfolio performance is a formidable task that will require determination and perseverance.

Concluding observations

- Review of the performance of the 1995 cohort and the longer-term performance trends finds that some recent trends are encouraging, but the 70 percent satisfactory plateau of project outcomes reached in the last few years leaves room for improvement. The Bank can do a better job at risk management. Certainly in light of the Bank's responsibilities as a development institution, it cannot avoid risk. It cannot turn away from countries facing political and economic instability or from countries where government commitment is not as strong as might be desired. It must, however, apply the lessons learned and use the tools at its disposal to help manage developmental risk.
- First, at the project level, borrower performance matters. There is a close relationship between government commitment to operational goals and observed outcomes. Evaluation has established that ownership depends on four factors: locus of the initiative, level of conviction among policy makers, expression of political will by top leadership, and efforts towards consensus building among various constituencies. Borrower ownership also must be nurtured; it does not just happen. Capacity building is critical. In this respect, it is important to note that freestanding technical assistance loans have performed poorly over the longer term and dismally in the 1995 cohort. Action is needed to realize the full potential of this important instrument.
- Second, Bank performance matters. Projects generally have become more demanding, complex, and risky over time. However, outstanding projects show effective monitoring and flexible Bank adaptation to changing condi-

*The Bank
can do a
better job
at assessing
and
managing
risk*

The findings argue for more selectivity in lending strategies by country and sector and greater use of nonlending instruments

tions; poorly performing projects show neither. From the longer-term perspective, the Bank's performance in supervision especially requires continued close attention. Quality at entry is also central. The Bank's weakest area of performance in relation to the 1995 cohort is in appraisal where, in particular, greater realism is needed. Cancellations of commitments are high and major time overruns too frequent.

- Third, individual projects are not at equal risk nor likely to carry equal reward if all goes well. Risk varies by region, country, sector, lending instrument, project size, and other project characteristics. For example, "repeater" projects do better than average. The Bank should seek to reduce the 30 percent of projects in the high risk-low reward category. The increased use of piloting demanding and complex projects is indicated. Partnerships are particularly desirable in high-risk situations.
- Fourth, at the portfolio level, countries with good economic management tend to be better portfolio performers. Even poorly performing sectors Bank-wide do better in these countries than the Bank average. The lesson is that policy matters. The relevance of Bank lending has come to be judged in terms of its consistency with country assistance strategies. In turn, these strategies are driven by economic management fundamentals and thematic emphases—poverty reduction through human resource investment, private sector promotion, and environmentally sustainable development programs. It is critical that each country assistance strategy realistically assess the domestic capacities available to deliver results. Considering the overwhelming importance of country conditions, greater selectivity in the use of assistance instruments, including ESW and institution building, is likely to contribute to the improvement of countries' economic environments and of overall portfolio performance.
- To improve their contribution to institutional development impact, operations in poorly performing countries, in particular, need to better address problems of public sector management, civil service reform, decentralization, deregulation, private sector development, and enhanced participation.
- These findings argue for more selectivity or increased segmentation of Bank strategies by country and sector. Consistent with management's idea of a new compact between donors and borrowers, different countries in different circumstances should be treated differently, according to their commitment to policy reform, to sound implementation of development projects, and to the Bank's assessment of risk. Greater selectivity needs to be complemented by the use of nonlending instruments, including technical assistance, to improve country environments. For example, for some poorly performing countries, the Bank should consider limiting its assistance to ESW and institutional support.
- As suggested by various model-based sensitivity tests, achieving a marked improvement in the Bank's portfolio performance is a formidable task—one that will require consistent leadership and sustained efforts over time.

Implications for Bank policy

To take into account the lessons emerging from this Annual Review, the following policy directions are indicated:

- In countries where the policy framework is distorted and the implementation environment is weak, advisory and capacity-building services should be preferred to lending.
- Given the poor performance of freestanding technical assistance loans and credits, the Bank should seek to develop strategic alliances with well-selected partners to help deliver effective capacity-building services in parallel with (or better still, ahead of) Bank loans and credits.
- Whenever risks are high, domestic capacities are weak, and/or borrower commitment needs to be nurtured, quality at entry should be enhanced by inducing borrowers and partners to learn from pilot operations, ahead of large-scale Bank lending.
- Development risk assessment, monitoring, and evaluation should be strengthened throughout the project cycle and used to inform country assistance strategy design and execution, with added emphasis on portfolio implementation issues in the country dialogue.
- The Annual Report on Portfolio Performance should continue to be upgraded for use by management and the board as a strategic risk management and oversight instrument.

Pilot operations should precede large-scale lending when risks are high and/or borrower capacity and commitment are weak

Implications for borrowers

While the Bank needs to manage better, along the lines sketched out in this report, it does not control all the levers. In such a change agenda, it is necessary for clients to understand that the programs and money at stake are their own and not the Bank's. And, as always, the success of Bank-supported interventions—be they programs, projects, or nonlending services—will ultimately depend on the client countries' commitment to development.

Notes

1. Throughout this report, "project" and "operation" are used interchangeably.
2. OED's evaluation methodology is particularly rigorous in rating institutional development (ID). It reports the proportion of projects with substantial impact ratings; it does not report the proportion of projects with moderate ID ratings. In previous Annual Reviews, a narrower concept of ID was used, namely the degree of achievement of stated ID objectives.

Resumen

Observaciones generales

Los resultados de la cohorte de 264 operaciones de 1995 son similares a los del año pasado, es decir, las operaciones respaldadas por el Banco siguen registrando un nivel de satisfacción que oscila en torno a los dos tercios. Sin embargo, considerando el volumen de préstamos concedidos, el porcentaje ha aumentado de 66 por ciento en 1990-94 y 65 por ciento el año pasado a 73 por ciento. Si bien los riesgos y recompensas potenciales de cada proyecto varían según la región, el país, el instrumento crediticio y el sector, al hacer un análisis de la evaluación correspondiente al período de 1993-95 se demuestra que aunque el 23 por ciento de las operaciones del Banco tuvieron lugar en la categoría más favorable de bajo riesgo y alta recompensa, el 30 por ciento correspondió a la categoría menos favorable de todas, la de alto riesgo y baja recompensa. Afortunadamente, como indica este informe, se cuenta con mucha información sobre los factores que ejercen una influencia positiva, y si se aprovecha la experiencia recogida podrán obtenerse resultados mucho mejores en la cartera de préstamos del Banco.

El desempeño de los prestatarios y del Banco cobran importancia y son los principales factores de los que depende el éxito de cada proyecto. Si se considera que el desempeño del Banco recibió una calificación de satisfactoria en el 78 por ciento de la cohorte de 1995 y el de los prestatarios en el 69 por ciento de ésta, es evidente que hay mucho que mejorar. La actuación del Banco en materia de supervisión es una esfera que requiere observación y atención constantes.

Se cuenta con estrategias adicionales para la gestión de los riesgos. Por ejemplo, se determinó en el análisis que los proyectos complementarios dan mejores resultados que otros proyectos —conclusión que respalda su utilización selectiva en forma continua. Entre las estrategias promisorias para la gestión de los riesgos cabe mencionar la utilización cada vez mayor de proyectos piloto en situaciones de alto riesgo y la creciente asociación con otros organismos de desarrollo y con organizaciones voluntarias privadas.

El análisis estadístico revela que, a nivel de cada país, el mejoramiento de la gestión macroeconómica es el factor que más influencia tiene para obtener resultados más favorables en la cartera de préstamos en países con un historial de cumplimiento bajo. El Banco tendrá que redoblar esfuerzos para superar las dificultades que suponen un entorno económico débil en el país y condiciones poco favorables para la ejecución de proyectos. Estas observaciones indican que el Banco deberá ser más selectivo al otorgar préstamos y que, como requisito previo para sacar el máximo provecho del financiamiento, deberán utilizarse servicios no crediticios de manera más sistemática para crear un entorno de políticas adecuado.

En el examen se utilizó un modelo de probabilidad condicional para efectuar análisis de sensibilidad de los resultados futuros de la cartera de préstamos. Se demostró que se requieren grandes esfuerzos para lograr una acusada mejoría en los resultados de la cartera del Banco, y que no se deberá cejar en ellos a medida que esta última se vaya renovando. Para ello, será necesario mejorar significativamente la calidad desde las etapas

iniciales y en la ejecución de los proyectos, canalizar el financiamiento más hacia países con una política económica adecuada y una buena gestión de gobierno, y brindar más servicios no crediticios a otros. Sólo si se abandonan radicalmente los procedimientos empleados en la actualidad y se opta por una mayor selectividad en lo que se refiere a los países y a los instrumentos de la asistencia, si se recurre más al uso de proyectos piloto y se aumentan las anulaciones de proyectos en situación riesgosa, podrían preverse resultados satisfactorios en un 80 por ciento de las operaciones.

Observaciones específicas

¿Qué revelan los resultados de las operaciones¹ evaluadas en 1995 y la tendencia a largo plazo sobre los riesgos para los proyectos y la cartera?

- La evaluación de la cohorte 1995 abarca 264 operaciones que representan desembolsos de alrededor de US\$22.000 millones a 80 países, y unos US\$3.600 millones en anulaciones.
- El Banco aplica una metodología rigurosa para evaluar los resultados de un proyecto. Se insiste en que la clasificación de insatisfactorio no indica necesariamente un fracaso absoluto del proyecto. Los proyectos cuyos resultados se consideran insatisfactorios pueden aportar beneficios significativos que contribuyan al bienestar general, aún cuando no satisfagan una o más expectativas importantes.
- En términos generales, los resultados registrados son similares a los del año pasado: el 68 por ciento de las operaciones de la cohorte de 1995, tuvo resultados satisfactorios (en comparación con el 66 por ciento de las correspondientes a la cohorte de 1994); se consideró que el 46 por ciento tenía probabilidades de sostenerse (el porcentaje fue similar en la cohorte de 1994, es decir, 44 por ciento) y el 27 por ciento tuvo fuertes repercusiones para el desarrollo institucional (en comparación con el 30 por ciento en la cohorte de 1994)².
- Desde el punto de vista del volumen de financiamiento, el porcentaje de operaciones con resultados calificados de satisfactorios aumentó al 73 por ciento en la cohorte de 1995, frente al 65 por ciento en la de 1994. Esto se debe al acusado incremento en el tamaño medio de los proyectos en 1995 respecto al año anterior y a que los proyectos de mayor envergadura fueron, en general, más exitosos que los más pequeños. Cabe aclarar que dicho aumento no es necesariamente significativo porque tal vez sólo refleja las distribuciones, de diferente tamaño, de dos cohortes de proyectos que, por casualidad, han sido evaluados en dos cohortes sucesivas.
- El desempeño general del Banco fue calificado como satisfactorio en el 78 por ciento de las operaciones (86 por ciento si se lo pondera en función de los desembolsos), pero el desempeño de los prestatarios fue satisfactorio solo en un 69 por ciento (75 por ciento con la ponderación de desembolsos). Si bien, en términos generales, la actuación del Banco registró una mejora halagüeña con respecto al 73 por ciento de las operaciones calificadas como satisfactorias en la cohorte de 1994, la tendencia a largo plazo revela que el desempeño de la institución en materia de supervisión fue decreciendo año a año, pasando de un valor máximo de 82 por ciento de proyectos satisfactorios en el año de cierre 1991, al 74 por ciento en el año de cierre 1994. Últimamente el Banco ha prestado mucha atención al mejoramiento de la supervisión, aspecto que merece una observación directa en forma continuada.

- Las tasas de rentabilidad económica alcanzaron o superaron el 10 por ciento en términos reales en el 86 por ciento de las operaciones de la cohorte de 1995 para las que se hizo el cálculo. Estas tasas, sin embargo, fueron calculadas únicamente para el 36 por ciento de las operaciones de la cohorte, y es menester mejorar la calidad global del análisis económico.
- Si el porcentaje de operaciones satisfactorias se mantiene en torno al 70 por ciento (promediando el porcentaje de operaciones satisfactorias con base en el número de proyectos con el porcentaje de resultados satisfactorios ponderados en función de los desembolsos) de la cartera de préstamos activos, alrededor de US\$40.000 millones correspondientes a compromisos en curso del Banco correrían el riesgo de producir resultados insatisfactorios, es decir, de no cumplir los objetivos pertinentes.
- Los conflictos bélicos y los disturbios civiles son factores significativos en los resultados de la cohorte de 1995. Si se excluyen del análisis todos los proyectos con fuertes efectos negativos debido a este tipo de conmociones, la proporción de operaciones con resultados satisfactorios de la cohorte se elevaría del 68 por ciento al 73 por ciento.
- Los riesgos están vinculados al ingreso de las regiones y los países. La región de Asia Oriental y el Pacífico continúa registrando los mejores resultados, en tanto que África se ubica claramente en el lugar más bajo y presenta el mayor riesgo. Los países de ingreso mediano bajo tienden a obtener los mejores resultados, en tanto los de ingreso bajo entrañan los mayores riesgos. Los préstamos del BIRF han producido en todos los casos mejores resultados que las operaciones de la AIF y las de financiamiento combinado.
- Los resultados de los préstamos para proyectos de inversión son ligeramente más favorables que los de préstamos para fines de ajuste en la cohorte de 1995, y desde 1990 ambas clases de financiamiento han dado, en promedio, resultados igualmente buenos. Los préstamos de emergencia para recuperación han sido, en general, muy exitosos.
- Los resultados de los proyectos complementarios han dado mejores resultados (79 por ciento de proyectos satisfactorios) que todas las operaciones juntas (72 por ciento de operaciones satisfactorias en el grupo de proyectos evaluados entre 1974 y 1995).
- En la evaluación de este año se identifican los riesgos de los proyectos y de la cartera, así como las recompensas efectivas en función de los resultados, la sostenibilidad y las repercusiones en términos de desarrollo institucional. Para el conjunto correspondiente al período de 1993–95, el 23 por ciento de las operaciones del Banco se encontraban en la categoría más favorable de bajo riesgo y alta recompensa, mientras que el 30 por ciento se ubicaba en la categoría menos favorable de todas, es decir, la de alto riesgo y baja recompensa. Lo importante es tratar de elevar el primer porcentaje y reducir el segundo.

¿Cuáles son los aspectos sectoriales y temáticos más destacados de la evaluación de 1995 y cuáles son sus implicaciones para la gestión de los riesgos?

- Los riesgos y las recompensas también varían de un sector a otro. El financiamiento (por lo general, las líneas de crédito) y la asistencia técnica —dos sectores de gran importancia en términos de sus repercusiones a nivel nacional y para el desarrollo institucional y/o la sostenibilidad— revelan resultados deficientes con el correr del tiempo.

- Las actividades agropecuarias e industriales, sectores con resultados tradicionalmente deficientes, registran mejoras en la cohorte de 1995, como resultado de los cambios introducidos en el país o en la composición de los subsectores, o en ambos.
- Al hacer un análisis de los riesgos y las recompensas por sectores, se llega a la conclusión de que los proyectos de financiamiento de programas y reformas de políticas (por ejemplo, los préstamos para fines de ajuste estructural y sectorial, los préstamos para el desarrollo del sector privado y los préstamos para la gestión del sector público) son de alto riesgo, pero tienen casi la misma probabilidad de obtener recompensas altas o bajas. La asistencia urbana y técnica son sectores con alto riesgo y bajas recompensas, en tanto que el de las telecomunicaciones presenta menor riesgo y redunda en las recompensas más altas, seguido por el sector de la energía eléctrica. Los recursos energéticos y humanos (que abarcan proyectos en educación, salud y nutrición) son sectores de alto riesgo, pero también tienden a generar recompensas elevadas.
- La meta primordial del Banco es reducir la pobreza, y la cohorte de 1995 refleja esta orientación. No obstante, la cohorte antecede la estrategia actual del Banco de reducción de la pobreza, adoptada en 1991. La estrategia comprende el crecimiento con uso intensivo de mano de obra e intervenciones focalizadas en los servicios sociales (es decir, educación primaria, atención básica de la salud, planificación familiar y mejoramiento nutricional) para que la población de menores recursos pueda aprovechar las oportunidades de generación de ingresos que crea el crecimiento económico. También comprende la creación de una red de protección social para quienes no puedan beneficiarse de las nuevas oportunidades económicas (los niños y los ancianos, por ejemplo) o los que sean vulnerables a fenómenos climáticos como inundaciones o sequías, o a políticas de austeridad. Los proyectos orientados al crecimiento económico representan alrededor del 90 por ciento de la cohorte de 1995, mientras que en la cartera actual, casi la cuarta parte de los proyectos respaldan inversiones en los sectores sociales.
- Se han logrado ciertos avances en la reducción de la pobreza, pero éstos son pequeños si se considera la tarea que queda por realizar. Es menester dar más atención a las evaluaciones de la pobreza y a su representación en las estrategias de asistencia a los países. Ningún país ha conseguido mantener sus esfuerzos de reducción de la pobreza sin crecimiento económico, pero el perfil del crecimiento es un factor importante que determina la manera en que éste influye en la reducción de la pobreza.
- Alrededor del 25 por ciento de los proyectos de la cohorte de 1995 tuvieron una orientación ecológica, y la mayoría de ellos se centró en las actividades agropecuarias. Los resultados de los proyectos fueron ligeramente inferiores al promedio de todo el Banco. Aproximadamente la mitad de los proyectos fueron aprobados antes del ejercicio de 1986, es decir, antes de que se pusiesen en práctica grandes mejoras en los procedimientos del Banco con respecto al medio ambiente.
- Los proyectos de medio ambiente de la cohorte aprobados después de 1991 arrojan, en general, mejores resultados que los aprobados a principios de la década de 1980. Las operaciones recientes prestan atención más explícita a las cuestiones ambientales, y hay señales de que se está aprendiendo y progresando. Al mismo tiempo, este avance se ve limitado por la capacidad institucional de los prestatarios y por el enorme reto que plantea el crecimiento de la población.

*¿Cuáles son los factores que determinan los resultados de los proyectos y de la cartera?
¿Qué enseñanzas se pueden extraer de los proyectos sobresalientes y de los proyectos deficientes?*

- A nivel de los proyectos individuales, el desempeño del prestatario fue el factor que más influyó en los resultados, seguido de cerca por las repercusiones del desempeño del Banco.
- De las 356 operaciones evaluadas y sometidas a auditoría en 1995, 16 (5 por ciento) fueron calificadas como sobresalientes y ocho (2 por ciento) como deficientes. En las primeras se registró una fuerte identificación y compromiso del prestatario con la operación.
- A nivel de la cartera, el análisis econométrico multinacional revela que la buena gestión económica es el factor de mayor peso para mejorar los resultados y la sostenibilidad de la cartera, sobre todo en países con resultados deficientes. Si bien es probable que un buen desempeño del Banco reduzca el riesgo de obtener resultados insatisfactorios, el esfuerzo debe ser muy intenso para superar las dificultades de unas condiciones económicas deficientes y desfavorables para la ejecución de los proyectos en el país.

¿Qué opciones tiene la administración para mejorar los resultados de la cartera? ¿Cuáles son las probables repercusiones?

- Se realizó una serie de pruebas de sensibilidad para estudiar las probables repercusiones de las opciones de que dispone la administración para mejorar los resultados de la cartera. Las pruebas, basadas en modelos econométricos, indican que si se logran mejoras simultáneas en la evaluación inicial y la supervisión del Banco hasta llegar a un nivel de resultados satisfactorios de 90 por ciento-95 por ciento, y en la ejecución por parte del prestatario hasta alcanzar un nivel de aproximadamente el 80 por ciento, los resultados de la cartera se elevarían en unos 12 puntos porcentuales, hasta ubicarse en el 80 por ciento, en comparación con el 68 por ciento de resultados satisfactorios en la actualidad. La estimación está sujeta a importantes consideraciones metodológicas.
- Se efectuaron pruebas adicionales basadas en un modelo de probabilidad condicional que se vincula a la situación de la cartera actual y se caracteriza por ser adaptable, es decir, toma en cuenta el cambio que sufre el comportamiento de los proyectos con el correr del tiempo al dar una ponderación mayor a las observaciones más recientes que a las anteriores. Los resultados son congruentes con las pruebas econométricas. El modelo indica que con una mejor gestión de la cartera, mayor selectividad al decidir la asistencia a los países y una mejor calidad desde las etapas iniciales, la proporción de proyectos con resultados satisfactorios a su conclusión podría incrementarse a un 80 por ciento en los próximos ocho años. El mejoramiento de la calidad desde las etapas iniciales es el factor más importante dado que la cartera se va renovando progresivamente.
- Las distintas pruebas de sensibilidad indican claramente que el mejoramiento de la cartera es una tarea de gran envergadura que requiere acciones decididas por parte del Banco y compromiso y perseverancia por parte de los prestatarios. Los esfuerzos combinados deberán apoyarse en un nuevo pacto entre la institución y los prestatarios, donde se especifique por un lado el compromiso de cada país con su propio desarrollo y con la reducción de la pobreza, y por otro lado la respuesta modulada del Banco. Cuanto más defi-

ciente sea la evolución económica de un país, menos financiamiento va a recibir. Para algunos países con una trayectoria económica desfavorable, la asistencia del Banco adoptará predominantemente (o en su totalidad) la forma de estudios económicos y sectoriales y de respaldo institucional. En casos extremos, es posible que no se reciba respaldo del Banco de ningún tipo hasta que, y a menos que, el prestatario haya demostrado que se identifica con sus esfuerzos en pos del desarrollo. Se dice que sólo abandonando totalmente los procedimientos actuales, con apoyo en pactos, es posible lograr un nivel satisfactorio del 80 por ciento en los resultados dentro de los próximos cinco años. Las acciones administrativas indicadas incluirían, por ejemplo, una estricta selectividad de los países e instrumentos de asistencia, nuevos tipos de proyectos con uso intensivo de operaciones piloto y anulaciones de los proyectos en situación de riesgo efectivo, así como la reestructuración de los proyectos con riesgos potenciales.

- Los comportamientos determinados históricamente de los países clientes, el Banco y sus asociados son factores importantes que influyen en los resultados de la cartera. El modelo indica que el logro de una acusada mejoría en los resultados de la cartera del Banco es una tarea enorme que exige determinación y perseverancia.

Observaciones finales

- Al examinar los resultados de la cohorte de 1995 y la trayectoria de los resultados a largo plazo se observa que algunas tendencias recientes son alentadoras, pero el nivel de resultados satisfactorios de los proyectos, que se ha estancado en el 70 por ciento en los últimos años, señala la necesidad de mejorar. El Banco puede gestionar mejor los riesgos. Dadas las responsabilidades del Banco por ser una institución para el desarrollo, es indudable que no puede evitar correr riesgos. No puede darle la espalda a países que padecen inestabilidad política y económica ni a otros en los que el compromiso de las autoridades no es tan fuerte como debería ser. No obstante, debe aprovechar las enseñanzas recogidas y utilizar las herramientas de las que dispone para ayudar a gestionar los riesgos que entraña el desarrollo.
- En primer lugar, a nivel de los proyectos, es importante el desempeño de los prestatarios. Existe una estrecha relación entre el compromiso del gobierno con las metas operativas y los resultados observados. La evaluación ha establecido que la identificación con los objetivos del proyecto depende de cuatro factores: pertinencia de la iniciativa, nivel de convicción de los sectores de las políticas, expresión de voluntad política de los altos funcionarios y esfuerzos encaminados a lograr un consenso entre los diferentes grupos interesados. También es necesario que los prestatarios hagan suyos los objetivos, porque esto no puede darse por hecho. El desarrollo de capacidades reviste una importancia crucial. En este respecto, es preciso destacar que los préstamos independientes para asistencia técnica han logrado resultados desfavorables a largo plazo y muy deficientes en la cohorte de 1995. Es necesario actuar para realizar el pleno potencial de este importante instrumento.
- En segundo lugar, es importante el desempeño del Banco. En general, los proyectos plantean cada vez más exigencias, son cada vez más complejos y entrañan mayores riesgos a medida que pasa el tiempo. Pese a todo, los proyectos sobresalientes se caracterizan por una supervisión eficaz y por la flexibilidad del Banco para adaptarse a las nuevas condiciones; los proyectos deficientes no muestran ninguna de esas características. Desde una perspec-

tiva a largo plazo, la actuación del Banco en materia de supervisión requiere, muy especialmente, una atención directa y continua. La calidad desde las etapas iniciales también es fundamental. La esfera en que el desempeño del Banco ha sido más deficiente en relación con la cohorte de 1995 es la evaluación inicial, la que tiene que ser mucho más realista. Las anulaciones de compromisos son numerosas y con gran frecuencia se exceden holgadamente los plazos fijados.

- Tercero, los proyectos individuales no corren los mismos riesgos ni es probable que redunden en recompensas iguales si todo sale bien. Los riesgos varían según la región, el país, el sector, los instrumentos de financiamiento y el tamaño y otras características de los proyectos. Por ejemplo, los proyectos complementarios tienen resultados superiores a la media. El Banco deberá procurar reducir ese 30 por ciento de proyectos que se ubican en la categoría de alto riesgo y bajas recompensas. Se recomienda aumentar las actividades piloto en proyectos exigentes y complejos. En situaciones de alto riesgo es particularmente conveniente recurrir a asociaciones con otros participantes.
- Cuarto, a nivel de la cartera, los países con una buena gestión económica tienden a obtener mejores resultados en ese ámbito. En esos países, incluso los sectores de todo el Banco con una actuación deficiente logran resultados más favorables que el promedio. Esto quiere decir que la aplicación de una política acertada es muy importante. La pertinencia del financiamiento del Banco se ha juzgado en función de su congruencia con las estrategias de asistencia a los países. A su vez, estas estrategias se apoyan en los principios fundamentales de la gestión económica y la especificidad temática —la reducción de la pobreza a través de la inversión en recursos humanos, la promoción del sector privado y el diseño de programas de desarrollo ecológicamente sostenibles. Es de suma importancia que en cada estrategia de asistencia a los países se evalúe de manera realista la capacidad que existe dentro del país para poder obtener los resultados deseados. Dada la enorme relevancia de las condiciones que imperan en el país, es probable que adoptando un enfoque más selectivo en el uso de los instrumentos de asistencia, entre ellos los estudios económicos y sectoriales y el desarrollo institucional, se logre mejorar las condiciones económicas de los países y los resultados globales de la cartera de préstamos.
- Para mejorar su contribución a las repercusiones en materia de desarrollo institucional, las operaciones en los países con resultados deficientes, sobre todo, deberán atender mejor los problemas de la gestión pública, la reforma de la administración pública, la descentralización, la desregulación, el desarrollo del sector privado y una mayor participación.
- Estas observaciones abogan en favor de una mayor selectividad o de una mayor segmentación de las estrategias del Banco por países y sectores. Teniendo en cuenta que la administración está contemplando un nuevo pacto entre donantes y prestatarios, es necesario tratar de manera diferente a los distintos países con su propia y singular coyuntura, considerando su compromiso con la reforma de las políticas, la ejecución adecuada de los proyectos para el desarrollo y la evaluación de los riesgos que realiza el Banco. Si se opta por una mayor selectividad será necesario utilizar también instrumentos no crediticios, como la asistencia técnica, para mejorar el entorno dentro de cada país. Por ejemplo, en algunos países con resultados deficientes, el Banco deberá considerar la posibilidad de limitar su asistencia a los estudios económicos y sectoriales y al respaldo institucional.

- Tal como lo indican varias pruebas de sensibilidad basadas en modelos, lograr una mejoría notable en los resultados de la cartera del Banco supone una tarea de gran envergadura, que requerirá un liderazgo congruente y esfuerzos sostenidos durante mucho tiempo.

Implicaciones para la política del Banco

A efectos de aprovechar las enseñanzas que se recogen de este examen anual, se indican las siguientes orientaciones en materia de políticas:

- En los países que se caracterizan por un marco de políticas distorsionado y un entorno frágil para la ejecución de proyectos, deberá darse preferencia a los servicios de asesoramiento y al desarrollo de capacidades antes que al financiamiento.
- Habida cuenta de los resultados poco favorables de los créditos y préstamos independientes para asistencia técnica, el Banco deberá procurar establecer alianzas estratégicas con entidades debidamente seleccionadas para poder prestar servicios de desarrollo de capacidades paralelamente a los préstamos y créditos, o mejor aún, antes que éstos.
- En los casos en que los riesgos sean altos y las capacidades internas frágiles o sea necesario fortalecer el compromiso del prestatario, o ambas cosas, deberá mejorarse la calidad desde las etapas iniciales induciendo a los prestatarios y a los asociados a aprender de las operaciones a escala piloto, antes de otorgarse financiamiento a gran escala del Banco.
- Durante todo el ciclo del proyecto deberá fortalecerse la evaluación del riesgo, la supervisión y la evaluación en lo que toca al desarrollo; además, la información obtenida deberá utilizarse en el diseño y la aplicación de las estrategias de asistencia a los países, poniendo mayor énfasis en las cuestiones de ejecución de la cartera en el diálogo que se sostenga con el país.
- Deberá continuar preparándose el Informe anual sobre el desempeño de la cartera, perfeccionándolo para que sea utilizado por la administración y el Directorio Ejecutivo como instrumento estratégico de gestión de los riesgos y supervisión.

Implicaciones para los prestatarios

Si bien el Banco debe mejorar su gestión, conforme a las observaciones de este informe, no debe manejar todos los controles. Desde esta nueva óptica, es menester que los clientes entiendan que los programas y los fondos que están en juego son los suyos y no los del Banco. Y, como siempre, el éxito de las intervenciones respaldadas por el Banco —sean programas, proyectos o servicios no crediticios— dependerán, en última instancia, del compromiso de los países clientes para con el desarrollo.

Notas

1. En este informe se utilizan indistintamente los términos “proyecto” y “operación”.
2. La metodología de evaluación del Departamento de Evaluación de Operaciones es particularmente rigurosa cuando se trata de calificar el desarrollo institucional. Ésta in-

forma la proporción de proyectos que tienen repercusiones importantes en esta materia, pero no la proporción de proyectos con una calificación moderada. En los exámenes anuales previos se utilizó un concepto más limitado de desarrollo institucional, es decir, el grado en que se lograron los objetivos especificados en esa materia.

Résumé

Observations générales

Les résultats obtenus par la classe de 264 opérations de 1995 sont analogues à ceux de la classe précédente. Il en ressort que, sur l'ensemble des opérations appuyées par la Banque, les deux tiers environ ont eu une issue satisfaisante. Pour ce qui est du volume des prêts, cependant, on observe un bond en avant, celui-ci passant de 65 pour cent l'an dernier et 66 pour cent en 1990-94 à 73 pour cent. Les risques et les avantages potentiels des projets particuliers varient suivant les régions, les pays, les instruments de prêt et les secteurs, mais l'analyse de l'échantillon des projets de 1993-95 qui ont fait l'objet d'évaluations rétrospectives indique que, bien que 23 pour cent des opérations de la Banque fussent classées dans la catégorie la plus recherchée (risque faible, avantages élevés), 30 pour cent se trouvaient dans la catégorie la moins souhaitable (risque élevé, avantages faibles). Heureusement, comme le montre ce rapport, les facteurs de succès sont bien connus et, si l'on tire les enseignements de l'expérience, les résultats futurs du portefeuille devraient évoluer dans un sens positif.

La performance de l'emprunteur et la prestation de la Banque comptent et sont, respectivement, les facteurs les plus importants de réussite des projets particuliers. La prestation de la Banque a été jugée satisfaisante dans 78 pour cent des opérations de la classe de 1995, et celle des emprunteurs dans 69 pour cent. Il est donc possible de progresser. La prestation de la Banque dans le domaine de la supervision exige une attention et un suivi continus.

Il existe des stratégies additionnelles de gestion des risques. Par exemple, il ressort de l'analyse que les projets répliques donnent de meilleurs résultats que les autres, ce qui indique qu'il faudrait continuer à en réaliser de manière sélective. Parmi les autres stratégies de gestion des risques, on relève l'utilisation des opérations pilotes pour les projets relativement risqués et un recours accru aux partenariats avec d'autres institutions de développement et des organisations bénévoles privées.

Selon l'analyse statistique, l'amélioration de la gestion macroéconomique est le facteur qui influe le plus sur l'amélioration des résultats du portefeuille dans les pays où le bilan a été décevant. Il faut que la prestation de la Banque soit excellente pour surmonter les handicaps créés par un mauvais environnement économique, défavorable à l'exécution des projets. Il ressort de ces constatations que la Banque devrait être plus sélective dans ses opérations de prêt et que les services hors prêts devraient être utilisés plus systématiquement pour encourager les pays à se doter de cadres de politique appropriés s'ils souhaitent que les opérations de prêt soient couronnées de succès.

Au moyen d'un modèle de probabilité conditionnelle, on a effectué des analyses de sensibilité des futurs résultats du portefeuille. Il en est ressorti qu'il sera difficile d'obtenir une amélioration marquée des résultats du portefeuille et que les efforts devront être poursuivis sur le long terme à mesure que le portefeuille se renouvellera. Il faudra notamment améliorer sensiblement la qualité des nouveaux projets entrant dans le portefeuille et l'exécution des projets, en privilégiant les pays qui ont un environnement de

politique économique et de gouvernance approprié pour les opérations de prêt, et en accordant davantage de services hors prêts aux autres pays. C'est seulement en abandonnant carrément les pratiques actuelles, c'est-à-dire en sélectionnant plus soigneusement les pays et les instruments d'aide, en ayant largement recours aux opérations pilotes et en annulant davantage de projets médiocres, qu'on peut espérer atteindre 80 pour cent de résultats satisfaisants.

Constatations particulières

Que nous apprennent les résultats des opérations¹ qui ont fait l'objet d'une évaluation rétrospective en 1995 et la tendance à plus long terme sur les risques-projet et les risques-portefeuille?

- La classe des projets qui ont fait l'objet d'une évaluation rétrospective en 1995 comporte 264 opérations, représentant environ 22 milliards de dollars de décaissements en faveur de 80 pays et environ 3,6 milliards de dollars d'annulations.
- La Banque applique une méthodologie rigoureuse à l'évaluation des résultats des projets. Il convient de souligner qu'un résultat classé non satisfaisant ne signifie pas obligatoirement que le projet est un échec complet. Les projets dont les résultats sont jugés non satisfaisants peuvent apporter des avantages substantiels qui contribuent à améliorer le bien-être général, même si les projets ne remplissent pas un ou plusieurs objectifs majeurs.
- Dans l'ensemble, le bilan est analogue à celui de l'année dernière : sur la classe de 1995, 68 pour cent des opérations avaient eu des résultats satisfaisants (contre 66 pour cent pour la classe de 1994); 46 pour cent semblaient avoir des chances de durer (pourcentage proche des 44 pour cent de la classe de 1994); et 27 pour cent avaient eu un impact sensible sur le développement institutionnel (contre 30 pour cent pour la classe de 1994)².
- Si l'on mesure les résultats au volume des prêts, on obtient un classement satisfaisant pour 73 pour cent de la classe, contre 65 pour cent en 1994. Ce bond tient à une nette augmentation de la taille moyenne des projets entre 1994 et 1995 et au fait que les grands projets réussissent généralement mieux que les autres. Ce progrès n'est pas forcément significatif et peut tout simplement refléter la différence dans la distribution par taille des deux classes de projets qui ont été évalués successivement.
- La prestation générale de la Banque a été jugée satisfaisante pour 78 pour cent des opérations (86 pour cent si l'on pondère des décaissements), mais la prestation de l'emprunteur n'a été satisfaisante que dans 69 pour cent d'entre elles (75 pour cent si l'on pondère des décaissements). Si les progrès sont encourageants dans le cas de la Banque (sa prestation avait été jugée satisfaisante dans 73 pour cent des opérations dans la classe de 1994), la tendance à plus long terme indique que la prestation de la Banque en matière de supervision a baissé tous les ans, tombant de 82 pour cent pour l'année de clôture 1991 à 74 pour cent pour l'année de clôture 1994. La Banque commence à accorder une attention accrue à l'amélioration de la supervision; c'est un domaine qui mérite de continuer à être suivi de près.
- Les taux de rentabilité économique ont atteint ou dépassé 10 pour cent en valeur réelle dans 86 pour cent des opérations pour lesquelles ils ont été calculés dans la classe de 1995. Ils n'ont cependant été calculés que pour 36 pour

cent des opérations de la classe, et il faut que la qualité générale de l'analyse économique s'améliore.

- Si la proportion de projets satisfaisants se maintenait aux environs de 70 pour cent pour le portefeuille actif (moyenne du taux de résultats satisfaisants basée sur le nombre de projets, pondérés par les décaissements, classés satisfaisants), cela voudrait dire que quelque 40 milliards de dollars d'engagements en cours de la Banque risqueraient de donner des résultats insuffisants, c'est-à-dire de ne pas atteindre leurs objectifs déclarés.
- La guerre et les troubles civils ont joué un rôle important dans les résultats de la classe de 1995. Si l'on exclut de l'analyse tous les projets qui ont eu des effets négatifs substantiels dus à la guerre ou aux troubles civils, le pourcentage passerait de 68 à 73 pour cent de projets satisfaisants pour la classe.
- Les risques sont liés aux régions et au revenu des pays. L'Asie de l'Est et le Pacifique demeurent la région la plus performante, tandis que l'Afrique est nettement en bas de l'échelle pour les résultats et en haut pour les risques. Par groupe de revenu, les pays à revenu intermédiaire, tranche inférieure, obtiennent dans l'ensemble les meilleurs résultats, tandis que les pays à faible revenu présentent les plus grands risques. Les prêts de la BIRD ont systématiquement de meilleurs résultats que les opérations de l'IDA et les opérations à financement mixte BIRD/IDA.
- Les résultats des prêts d'investissement n'ont été que légèrement meilleurs, pour la classe de 1995, que ceux des prêts d'ajustement et, depuis 1990, ces deux types de prêts ont, en moyenne, obtenu des résultats tout aussi satisfaisants. Les prêts de redressement d'urgence ont souvent d'excellents résultats.
- Les opérations répliques ont de meilleurs résultats (satisfaisantes à 79 pour cent) que toutes les opérations prises en groupe (72 pour cent de projets satisfaisants parmi ceux évalués entre 1974 et 1995).
- L'évaluation de cette année identifie les risques et les avantages effectifs liés aux projets et pour le portefeuille en termes de résultats, de soutenabilité et d'impact sur le développement institutionnel. Pour l'échantillon des projets qui ont fait l'objet d'évaluations rétrospectives en 1993-95, 23 pour cent des opérations de la Banque se trouvaient dans la meilleure catégorie (risque faible/avantages élevés), tandis que 30 pour cent se trouvaient dans la plus mauvaise (risque élevé/avantages faibles). Le défi consiste à grossir la première en réduisant la seconde.

Quels sont les faits notables de l'année d'évaluation 1995, par secteur et par thème, et quelles sont les implications en matière de gestion des risques?

- Les risques et les avantages varient également suivant les secteurs. Les finances, en particulier (souvent les lignes de crédit) et l'assistance technique — deux secteurs d'une grande importance pour l'impact au niveau du pays et/ou le développement institutionnel et la soutenabilité — donnent de mauvais résultats dans le temps.
- L'agriculture et l'industrie, secteurs où les résultats ont toujours été médiocres, marquent un progrès dans la classe de 1995; l'amélioration tient à des recentrages dans la composition par pays et/ou sous-secteur.

- L'analyse des risques et des avantages par secteur fait ressortir que les projets-programmes et les projets de réformes (tels que les prêts sectoriels et structurels, les prêts pour le développement du secteur privé et les prêts en faveur de la gestion du secteur public) se distinguent par des risques élevés, mais la probabilité d'avantages élevés est aussi grande que la probabilité d'avantages faibles. Le secteur urbain et l'assistance technique se distinguent par des risques élevés et des avantages faibles, tandis que les télécommunications sont le secteur où les risques sont le plus bas et les avantages le plus élevés. Elles sont suivies par le secteur de l'électricité. L'énergie et les ressources humaines (qui englobent les projets d'éducation, de santé et de nutrition) sont des secteurs à haut risque mais aussi, souvent, à avantages élevés.
- La réduction de la pauvreté est l'objectif primordial de la Banque, et la classe de 1995 reflète cette orientation. Cependant, elle est antérieure à la stratégie actuelle de lutte contre la pauvreté de la Banque, adoptée en 1991. Cette stratégie consiste à favoriser la croissance basée sur la main-d'oeuvre, les interventions ciblées sur les services sociaux (à savoir essentiellement l'enseignement primaire, les soins de santé de base, le planning familial et l'amélioration de la nutrition) visant à mettre les pauvres en mesure de répondre aux opportunités de gain créées par la croissance, et la mise en place de filets de sécurité visant à protéger ceux qui ne peuvent pas saisir les nouvelles opportunités économiques, tels que les enfants et les personnes âgées, ou ceux qui sont à la merci de chocs tels que les inondations, la sécheresse ou les politiques d'austérité. Environ 90 pour cent de la classe de 1995 est formée de projets de croissance, tandis que, dans le portefeuille actuel, près d'un quart des projets appuient des investissements dans les secteurs sociaux.
- La lutte contre la pauvreté a donné quelques résultats, mais les progrès sont modestes quand on mesure l'ampleur du défi. Il convient d'accorder plus d'attention aux évaluations de la pauvreté et à leur prise en compte dans les stratégies d'aide-pays. Aucun pays n'a été en mesure de maintenir ses efforts de lutte contre la pauvreté sans croissance économique, mais les schémas de croissance sont un facteur important dans la manière dont la croissance influe sur la réduction de la pauvreté.
- Environ 25 pour cent des projets de la classe de 1995 comportaient un élément environnemental, surtout dans le secteur de l'agriculture. Les résultats des projets ont été légèrement inférieurs à la moyenne de l'ensemble des projets de la Banque. La moitié environ avaient été approuvés avant l'exercice 86, soit avant que les améliorations majeures apportées aux procédures de la Banque concernant l'environnement prennent effet.
- Les projets environnementaux de la classe qui ont été approuvés après 1991 ont généralement donné de meilleurs résultats que ceux qui ont été approuvés au début des années 80. Dans les opérations récentes, les questions environnementales font l'objet d'une attention plus affirmée et certains signes indiquent que l'on commence à tirer les leçons de l'expérience et que des progrès se manifestent. En même temps, les progrès sont freinés par la capacité institutionnelle des emprunteurs et l'ampleur du défi posé par la croissance démographique.

Quels sont les déterminants des résultats des projets et du portefeuille? Que peut-on apprendre des projets excellents et des projets médiocres?

- Au niveau des projets particuliers, c'est la performance de l'emprunteur qui influe le plus sur l'issue des projets, suivie de près par la prestation de la Banque.

- Sur les 356 opérations qui ont fait l'objet d'une évaluation rétrospective et d'un audit en 1995, 16 (5 pour cent) ont été classées excellentes et huit (2 pour cent) médiocres. Dans tous les projets excellents, on retrouve deux ingrédients : adhésion massive de l'emprunteur et détermination de mener à bien l'opération.
- Au niveau du portefeuille, l'analyse économétrique portant sur plusieurs pays semble indiquer que c'est la bonne gestion économique qui contribue le plus à améliorer les résultats et la soutenabilité du portefeuille, surtout dans les pays où la performance du portefeuille est médiocre. Une bonne prestation de la part de la Banque est de nature à réduire les risques de mauvais résultats, mais il faut qu'elle soit vraiment de très bonne qualité pour surmonter le handicap causé par une mauvaise conjoncture économique locale et un mauvais environnement pour la mise en oeuvre.

Quelles sont les options dont dispose la direction pour améliorer les résultats du portefeuille? Quel est l'impact probable?

- Pour examiner l'impact probable des options dont dispose la direction pour améliorer les résultats du portefeuille, on a procédé à une série d'analyses de sensibilité. Les analyses économétriques basées sur des modèles indiquent qu'une amélioration simultanée de l'évaluation et de la supervision par la Banque (qui les placerait à un niveau satisfaisant dans 90-95 pour cent des projets) et de la mise en oeuvre par l'emprunteur (satisfaisante dans environ 80 pour cent des projets) porterait les résultats du portefeuille à environ 80 pour cent de projets satisfaisants (12 pour cent de hausse). Cette estimation doit cependant être traitée avec les plus grandes précautions.
- Des analyses supplémentaires ont été effectuées sur la base d'un modèle de probabilité conditionnelle qui se rattache à l'état du portefeuille actuel et peut s'adapter, c'est-à-dire qu'il tient compte de l'évolution du comportement des projets dans le temps en affectant les observations les plus récentes d'une pondération plus forte que les observations antérieures. Les résultats correspondent à ceux des analyses économétriques. Le modèle indique qu'avec une meilleure gestion du portefeuille, une plus grande sélectivité dans l'aide-pays et une meilleure qualité à l'entrée dans le portefeuille, la part des projets ayant des résultats satisfaisants lors de l'achèvement pourrait passer à 80 pour cent en huit ans. L'amélioration de la qualité des nouveaux projets est le facteur le plus important, car le portefeuille se renouvelle petit à petit.
- Il ressort clairement des diverses analyses de sensibilité que l'amélioration du portefeuille est une tâche redoutable, qui exige de l'audace de la part de la Banque et de la détermination et de la persévérance de la part des emprunteurs. Les efforts conjoints seraient confortés de manière optimale par la conclusion d'un nouveau pacte entre la Banque et les emprunteurs. Il stipulerait la volonté des pays de mener à bien la tâche de développement et de réduction de la pauvreté ainsi que la réponse modulée de la Banque. Plus la performance d'un pays laisserait à désirer, moins il recevrait de prêts. Pour certains emprunteurs peu performants, l'aide de la Banque prendrait essentiellement (ou entièrement) la forme d'analyses économiques et d'études sectorielles et d'appui institutionnel. Dans les cas extrêmes, la Banque n'accorderait de soutien d'aucune sorte tant que l'emprunteur ne démontrerait pas son adhésion à ses efforts de développement. On soutient qu'il faut s'écarter radicalement des pratiques actuelles, pactes à l'appui, si l'on veut obtenir 80 pour cent de résultats satisfaisants d'ici cinq ans et quelques. Les types

d'interventions comprendraient, par exemple, une stricte sélection en termes de pays et d'instruments d'assistance, des projets de type nouveau et un recours intensif aux opérations pilotes, et l'annulation des projets effectivement aléatoires ainsi que la restructuration des projets potentiellement aléatoires.

- Les comportements formés par l'histoire dans les pays clients, à la Banque et chez ses partenaires, influent considérablement sur les résultats du portefeuille. Le modèle indique qu'il sera extrêmement difficile d'obtenir une amélioration sensible de la performance du portefeuille et que cette tâche exigera détermination et persévérance.

Conclusions

- L'examen des résultats de la classe de 1995 et les tendances à plus long terme indiquent que certaines évolutions sont encourageantes, mais que le plateau de 70 pour cent de résultats satisfaisants atteint au cours des dernières années laisse une marge d'amélioration. La Banque peut mieux faire dans le domaine de la gestion des risques. Il est certain, étant donné ses responsabilités en tant qu'institution de développement, qu'elle ne peut pas éviter les risques. Elle ne peut pas se détourner des pays confrontés à l'instabilité politique et économique et des pays où les autorités nationales ne sont pas aussi fermement résolues qu'on pourrait le souhaiter. Elle n'en doit pas moins appliquer les leçons de l'expérience et utiliser les outils dont elle dispose pour aider à gérer les risques du développement.
- En premier lieu, au niveau des projets, la performance de l'emprunteur compte. Il existe un lien étroit entre la volonté du gouvernement d'atteindre les objectifs opérationnels et les résultats observés. L'évaluation rétrospective a établi que l'adhésion dépend de quatre facteurs : origine de l'initiative, niveau de conviction parmi les dirigeants, expression de la volonté politique aux échelons les plus élevés du gouvernement et efforts pour former un consensus entre les différents groupes d'intérêts. L'adhésion de l'emprunteur doit également être entretenue; elle n'est pas acquise d'emblée. Le renforcement des capacités est essentiel. À cet égard, il est important de noter que les prêts d'assistance technique pure ont obtenu des résultats médiocres sur le long terme et qu'ils ont été très décevants pour la classe de 1995. Il importe de prendre des mesures pour réaliser pleinement les potentialités de cet instrument important.
- En deuxième lieu, la prestation de la Banque compte. Les projets deviennent de plus en plus difficiles, complexes et aléatoires dans le temps. Cependant, on observe que, dans les projets excellents, la Banque a procédé à un suivi efficace et s'est adaptée avec souplesse à l'évolution des circonstances; dans le cas des projets médiocres, rien de cela n'est en évidence. À plus long terme, il faut continuer à suivre de près la prestation de la Banque durant la supervision. La qualité des nouveaux projets est également cruciale. S'agissant de la classe de 1995, le point le plus faible de la prestation de la Banque se situe au niveau de l'évaluation, où l'on dénote un réalisme insuffisant. Les engagements sont fréquemment annulés et les délais sont trop souvent largement dépassés.
- En troisième lieu, les projets particuliers ne présentent pas tous le même degré de risque et les avantages, si tout va bien, ne sont pas les mêmes dans tous les cas. Les risques varient suivant les régions, les pays, les secteurs, les

instruments de prêt, la taille des projets et autres caractéristiques. Les projets répliques, par exemple, réussissent mieux que la moyenne. La Banque doit s'efforcer de réduire les 30 pour cent de projets situés dans la catégorie risque élevé-avantages faibles. Il paraît souhaitable de recourir plus fréquemment aux opérations pilotes dans le cas de projets difficiles et complexes. Le partenariat est particulièrement recommandé dans les situations à haut risque.

- En quatrième lieu, au niveau du portefeuille, les pays qui bénéficient d'une bonne gestion économique sont, en général, ceux qui obtiennent les meilleurs résultats. Même les secteurs qui ont le plus de problèmes au niveau de la Banque dans son ensemble font mieux que la moyenne. Il faut en conclure que la politique suivie compte. C'est à la manière dont elle s'inscrit dans le cadre des stratégies d'aide-pays qu'on juge désormais l'utilité des prêts de la Banque. Ces stratégies elles-mêmes sont déterminées par les éléments de base de la gestion économique et par les priorités sectorielles — réduction de la pauvreté par l'investissement dans les ressources humaines, promotion du secteur privé et programmes de développement écologiquement viable. Il est impératif que chaque stratégie d'aide-pays évalue avec réalisme les capacités locales disponibles pour mener les programmes à bien. Étant donné l'importance capitale de la situation locale, on peut sans doute améliorer la conjoncture économique du pays et les résultats de son portefeuille en général en utilisant les instruments d'aide de manière plus sélective, notamment les analyses économiques et études sectorielles et le développement institutionnel.
- Les opérations qui se déroulent dans les pays peu performants, en particulier, auraient sans doute un impact plus positif sur le développement institutionnel si elles s'attaquaient aux problèmes de la gestion du secteur public, de la réforme de la fonction publique, de la décentralisation, de la déréglementation, du développement du secteur privé et de l'amélioration de la participation.
- Ces constatations plaident en faveur d'une plus grande sélectivité ou d'une segmentation accrue, par pays ou par secteur, des stratégies de la Banque. Dans la logique de l'idée émise par la direction de la Banque d'un nouveau pacte entre bailleurs de fonds et emprunteurs, il convient de traiter différemment les différents pays qui connaissent des situations différentes, en fonction de leur attachement aux réformes et à la bonne exécution des projets, et de l'évaluation des risques par la Banque. Cette sélectivité accrue doit être accompagnée de l'emploi d'instruments hors prêts, notamment l'assistance technique, pour améliorer la conjoncture nationale. Par exemple, dans certains pays peu performants, la Banque devrait envisager de se borner à fournir son assistance sous forme d'analyses économiques et d'études sectorielles et d'appui institutionnel.
- Comme le suggèrent différentes analyses de sensibilité basées sur des modèles, il ne sera pas facile, tant s'en faut, d'obtenir une amélioration sensible des résultats de portefeuille de la Banque. Cela exigera une direction cohérente et des efforts soutenus sur le long terme.

Implications pour la politique de la Banque

Pour tenir compte des leçons qui ressortent de cet Examen annuel, on suggère les orientations ci-après :

- Dans les pays où le cadre de politique générale présente des distorsions et où les conditions de mise en oeuvre laissent à désirer, il faudrait privilégier les services consultatifs et le renforcement des capacités par rapport aux prêts.
- Étant donné les résultats médiocres donnés par les prêts et crédits d'assistance technique pure, la Banque devrait s'efforcer de nouer des alliances stratégiques avec des partenaires soigneusement sélectionnés pour fournir des services efficaces de renforcement des capacités parallèlement aux prêts et crédits ou, mieux encore, en préparation de ceux-ci.
- Lorsque les risques sont élevés et les capacités intérieures faibles, et/ou lorsque la volonté de l'emprunteur doit être cultivée, on devrait améliorer la qualité des nouveaux projets en encourageant les emprunteurs et partenaires à tirer les enseignements d'opérations pilotes avant toute opération de prêt de grande envergure.
- Il conviendrait de renforcer l'évaluation des risques de développement, le suivi et l'évaluation durant tout le cycle du projet et les incorporer à l'élaboration et à la mise en oeuvre des stratégies d'aide-pays, et faire une plus large place aux problèmes de mise en oeuvre du portefeuille dans le dialogue avec le pays.
- Il conviendrait de continuer à améliorer le Rapport annuel sur les résultats du portefeuille pour que la direction et le Conseil puissent s'en servir comme instrument de gestion et de suivi des risques stratégiques.

Implications pour les emprunteurs

Si la Banque doit mieux gérer les projets, selon les grandes lignes esquissées dans ce rapport, elle n'est pas en mesure d'influer sur tous les facteurs. Dans un tel agenda pour le changement, les clients doivent comprendre que c'est à eux qu'appartiennent les programmes et l'argent en jeu, et non pas à la Banque. Et, comme toujours, c'est la volonté de développement des pays clients qui détermine, en fin de compte, l'issue des interventions qui bénéficient de l'appui de la Banque, que ce soient des programmes, des projets ou des services hors prêts.

Notes

1. Dans tout le rapport, on emploie indifféremment les termes « projet » et « opération ».
2. La méthode suivie par l'OED pour évaluer le développement institutionnel (DI) est particulièrement rigoureuse. Elle indique la proportion de projets notés comme ayant eu un impact substantiel; elle n'indique pas la proportion de projets notés comme ayant eu un impact modéré. Dans les examens annuels précédents, une définition plus étroite du DI était utilisée, à savoir la mesure dans laquelle les objectifs déclarés de DI avaient été atteints.

Introduction

This twenty-second Annual Review of Evaluation Results focuses on managing portfolio and project risk by applying lessons learned from experience. Like its predecessors, the report provides a synthesis of lending evaluation findings. It analyzes evaluation findings for 1995, identifies lessons of experience, and highlights emerging evaluation issues both to strengthen institutional accountability and improve the World Bank's¹ development effectiveness. Key questions addressed in this report are:

- What do the performance record of projects evaluated in 1995 and the longer-term performance trends indicate about project and portfolio risk?
- What are the sectoral and thematic highlights of the 1995 evaluation year and what are their implications for risk management?
- What are the determinants of project and portfolio performance? What can be learned from outstanding and poor projects?
- What are management's options to improve portfolio performance? What is the likely impact?

Chapters 1 and 2 of this report cover the first two of the above questions. Chapter 3 addresses the third and fourth questions; that is, it explores the implications of key determinants of project and portfolio performance for active portfolio management and performance improvement from the current plateau (with about 70 percent of operations rated satisfactory) towards the 80 percent success rate that characterized the evaluated cohorts of the 1970s. Chapter 4 presents the key concluding observations and implications for the Bank and borrowers.

The Annual Review is based on implementation completion reports prepared by *operational staff for Bank-supported operations and on reviews of the completion reports, performance audit reports, impact evaluations, and evaluation and process studies by the Bank's independent Operations Evaluation Department (OED)*. It also draws on other Bank material, as appropriate. This report does not provide an evaluation of nonlending services nor of the Bank's growing guarantee program.

Volume II to this Annual Review presents the supporting annexes, which include statistical tables and the methodology underlying OED's independent review of the evaluative reports at implementation completion.

Note

1. The World Bank Group comprises two legally and financially distinct entities: the International Bank for Reconstruction and Development (IBRD) and the International Development Association (IDA). The International Finance Corporation (IFC), an affiliate of the World Bank, has its own evaluation system with a separate Annual Review.

1. Performance trends

Introduction: characteristics of the 1995 cohort

Chapter 1 looks at the performance of Bank-funded operations that were evaluated in 1995. Updating last year's analysis, the chapter also classifies countries by overall economic and portfolio performance, and goes one step further in assessing risk and actual rewards involved in operations evaluated during 1993–95. For longer-term trend analysis, the chapter uses the set of projects closed in 1994, which constitutes a more homogeneous universe that lends itself to generalizations. Annex 1 in the companion volume to this report presents the statistical detail underlying the findings.

In 1995, 264 operations (the “1995 cohort”) were evaluated for the first time. The 1995 cohort, representing disbursements of \$22.04 billion to 80 countries, and about \$3.6 billion in cancellations, reflects Bank performance throughout the late 1980s and early to mid-1990s; almost 93 percent of these operations were approved from 1984–91 (Annex Tables 1.1 and 1.2). Close to 88 percent of the operations in the 1995 cohort closed in 1993 or later, at least one year after the Bank's Portfolio Management Task Force Report was issued. In addition, OED produced performance audit reports for 92 operations whose completion reports had been prepared in earlier years. Together, the cohort and the audits form the “1995 evaluation set” of 356 operations (Annex Tables 1.3 and 1.4).

Figure 1.1 shows that, as for the 1994 cohort, the Africa region (AFR) had the largest number of Bank-supported projects, followed by Latin America and the Caribbean (LAC) and East Asia and the Pacific (EAP). These three regions also have the largest number of projects in the FY96 active portfolio (World Bank forthcoming). The largest borrower in the 1995 cohort in terms of disbursements was India, as is again the case for the FY96 active portfolio (Annex Table 1.5).

Forecasts of project costs and actual project costs are quite close on average for projects in the cohort, with the average project cost anticipated at \$244 million, and the actual at \$235 million. About 58 percent of the cohort reported cost underruns. The average underrun of 5 percent compares with an underrun of 4 percent in the 1994 cohort and 8 percent in the 1993 cohort. Most overruns in the 1995 cohort were less than 25 percent of disbursements (Figure 1.2a).

While still optimistic, implementation time forecasts for the 1995 cohort, at 23 percent over, are far better than for the 1994 cohort, which on average took 36 percent longer to implement than originally scheduled. On average, projects in the 1995 cohort were estimated to be 5.2 years in length, but actually took 6.1 years, a difference of some 17 percent. Close to one-half overran the initial time estimate by 25 percent or less. About one-fourth, however, were 50 percent over their time estimations. About 8 percent closed early (see Figure 1.2b). Time overruns have been found to often reflect a slow implementation start, delays in procurement, problems in counterpart funding, and underestimation of the implementation capacity needed.

The 1995 cohort reflects Bank performance from the late 1980s to the mid-1990s

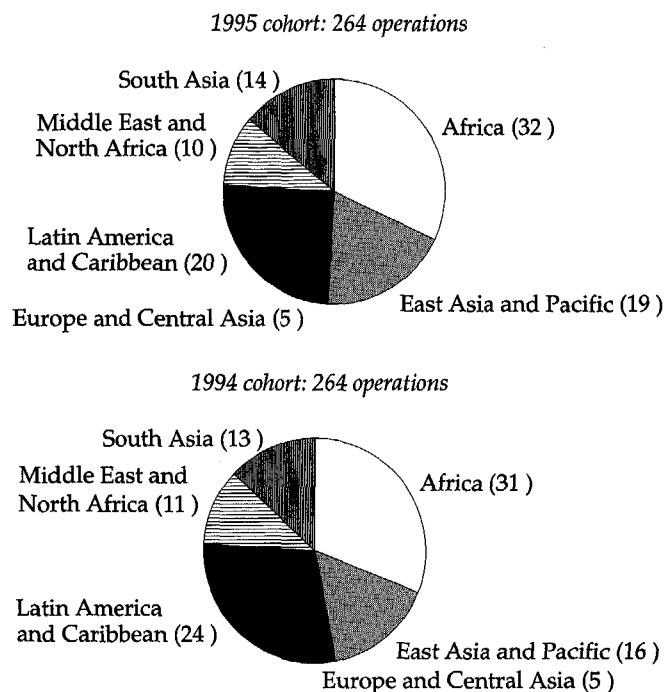
RESULTS IN BRIEF

The Bank's rigorous methodology for evaluating project performance is presented in Annex 3. Application of this methodology finds that this year's results are similar to those of last year. Of the 1995 cohort comprising 264 operations,^a 68 percent achieved satisfactory outcomes; 46 percent were considered sustainable; and 27 percent had a substantial institutional development impact. These results are somewhat better than the record of the 1994 cohort, except for institutional development impact, which decreased slightly.

- When weighted by disbursements, the percentage of lending with a satisfactory outcome increases from 65 percent for the 1994 cohort to 73 percent for the 1995 cohort. This jump is associated with a marked increase in the average size of projects in 1995 over 1994, with larger projects generally being more successful than the smaller ones.
- The longer-term trend of project outcomes (based on closing years) shows a marked upswing during 1988–90, reaching a plateau around the 70 percent mark during 1990–93 with a slight decrease for 1994.
- The results are closely associated with Bank and borrower performance at different stages of the project cycle. Overall Bank performance was satisfactory in 78 percent of the projects, while borrower performance was satisfactory in 69 percent. The Bank's weakest area of performance in relation to the 1995 cohort is appraisal; the Bank performed satisfactorily at appraisal in about 70 percent of the operations. The longer-term trend for Bank performance in supervision shows a marked decline between closing years 1991 and 1994, from 82 percent satisfactory to 74 percent. The Bank has recently given much attention to improving supervision; this is an area where continued close monitoring is indicated. War and civil strife are significant factors in the outcomes of the 1995 cohort. If all projects that had substantial negative effects from war and civil strife and that received an unsatisfactory rating were excluded from the cohort, the outcome rating would climb to 73 percent satisfactory from 68 percent.
- The East Asia and Pacific region continues to be the best-performing region, while Africa ranks lowest and involves the highest risk.
- Risk is closely associated with overall economic performance of borrower countries. Analysis by income groups finds that the lower-middle-income countries (with GNP per capita between about \$700 and \$2,800) tend to be the best performers, while the low-income countries (with GNP per capita of less than about \$700) have significantly fewer satisfactory outcome ratings. IBRD loans consistently have higher outcomes than IDA/blend loans.
- Project risk varies by lending instrument, source, and size. Investment loans fared better than adjustment loans in the 1995 cohort, but performed equally over recent cohorts; emergency recovery loans tended to be highly successful, while technical assistance loans carried considerable risk.
- Economic rates of return (ERR) reached or exceeded 10 percent in real terms for 86 percent of the projects in the 1995 cohort for which they were calculated (for only 36 percent of projects). Overall, the rigor of Bank's economic analyses needs to be improved.
- Repeater projects have better outcomes than the cohort as a whole.
- This year's assessment identifies project and portfolio risk and rewards in terms of development impact. For the 1993–95 evaluation set, 23 percent of Bank operations were in the most desirable low risk-high reward category, while 30 percent were in the least desirable high risk-low reward category. The high risk-high reward category contained 19 percent of the projects, and the low risk-low reward category contained the remaining 28 percent of the projects.

a. In this report, "project" and "operation" are used interchangeably.

FIGURE 1.1: DISTRIBUTION OF EVALUATED OPERATIONS BY REGION,
1995 AND 1994 COHORTS
(percentages)



Source: Annex Table 1.5.

Time underruns are frequently the result of curtailed project objectives and/or a changed political environment. In relatively few cases, time underruns reflect good implementation.

Performance results: the 1995 cohort¹

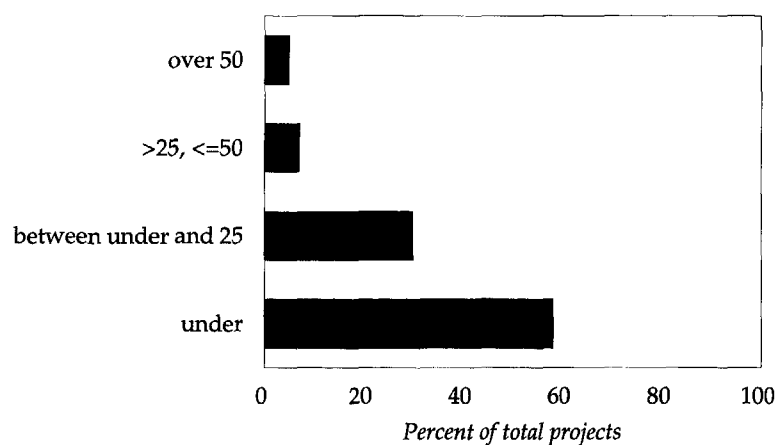
Analysis of the 1995 cohort focuses on performance in terms of three results-oriented criteria—project outcome, sustainability, and institutional development impact—as well as on key process determinants of performance, such as borrower performance, Bank performance, and country environment. This year's analysis looks across country groupings and selected subsectors and also highlights the relative importance of different project objectives across sectors.² This disaggregation reveals additional factors that influence project and portfolio performance and points to management options for future portfolio improvement.

Outcome

The outcome rating is a combined measurement of how well an individual project achieved its major relevant objectives. As shown in Box 1.1, it is important to keep in mind that a project with an unsatisfactory outcome rating may still have significant benefits even though it failed to meet one or more major

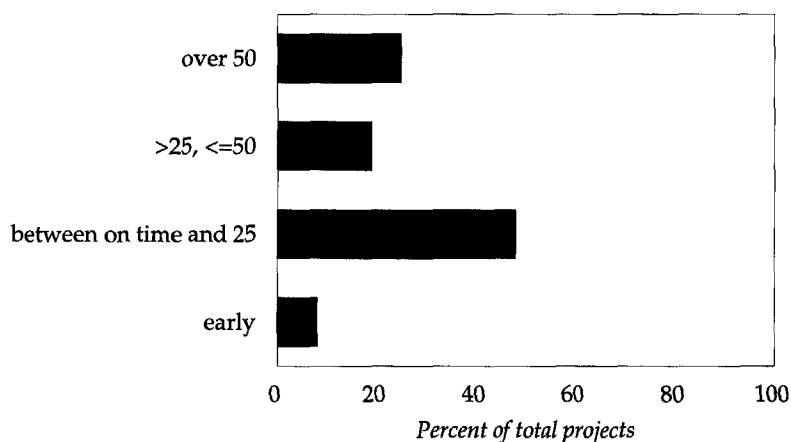
*Analysis
focuses on
results-
oriented and
key process
determinants
of project
performance*

FIGURE 1.2A: PERCENTAGE OF OPERATIONS WITH COST OVER- AND UNDERRUNS, 1995 COHORT



Source: Annex Table 1.7.

FIGURE 1.2B: PERCENTAGE OF OPERATIONS WITH TIME OVER- AND UNDERRUNS, 1995 COHORT



Source: Annex Table 1.8.

objectives. The Bank's methodology for evaluating project performance is rigorous (see Annex 3).

Sixty-eight percent of the operations evaluated in 1995 (73 percent when weighted by real disbursements) had a satisfactory outcome; that is, they achieved their major relevant objectives. This compares with 66 percent of the operations evaluated in 1994 with a satisfactory outcome (65 percent when weighted by real disbursements) (Annex Tables 1.28 and 1.29).

The fact that the disbursement-weighted ratings are higher than the non-weighted suggests that larger projects perform better than smaller projects. Annex Table 1.9 shows that this is indeed the case. The positive correlation between project size and outcome rating basically holds for all different time

BOX 1.1: UNSATISFACTORY PROJECTS CAN YIELD BENEFITS

A project may receive an unsatisfactory outcome rating because it fails to meet one or more major relevant objectives, but may still yield significant benefits. A case in point from the 1995 cohort is the fourth Caribbean Development Bank (CDB) regional vocational and technical education project. The project, approved in 1987 for \$6 million, was the first IDA-assisted vocational and technical education project in Dominica, Grenada, St. Kitts and Nevis, St. Lucia, and St. Vincent and the Grenadines. The project aimed to improve the quality and supply of trained technical and vocational manpower in the areas by improving the quality of buildings and instruction, increasing the capacity of these Eastern Caribbean States to implement technical-vocational education projects, and by enhancing management of the education sector.

The project expanded the technical and vocational education capacity in the participating countries. The fellowship program was completed, and a first comprehensive pre-vocational curriculum for lower (junior) secondary students was designed and integrated into the education systems. However, the project experienced serious implementation problems in the civil works, and equipment and furniture components. The civil works component comprised 22 subprojects involving new construction, expansion, or renovation of existing facilities. All subprojects were completed despite some substantial delays, but 18 of the 22 subprojects had cost overruns ranging from 40 to 100 percent. Facilities and instruction improved less than expected, because deficiencies in equipment and furniture made it difficult to use the workshops and training centers as planned. There was lack of coordination between civil works and procured furniture and equipment. The objective of enhanced sector management, which was related to the development of national and regional training boards, was only partly achieved. And the institutional strengthening measures, comprising improvement of the local education administrative structures and the adoption of cost saving and cost recovery measures to sustain the project, were not achieved.

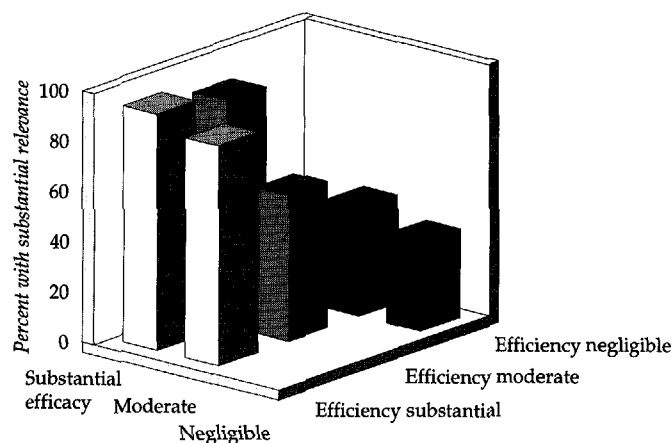
periods and country groupings, that is, by income level, IBRD compared with IDA, and by regions. The significant jump in the disbursement-weighted outcome ratings to 73 percent satisfactory in 1995, up from 65 percent in 1994, is explained by this phenomenon. The average project size in the 1995 cohort is \$97 million (in constant 1994 dollars), up from \$70 million in 1994. For the projects rated satisfactory the difference is even more pronounced: \$104 million in 1995 compared with \$72 million in 1994. The jump, per se, is not necessarily meaningful. It may simply reflect the different size distribution of two evaluation cohorts.

War and civil strife are significant factors in the outcome of the 1995 cohort. Of the nine countries falling into this category in the Bank's Annual Report on Portfolio Performance (ARPP) for fiscal 1996,³ six were represented in the 1995 evaluation cohort with a total of 25 projects, 18 of which (72 percent) were rated unsatisfactory as compared with 32 percent for the cohort as a whole and 28 percent for project non-affected countries. If all projects that had substantial negative effects from war and civil strife and that received an unsatisfactory rating were excluded from the 1995 cohort, the overall outcome rating would jump to 73 percent satisfactory from 68 percent.

*War and civil
strife are
significant
factors in
project
outcome*

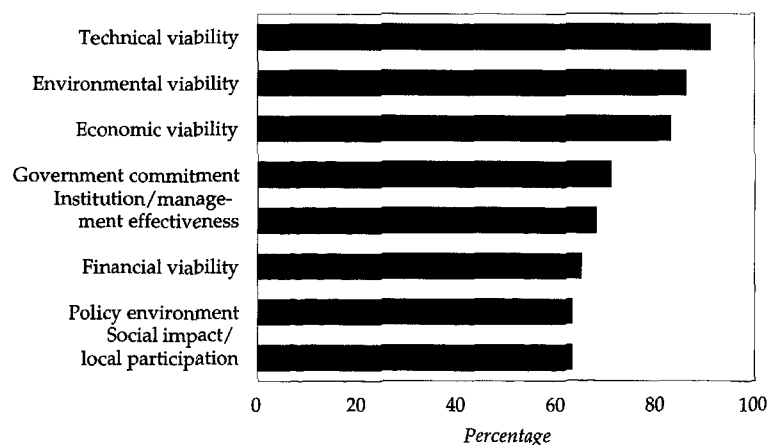
If the satisfactory outcome ratings are maintained at the current 70 percent plateau ("averaging" disbursement-weighted and non-weighted ratings), it would mean that more than \$40 billion in Bank commitments are likely to be associated with projects with less than fully satisfactory outcomes. This reading is very close to the estimate in the Bank's FY96 ARPP.⁴ The ARPP classifies 34 percent of projects (30 percent of commitments) as being "at risk." Not all these projects are likely to have unsatisfactory outcomes, nor are all projects not so classified likely to be satisfactory either. Based on the ARPP methodology, the expected outcome is close to the 70 percent satisfactory plateau.

FIGURE 1.3: INTERRELATIONSHIP OF RELEVANCE, EFFICACY, AND EFFICIENCY, 1995 COHORT



Source: Annex Table 1.11.

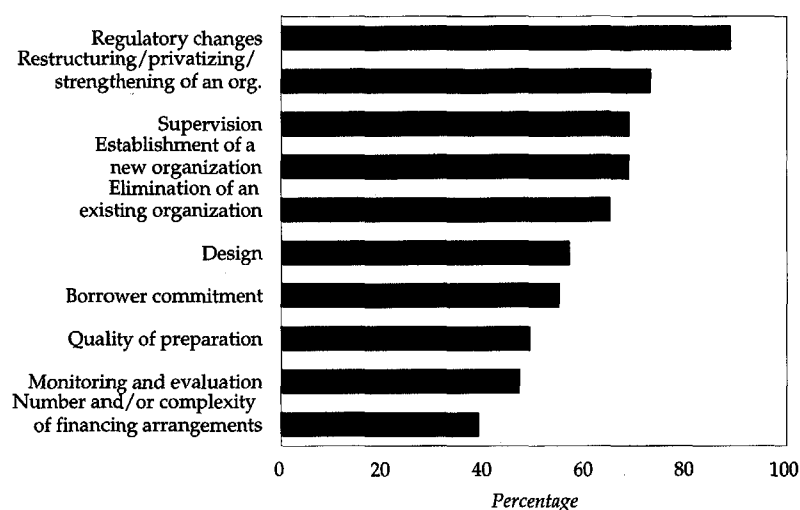
FIGURE 1.4: FREQUENCY OF FACTORS CONTRIBUTING TO PROJECT SUSTAINABILITY, 1995 COHORT



Source: Annex Table 1.16.

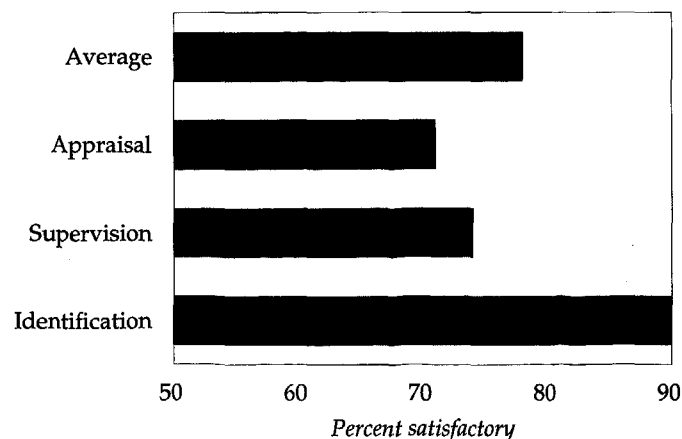
The composite nature of the outcome rating makes this measure highly demanding. A satisfactory rating means that a project's objectives have to be relevant with regard to the broader country objectives, and that the project has to be efficacious in meeting its major objectives as well as efficient (see Annex 3 on rating methodology). The combined outcome rating thus reflects judgments about *relevance*, *efficacy*, and *efficiency*. Figure 1.3 shows the share of projects with substantial relevance for various combinations of efficacy and efficiency. Half of the projects in the 1995 cohort have identical ratings across all three components. About 94 percent of projects with substantial efficacy and efficiency were

FIGURE 1.5: FREQUENCY OF FACTORS CONTRIBUTING TO INSTITUTIONAL DEVELOPMENT IMPACT, 1995 COHORT



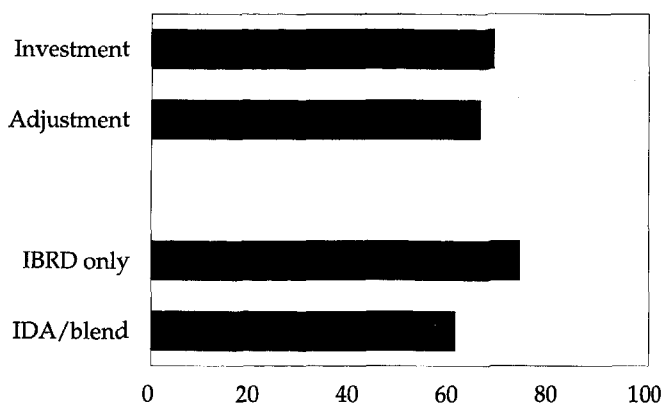
Source: Annex Table 1.16.

FIGURE 1.6: BANK PERFORMANCE, 1995 COHORT



Source: Annex Table 1.23.

FIGURE 1.7: PERCENTAGE OF EVALUATED OPERATIONS WITH SATISFACTORY OUTCOMES, BY LENDING TYPE AND SOURCE, 1995 COHORT



Source: Annex Table 1.28.

also considered substantially relevant, while 36 percent of the projects were substantially relevant but with negligible efficacy and efficiency (Figure 1.3).

Thus, it is not sufficient that those projects for which ERRs are calculated reach a re-estimated economic rate of return (RERR) of 10 percent or more. In fact, in the 1995 cohort, 7 percent of projects with RERR estimates were rated unsatisfactory for shortcomings on the other subcriteria, despite RERRs exceeding 10 percent; for closing years 1990–94, that share is also 7 percent, while for the 1974–94 period it is 5 percent (see Annex Table 1.67).

Sustainability

Just under one-half of the evaluated projects are expected to sustain their benefits

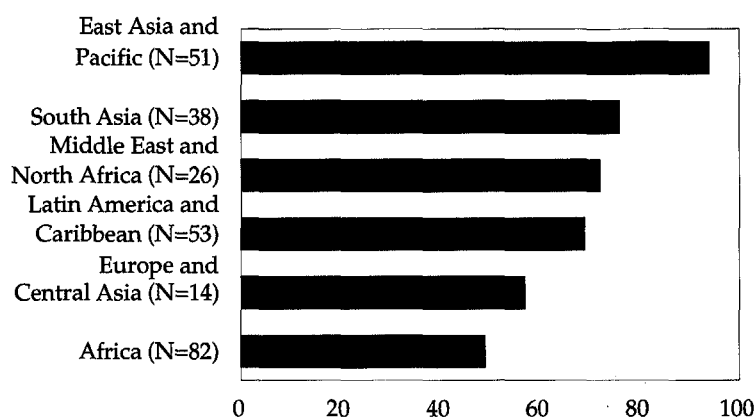
Sustainability is the likelihood, at the time of evaluation, that an operation maintains its benefits in the longer run. Slightly less than one-half (46 percent) of the evaluated projects are expected to sustain their benefits throughout the operational phase that follows the completion of loan disbursements (Annex Table 1.12 and 1.13).⁵ With disbursement weighted, more than half of the investment (56 percent) is likely to be sustainable. The rate for the 1994 cohort, at 45 percent (51 percent weighted by disbursements), was similar.

Considering the significant difference between outcome and sustainability ratings, it is evident that the longer-term prospects of many projects are questionable (translating into uncertain or unlikely sustainability ratings), although their outcome at completion was rated satisfactory. For instance, this was the case for the regional cities development projects in the Philippines. The construction of infrastructure and service improvements (roads, bridges, street lighting, markets, stormwater drainage, squatter area upgrading), one of the main objectives in building up secondary cities as a counterweight to the Manila metropolitan area, was impressive. However, progress on the institutional front was only modest, which makes sustainability unlikely. The basis for this assessment was the lack of cost recovery for certain facilities that were supposed to generate revenues for operation and maintenance and future investment for further improvement of service quality. Moreover, the scant attention to environmental issues in connection with solid waste made long-term sustainability unlikely.

As with outcome, the likelihood of sustainability is a composite rating that subsumes different dimensions, such as the likelihood of government commitment; the policy environment; management effectiveness; technical, economic, and financial viability; environmental sustainability; and social impact. For example, if a project is not technically viable, it is obviously not sustainable. Similarly, lack of financial viability—either in terms of a project's revenue earning capacity or continued budget support—will undermine longer-term sustainability, as will a marked negative impact on the environment or on income distribution and the incidence of poverty.

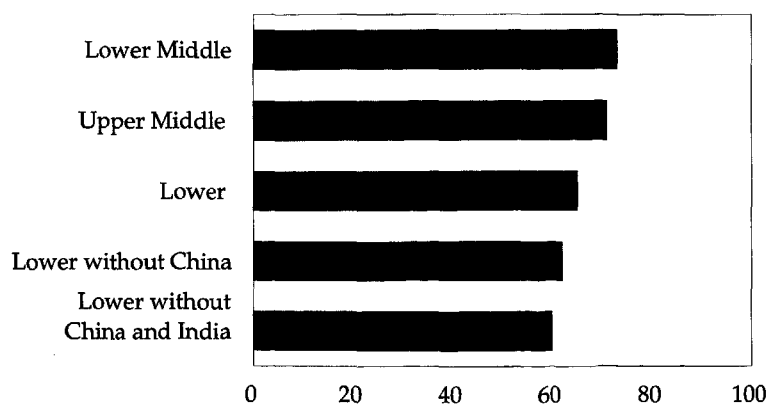
In the 1995 cohort, as Figure 1.4 (p.32) shows, technical viability is the most frequently indicated factor related to projects' likely sustainability, cited in about

FIGURE 1.8: PERCENTAGE OF EVALUATED OPERATIONS WITH SATISFACTORY OUTCOMES, BY REGION, 1995 COHORT



Source: Annex Table 1.36.

FIGURE 1.9: PERCENTAGE OF EVALUATED OPERATIONS WITH SATISFACTORY OUTCOMES, BY INCOME GROUP, 1995 COHORT



Source: Annex Table 1.36.

*Institutional
capacity is
critical to
sustainable
development*

91 percent of the projects identified as sustainable. This factor is followed in frequency by environmental viability and economic viability (86 percent and 83 percent, respectively).

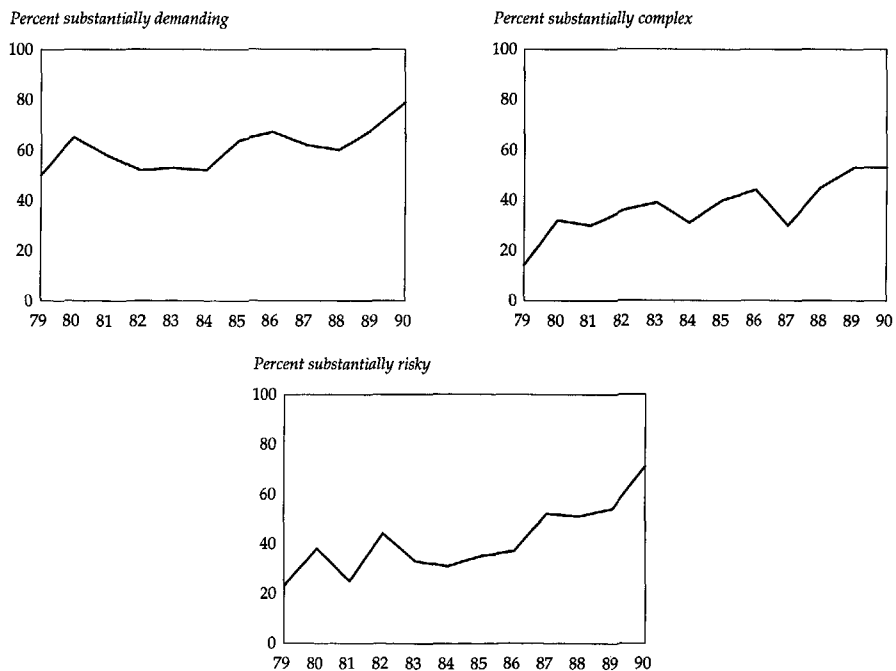
Institutional development (ID) impact

A country's institutional capacity is among the most important factors for sustainable development. While an individual project's contribution to ID is usually confined to a sector, such as agriculture, and in many cases to the project entity itself, some have a larger impact at the country level.

Ideally, for example, this would be the case for a successful technical assistance project aimed at building the capacity to manage economic policy. A good example is the Second Technical Cooperation Project in China. The objectives of the project were to (1) assist the government in preparing projects expected to be financed by the Bank or IDA; and (2) develop capacity for preparing and implementing investment projects and administering technical assistance. The project resulted in the preparation of 26 Bank/IDA investment projects totaling \$5 billion. The project largely achieved its objectives. Its sustainability is considered likely, with substantial institutional development impact at the country level in terms of capacity building for the future.

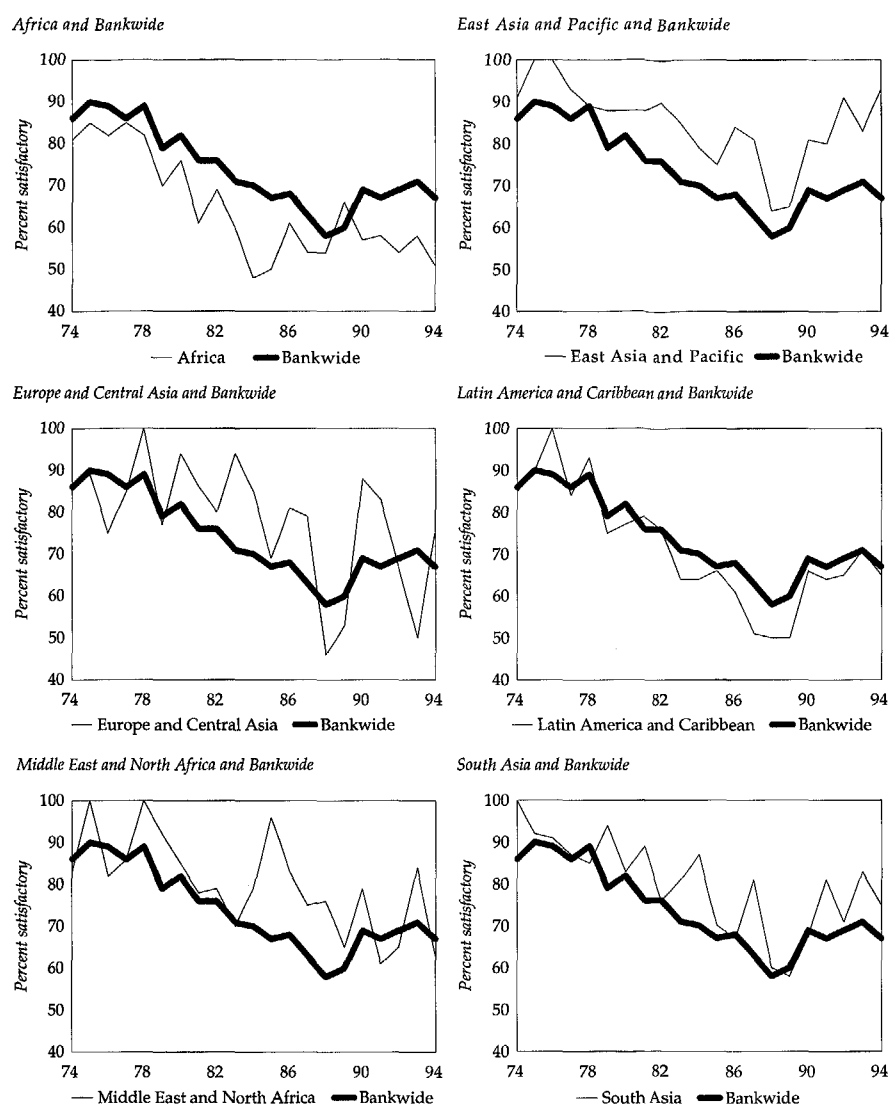
In Bank evaluations, institutional development is examined mainly from the perspective of a project's ID impact; it is also assessed in terms of achieving specific ID objectives as part of the outcome rating.⁶ The broader impact is the more relevant performance criterion. ID impact is perhaps the most demanding and crucial evaluation criterion; certainly, it is the most important one for long-term

FIGURE 1.10: DEMANDINGNESS, COMPLEXITY, AND RISKINESS, APPROVAL YEARS 1979-90



Source: Annex Tables 1.43-45.

FIGURE 1.11: PERCENTAGE OF OPERATIONS WITH SATISFACTORY OUTCOMES, BANKWIDE AND BY REGION, CLOSING YEARS 1974-94

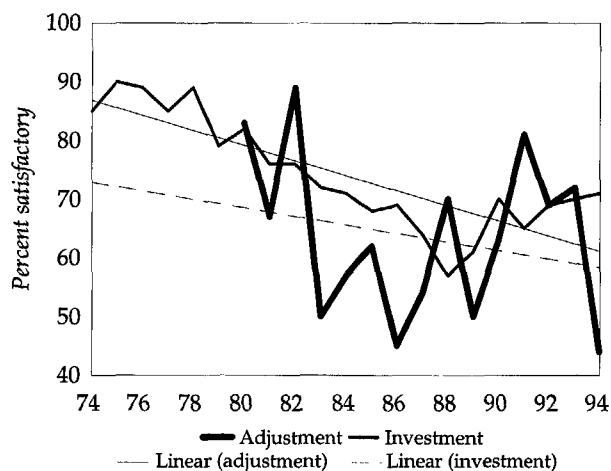


Source: Annex Table 1.49.

development effectiveness. Among the three results-oriented ratings, ID impact is the lowest—with 27 percent of the 1995 cohort rated as having substantial impact (also 27 percent when disbursement-weighted) (Annex Tables 1.17 and 1.18).⁷ The comparable figure for the 1994 cohort was 30 percent. However, institutional development impact is the most important result as real ID progress translates into durable development effectiveness. OED has found over the years that sustainability and institutional development are closely linked; progress on the institutional front generally takes care of many critical aspects of sustainability, such as revenue earning capacity or budget support.⁸

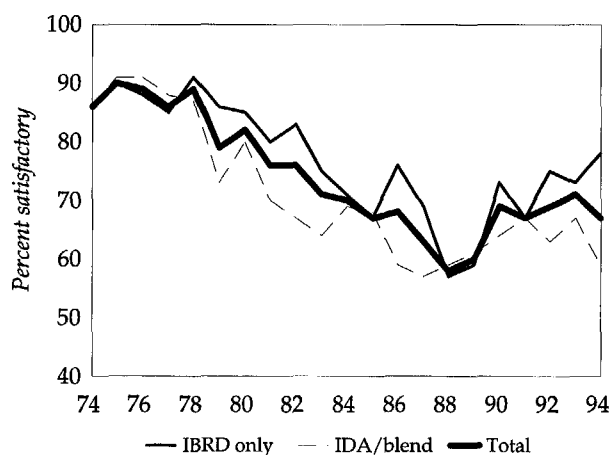
As with the other results-oriented ratings, the ID rating is built on several factors including borrower commitment; quality of project preparation, design, and

FIGURE 1.12: PERCENTAGE OF EVALUATED OPERATIONS WITH SATISFACTORY OUTCOMES, BY LENDING TYPE, CLOSING YEARS 1974-94
(with linear regression trendlines)



Source: Annex Table 1.50.

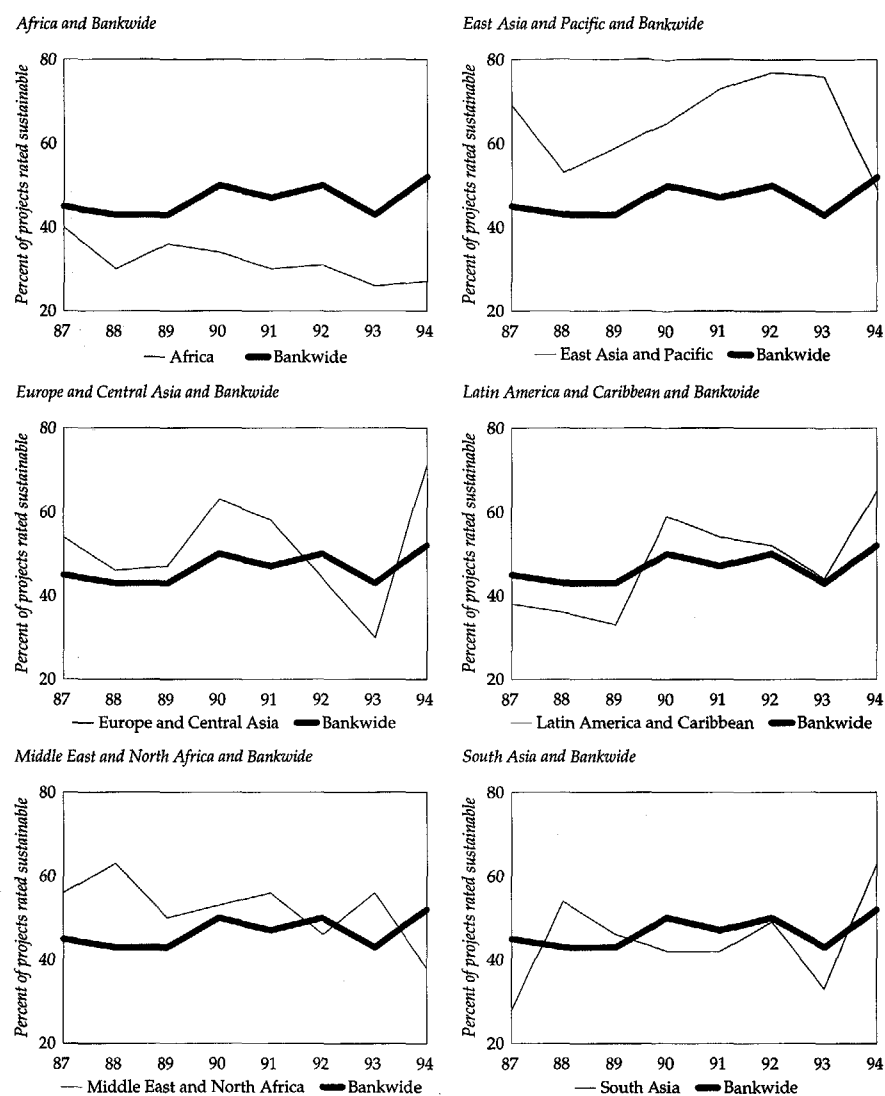
FIGURE 1.13: PERCENTAGE OF EVALUATED OPERATIONS WITH SATISFACTORY OUTCOMES, BY LENDING SOURCE, CLOSING YEARS 1974-94



Source: Annex Table 1.51.

supervision; establishment or restructuring of an organization, including its possible dissolution or privatization; and regulatory changes, with a broader impact on the behavior of people, firms, or other entities. As shown by Figure 1.5 (p. 33), regulatory change is by far the factor most frequently cited as contributing to ID. It was indicated for 89 percent of those projects with substantial institutional development, followed by restructuring or privatization (73 percent) (Annex Table 1.16).

FIGURE 1.14: PERCENTAGE OF EVALUATED OPERATIONS RATED LIKELY SUSTAINABLE, BANKWIDE AND BY REGION, CLOSING YEARS 1987-94



Source: Annex Table 1.53.

Bank and performance

Overall Bank performance was rated satisfactory for 78 percent of the projects in the 1995 cohort (84 percent when disbursement-weighted). In contrast, borrower performance was considered satisfactory in only 69 percent of the projects (73 percent, disbursement-weighted) (Annex Tables 1.22 and 1.25).⁹

Like the other ratings, both Bank and borrower ratings are composed of ratings for process activities at different stages of the project cycle. For the Bank, the focus is on performance in project identification, appraisal, and supervision; for the borrower, it is on project preparation, implementation, and compliance with

TABLE 1.1: PORTFOLIO AND COUNTRY ECONOMIC PERFORMANCE,
EVALUATION YEARS 1991-95

Country economic performance	Portfolio performance		
	Good	Medium	Poor
Good	Thirteen countries Chile China Ghana Hungary Indonesia Korea Malawi Malaysia Mauritius Mexico Thailand Tunisia Uruguay 27 percent of the total number of projects. 36 percent of the total amount of disbursements.	Five countries Colombia India Jordan Portugal Yugoslavia 11 percent of the total number of projects. 17 percent of the total amount of disbursements.	Four countries^a Cameroon Kenya Rwanda Turkey 7 percent of the total number of projects. 17 percent of the total amount of disbursements.
Medium	Five countries Côte d'Ivoire^a Jamaica Morocco Philippines Zimbabwe	Ten countries Bangladesh Burundi Ecuador Guinea-Bissau Madagascar Mali Pakistan Senegal Tanzania Yemen Arab Republic	Seven countries Algeria Brazil Paraguay Papua New Guinea Panama Sri Lanka Togo

The Bank performed best at project identification; borrowers, at preparation

covenants (Annex Table 1.23). As shown in Figure 1.6 (p. 33), the Bank performed best at the project identification stage, with 90 percent satisfactory; it performed less well at appraisal (71 percent satisfactory) and supervision (74 percent satisfactory). Borrowers performed best at preparation (79 percent satisfactory) and were relatively weak in implementation (65 percent satisfactory) and compliance with covenants (64 percent satisfactory).

The process variables are important determinants of project results. Chapter 3 of this report discusses outcome determinants in greater detail.

(Table 1.1 continued)

Country economic performance	Portfolio performance		
	Good	Medium	Poor
	8 percent of the total number of projects. 7 percent of the total amount of disbursements.	14 percent of the total number of projects. 7 percent of the total amount of disbursements.	8 percent of the total number of projects. 8 percent of the total amount of disbursements.
Poor	Four countries Benin Egypt Nepal Yemen, PDR	Seven countries Burkina Faso Ethiopia Honduras Myanmar Peru Romania Zambia	Twelve countries Argentina Central African Republic Dominican Republic Guinea Haiti Mauritania Niger Nigeria Somalia Sudan Uganda Zaire
	4 percent of the total number of projects. 2 percent of the total amount of disbursements.	6 percent of the total number of projects. 4 percent of the total amount of disbursements.	14 percent of the total number of projects. 12 percent of the total amount of disbursements.

a. Cameroon and Côte d'Ivoire are anomalies. While the long-term average of the Bank's performance index puts them in the good and medium economic performance categories (with only a marginal difference in the index), policies were inadequate to cope with the countries' problems in the second half of the 1980s and early 1990s. However, policies were constrained by the CFA franc-zone arrangements, which, on the other hand, guaranteed a high degree of monetary stability.

Sources: Annex Tables 1.39 and 1.40.

Performance by lending instrument and source

Outcome ratings for the cohort were similar for investment and adjustment lending, but varied by lending source: IBRD or IDA. As shown in Figure 1.7 (p. 34) (Annex Table 1.28), IBRD-funded projects had a 74 percent satisfactory rate, compared with IDA/IDA blend projects, which had a 61 percent satisfactory rate. (IDA funds countries on the basis of relative poverty—the operational cutoff for FY97 is GNP per capita of \$905—and lack of creditworthiness.) IBRD projects were 55 percent of the cohort and 75 percent of the disbursements (Annex Tables 1.5 and 1.6).

Adjustment loans comprised only 19 percent of the cohort but one-third of the disbursements. Typically, the Bank's adjustment operations comprise about 20 percent of lending (Annex Tables 1.5 and 1.6).

TABLE 1.2: RISK AND REWARD, BY REGION, EVALUATION YEARS 1993-95
(Numbers of projects and percent of regional and Bankwide totals)

		Reward					
		High			Low		
		High risk-high reward	No.	Percent	High risk-low reward	No.	Percent
Risk	High	AFR	38	12	AFR	124	40
		EAP	44	25	EAP	25	14
		ECA	10	21	ECA	10	21
		LAC	42	22	LAC	59	32
		MNA	19	19	MNA	30	30
		SAS	28	23	SAS	31	26
		Bankwide	181	19	Bankwide	279	30
		Low risk-high reward	No.	Percent	Low risk-low reward	No.	Percent
	Low	AFR	42	14	AFR	107	34
		EAP	76	43	EAP	32	18
		ECA	14	29	ECA	14	29
		LAC	36	19	LAC	50	27
		MNA	23	23	MNA	27	27
		SAS	30	25	SAS	32	26
		Bankwide	221	23	Bankwide	262	28

Note: Projects for which all seven composite ratings were not available were omitted.
 N=943.

Source: Annex Table 1.41.

Performance by regions and other country groupings

Outcome ratings for the 1995 cohort vary widely across regions, and across income groups.

As shown in Figure 1.8 (p. 35) (Annex Tables 1.30 and 1.31), the East Asia and Pacific region leads with an average satisfactory outcome rating for 94 percent of its projects in the cohort (97 percent when weighted by real disbursements). At the other extreme is the Africa region's low performance, with satisfactory outcome ratings for 49 percent of its projects in the cohort (54 percent when weighted by real disbursements). The Europe and Central Asia region (ECA) is at 57 percent satisfactory for the cohort, but it has too few projects (only 14 in the 1995 cohort) for meaningful interpretation.

The rankings in Figure 1.8 are similar to those for the Bank's active portfolio. The 1996 ARPP puts EAP again in the lead for the smallest proportion of at-risk projects, with South Asia (SAS) coming in as the second most promising region, although again, far behind EAP. Africa again trails with a high proportion of projects at risk, but unlike the cohort results, is "tied" for last place with LAC.

Within the regional groupings, a number of countries stand out as particularly successful or as weak performers (Annex Table 1.35). For example, while LAC with a 69 percent satisfactory outcome rating is close to the Bank average, the region contains not only Bolivia, Honduras, and Uruguay with 100 percent satisfactory outcome ratings, but also Jamaica and Brazil with only 33 percent and 25 percent satisfactory outcome ratings, respectively.¹⁰ These country results from the 1995 cohort are not easy to interpret, as in many cases they reflect small numbers of observations that can be at variance with longer-term averages.

Country income levels are also important factors in portfolio outcome (Figure 1.9, p. 35). Low-income countries tend to be the weaker performers, except when the portfolios are weighted by real disbursements. In this case, results are strongly influenced by China and India with their large portfolios (Annex Table 1.36). As before, in each of the income groups, there are very strong and very weak performing countries. For example, the lower-income group (which averaged a 65 percent satisfactory outcome rating) contains Egypt and Ethiopia with 100 percent satisfactory outcome ratings, but it also contains Zaire with only a 15 percent satisfactory outcome rating. Similarly, the upper-middle-income group, with a 71 percent average satisfactory performance rating, contains not only Korea and Malaysia with 100 percent satisfactory ratings, but also Brazil with its low 25 percent satisfactory rating (Annex Table 1.36).

Bank and borrower performance vary substantially across regions and sectors. Bank performance is rated highest in East Asia and Pacific, lowest in the Middle East and North Africa, and Africa regions (disbursement-weighted, Africa is lowest), with particular weaknesses in the appraisal and supervision processes. Borrower performance is rated highest again in East Asia and Pacific and by far the lowest in Africa, with extremely low ratings for implementation and compliance with covenants (Annex Table 1.23).

Country risk

Country performance varies greatly. Table 1.1 (p. 40) shows performance groups based on completed and evaluated projects. For countries with sizable active portfolios, the placements in performance groups are broadly consistent with the expectations for meeting development objectives (DO) reported in the 1996 ARPP. Exceptions include poorly performing active portfolios in Egypt and Nepal, and well-performing active portfolios in Argentina, Mauritania, and Uganda.

Econometric analysis shows a strong association between country portfolio performance and country economic performance, as in the 1994 Annual Review. Table 1.1 summarizes the updated results of ranking countries by economic and portfolio performance.¹¹ Country economic performance is measured by a Bank internal performance index for 1979–92, which captures short- and long-term economic management and policies to address poverty during project preparation and implementation, while portfolio performance reflects aggregate outcome ratings during 1991–95.¹² More than half the countries (52 percent) are in the categories along a SE-NW line, which confirms the strong association of the two performance variables. This underscores that the odds for satisfactory portfolio performance are favorable in countries with good economic performance and strongly against satisfactory portfolio performance in economically underperforming countries. Last year, this finding led OED to the conclusion that greater selectivity in Bank assistance with regard to countries and the use of instruments would be warranted to achieve better results on the ground. It is emphasized that Table 1.1 presents a historical record of correlation between country environment and portfolio outcome. It does not reflect the current situation in the sample countries nor the current status of the portfolio. However, the record is relevant for the present and the future.

Risk and reward

In addition to country risk, there are other risk factors at work that mitigate against project and portfolio success: risks vary by sector and subsector, and at the individual project level by factors such as project demandingness and complexity. With the Bank's wealth of experience, many of the risk factors can be identified and addressed through different country assistance strategies, better

Outcome ratings varied by lending source and across regions and country income groups

Box 1.2: DIFFERENT PERSPECTIVES ON PERFORMANCE

Box Figures 1 through 3 contrast historical outcome performance trends by year of project evaluation (the cohort), year of project approval, and year of project closing. Box Figure 4 provides a look at ongoing operations' trends based on the Annual Report on Portfolio Performance (ARPP).

Box Figure 1 shows the historical performance trend including the 1995 evaluations. Given that each year these evaluations represent a highly heterogeneous group of projects approved and closed in different years under differing Bank policies, the graph may not reflect a true trend.

Box Figure 2 shows outcome ratings by approval years through 1986. There had been marked improvements for operations approved during 1983–85 after the low point reached in 1982. However, operations approved in 1986 recorded less favorable results with barely two-thirds ("averaging" unweighted and disbursement-weighted results) rated satisfactory. Although many other operations approved since 1986 have been evaluated, their numbers are not yet representative enough to provide a reliable estimate of performance for those years. Adding them to the graph would be adding an upward bias to the picture since the operations evaluated earliest for each approval year are typically those that have performed better than average.

Box Figure 3, with operations grouped by closing year, provides yet another perspective in which operations evaluated in 1994 are added to the previous evaluations. From this view, the performance record benefits from the inclusion of more recent evaluations, including a large number of operations that were under supervision through 1994. This graph, while confirming improved performance for the period 1990 to 1992 relative to a low in 1988, shows a slight decline in performance in closing year 1994.

Finally, Box Figure 4 provides a look at the performance of ongoing operations, as measured by their expected achievement of development objectives, according to the ARPP—that is, on the basis of supervision ratings. This graph cannot be compared directly with the previous graphs, and it could be affected

*Realistic
country
assistance
strategies,
better project
design, and
flexible
management
can curb
project risks*

project design, and flexible project and portfolio management. There are obviously rewards to successful risk management, and there are tradeoffs.

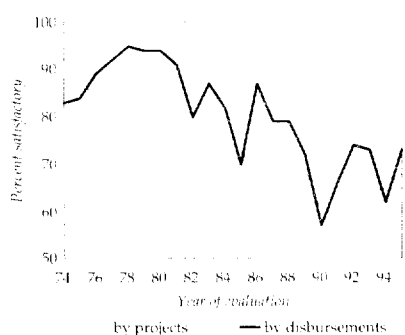
To illustrate the relationship, the historical portfolio for 1993–95 was analyzed along the two dimensions: the different risks are captured in the evaluator's assessment of a project's demandingness on the Bank, complexity, and riskiness,¹³ while the rewards are proxied by the combined project results in terms of outcome, sustainability, and institutional development impact.¹⁴

The results are presented in Table 1.2 (p. 42) and Annex Table 1.41. The 2 × 2 matrix classifies individual projects within regions according to the intensity of risks and magnitude of rewards in different combinations. For the 1993–95 evaluation sets, Bankwide 14 percent of the evaluated projects were in the high risk-high reward category, while 23 percent were in the most desirable low risk-high reward category, and 30 percent in the undesirable high risk-low reward category. Africa has had the highest risk and the lowest rewards, with 40 percent of the evaluated projects in the high risk-low reward category and only 14 percent

(Box 1.2 continued)

by recent efforts to make supervision ratings more realistic. The recorded data are based on the supervision assessments as to whether projects are likely to achieve their objectives. A broader measure of "projects at risk" was recently introduced; it takes actual and potential problems into account (see Chapter 3).

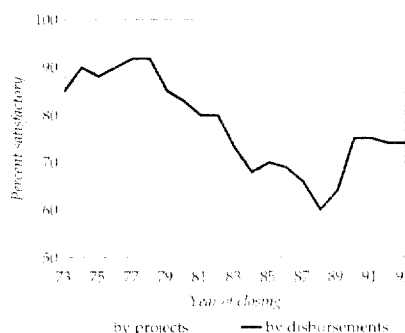
Box Figure 1: Performance of operations evaluated by year of evaluation, 1974–95



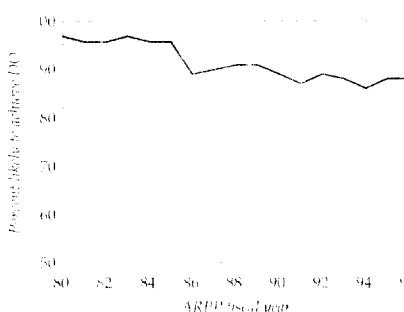
Box Figure 2: Performance of operations evaluated by year of approval, 1970–86



Box Figure 3: Performance of operations evaluated by year of closing, 1973–94



Box Figure 4: Performance of ongoing operations by ARPP fiscal year, 1980–96



Source: Annex Table 1.42.

in the low risk-high reward category. East Asia and the Pacific is at the other extreme, with 43 percent of its projects in the low risk-high reward category and 14 percent in the high risk-low reward category (Annex Table 1.41).

Performance: longer-term trends

Outcome ratings by closing years are available for projects from closing year 1974 onwards. In contrast to previous Annual Review practice, this year's report shows the longer-term trends by closing year of the project.¹⁵ The advantage of selecting the closing year over the approval year is that the analysis better captures projects operating under recent Bank policies concerning project design, supervision, and the like. A closing year-based analysis also enhances management accountability, as many current managers were likely involved in recently closed projects (Annex Table 1.42).¹⁶

Outcome ratings by closing year fall into three distinct performance periods

Box 1.2 (p. 44) discusses different perspectives on performance. Box Figures 1–3 contrast historical outcome performance trends by year of project evaluation (the cohort), approval, and closing. Box Figure 4 provides a look at the performance trend of ongoing operations.

Looking at the trend of outcome ratings by closing year, Box Figure 3 shows three distinct performance periods. The first, for projects closing from 1973–78, was a relatively stable period for project outcomes, with about 90 percent rated as having achieved a satisfactory outcome. The second period, encompassing projects closing between 1978–88, saw a marked downturn in the proportion of closed projects with satisfactory outcome, with an average of about 60 percent

BOX 1.3: A NEW PROJECT CYCLE FOR THE WORLD BANK?

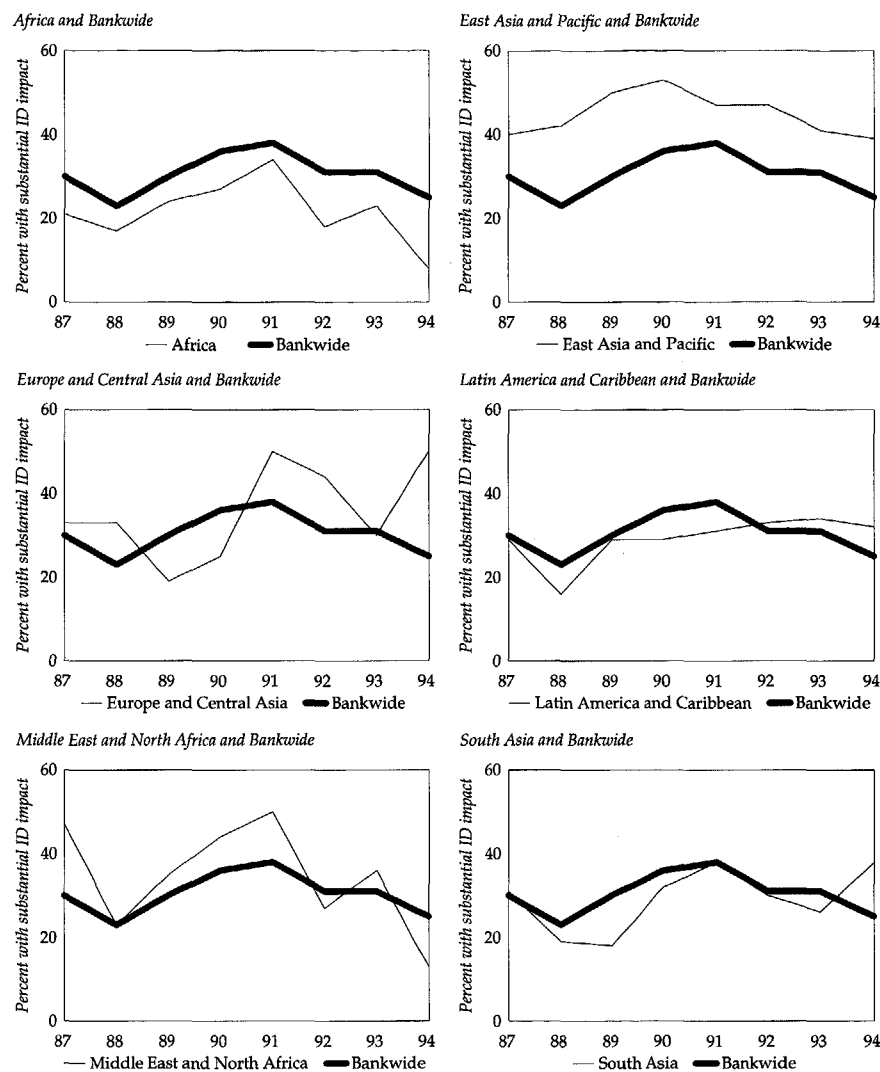
As shown in Figure 1.10, World Bank projects have become increasingly demanding, complex, and risky—factors that help explain why one-third of Bank-supported operations have not met their major relevant goals. The traditional project cycle—progressing from identification to preparation, appraisal, approval, implementation, and evaluation—has been found to be well suited to infrastructure development in stable economies with well-established institutions and predictable government policies. Times have changed, however, and a growing share of today's development business addresses more complex problems, tries to secure broader participation by beneficiaries and other stakeholders, and takes place in a riskier and more volatile environment. One key strategy for managing these risks involves changing the project cycle to adapt it to the new conditions. Within the Bank, new approaches to processing projects are being tried. While not codified, these approaches amount to the forging of a new project cycle that is essentially a risk management and learning cycle.

The new project cycle would start with *listening* to the borrower, the beneficiaries, and the other development partners; go on with *piloting* to explore alternatives, try things out, test local leadership, and explore the social, cultural, ecological, and institutional aspects of future phases; and graduate to a *demonstration* phase in order to confirm that risks are manageable, that selected technologies can be adapted to a variety of regions, that coordination arrangements are workable, and so on. Once risks are known and domestic capacities built, it is feasible to move to a *mainstreaming* phase through adoption of chosen solutions on a broader, possibly national, scale. Evaluation takes place when moving from one phase to the next, thus adding value through enhanced quality and risk management.

Even at the mainstreaming phase, blueprinting may not work given the volatility of the implementation environment. Hence, flexible responses should be built into project design, and the implementation process should be guided by effective monitoring and responsive feedback mechanisms involving project stakeholders. Thus, under the new project cycle paradigm, listening, piloting, and demonstration never stop. They may continue to guide implementation during the mainstreaming phase until the project concept is fully embedded into the social fabric and until sufficient capacity has been built to achieve sustainability.

Note: This box draws on World Bank 1996c.

FIGURE 1.15: PERCENTAGE OF EVALUATED OPERATIONS WITH SUBSTANTIAL INSTITUTIONAL DEVELOPMENT IMPACT, BANKWIDE AND BY REGION, CLOSING YEARS 1987-94



Source: Annex Table 1.57.

rated as having a satisfactory outcome by the end of closing year 1988. The third period, from 1988-93, began with a marked upturn that appears to have reached a plateau at about 70 percent of projects with a satisfactory outcome ("averaging" unweighted and disbursement-weighted ratings). The trends presented for the three periods are similar for disbursement-weighted outcome ratings. The plateau reached in 1990 shows some tendency to erode; in particular, the outcome data for closing year 1994 show a dip. It is too early, however, to determine whether this might be a reversal of the trend since only about one-half of the operations closed in 1994 had been evaluated by the end of 1995. A look at evaluation data recorded during the first half of 1996 with information for additional

Box 1.4: PROJECT OUTCOMES: REPEATER PROJECTS BUILD ON EXPERIENCE AND PERFORM BETTER

Often, as part of a country assistance strategy, the Bank supports a series of related projects to be undertaken sequentially in a given sector. So, for example, Nepal undertook an FY86–90 telecommunications development program with IDA support. Five operations were financed to develop infrastructure, improve telecommunications services, and support the development of the Nepal Telecommunications Corporation (NTC). The Fourth Telecommunications Project, closed in 1994, was designed to build on the experience gained under the first three projects. It continued expansion of the network and institutional improvement in NTC of planning, project implementation, and strengthening of NTC's financial position. The technical assistance program included carrying out an institutional review, tariff studies, and network planning, establishing a management information system and automated billing facility, reevaluating fixed assets, and developing and implementing technical and financial training programs.

If the lessons of the past are heeded, such repeater projects should have better outcomes than projects as a whole, as risk is reduced. This was indeed found to be the case. OED analyzed repeater programs, defined as a group of three or more repeat projects that have been evaluated. In the group of projects evaluated between 1974 and 1995, there were 271 repeater programs encompassing 1,088 projects. For this group, outcome was 79 percent satisfactory compared with 72 percent satisfactory for all evaluated projects taken together. All regions improved their performance with repeater projects (Annex Table 1.52). For example, East Asia and Pacific, already the strongest regional performer, had an 83 percent satisfactory outcome rate for repeater projects. Even Africa markedly improved its performance, from a 62 percent satisfactory rate for 1974–94 closing years to a 74 percent satisfactory rate for repeater projects. This finding gives credibility to the expectation that the new learning project cycle with extensive piloting would indeed yield better results (see Box 1.3).

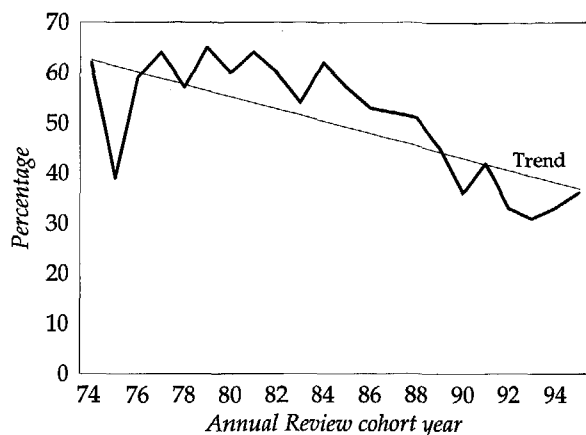
The portfolio has gradually increased in demandingness and complexity, and more recently, in riskiness

projects closed in 1994 suggests some minor improvement over the incomplete 1994 closing year data

The apparent trends during these distinct periods are the result of multiple factors. They include, for example, country and sector composition of the portfolio, its complexity and riskiness, the extent to which the portfolio is demanding on the Bank as well as the borrower, and changes in the international environment with a strong impact on a broad spectrum of countries (for example, oil price changes or the debt crisis). For example, Figure 1.10 (p. 36) shows gradual increases over time in project demandingness and complexity and sharper, more recent increases in the proportion of projects at risk. However, the 1970s' high plateau at the 80–90 percent satisfactory mark is likely associated with the newness of evaluation at that time in the Bank. Similarly, the decline thereafter is in part likely associated with growing evaluation experience and more demanding standards. This extent, however, is impossible to discern.

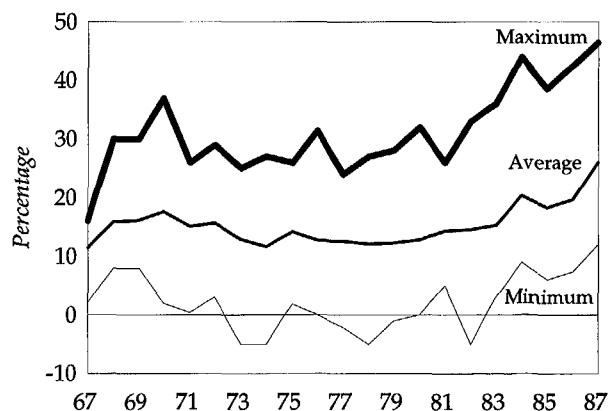
For interested readers, Annex 4 in Volume II discusses in more detail the three approaches to longer-term trend analysis—approval year, closing year, and evaluation year.

FIGURE 1.16: PERCENTAGE OF PROJECTS WITH RE-ESTIMATED ECONOMIC RATE OF RETURN, BY COHORT YEAR



Source: Annex Table 1.61.

FIGURE 1.17: VARIANCE OF RE-ESTIMATED ECONOMIC RATES OF RETURN, BY APPROVAL YEAR

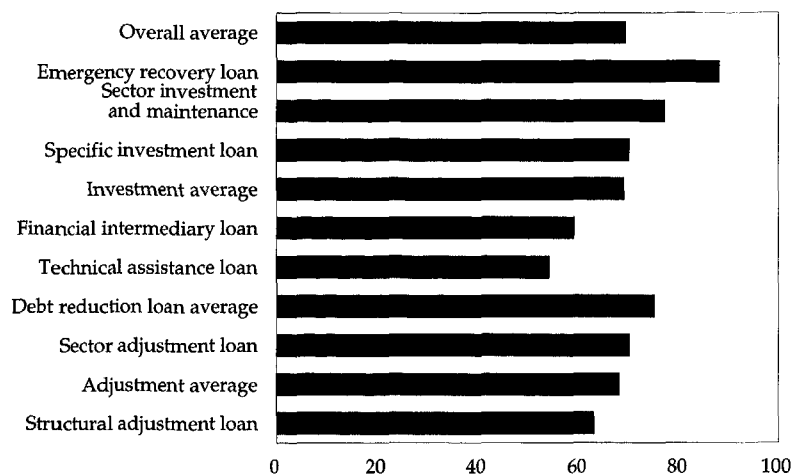


Source: Annex Table 1.68.

Note: Unweighted average based on projects for which both the appraisal and re-estimated rates of return are available. Excluded projects include those in the human resource, nonsector specific, and multisector categories. In addition, the subsectors of DFC, agricultural credit/finance, agricultural research/extension, and agricultural sectoral adjustment loans were excluded.

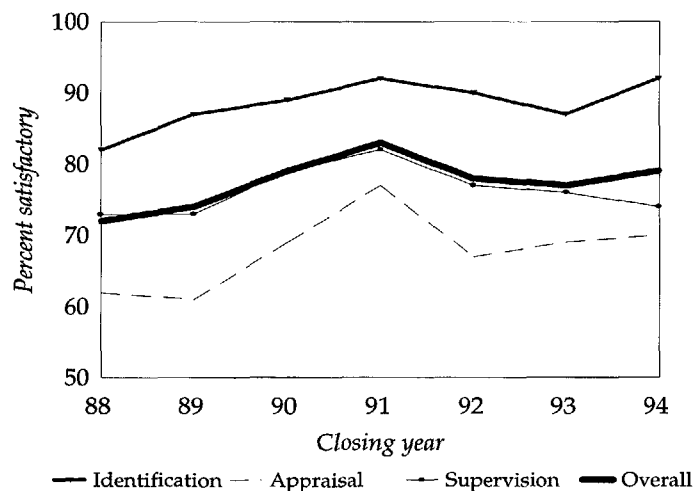
Figure 1.11 (p. 37) shows trends in satisfactory outcome ratings by region. EAP's exceptional performance and Africa's weak performance stand out, as they have since the beginning of the Bank's operations evaluation. East Asia shows a marked improvement after 1988, while Africa stagnates or continues to decline (Annex Table 1.49).

FIGURE 1.18: PERCENTAGE OF EVALUATED OPERATIONS WITH SATISFACTORY OUTCOMES, BY LENDING INSTRUMENT, CLOSING YEARS 1990-94



Source: Annex Table 1.69.

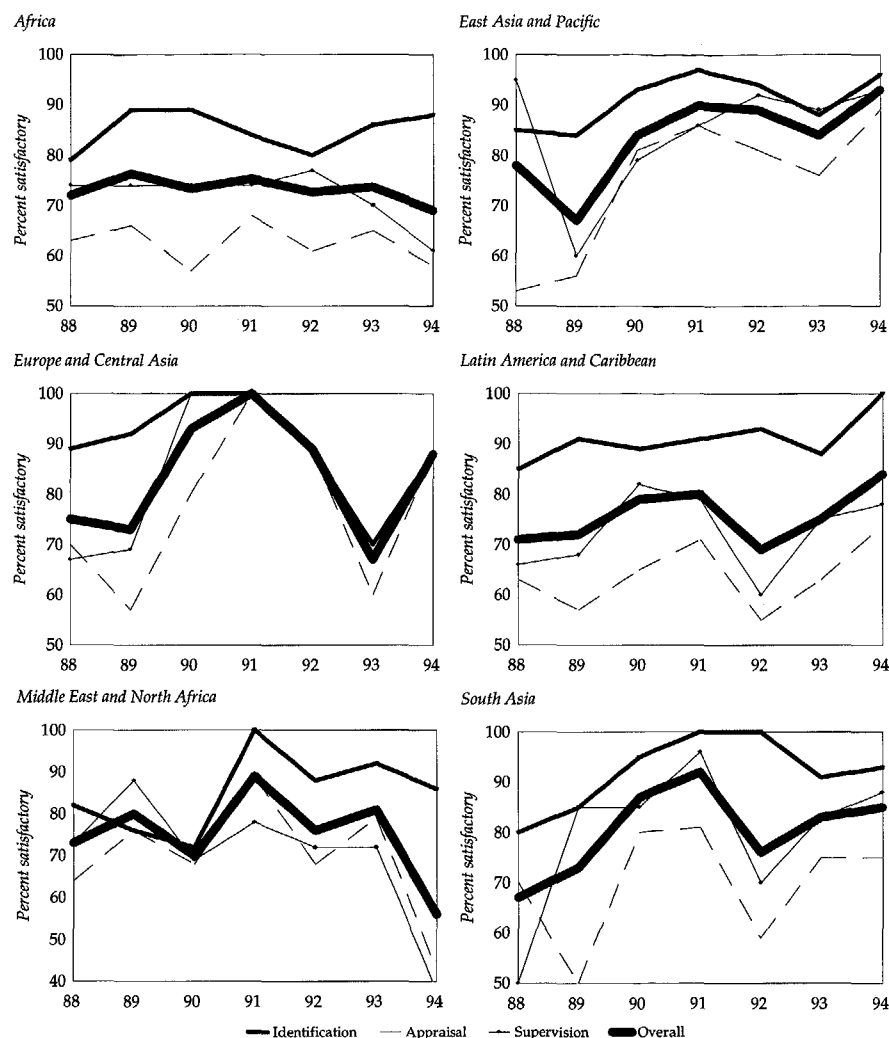
FIGURE 1.19: RECENT TRENDS IN OVERALL BANK PERFORMANCE, CLOSING YEARS 1988-94



Source: Annex Table 1.70.

As shown by Figure 1.12 (p. 38), longer-term outcome performance varies substantially by lending type, with adjustment lending outcome fluctuating widely from year to year. Adjustment loans are designed to help countries design and implement appropriate economic policies and to help cushion the social dislocation associated with reform. The performance of adjustment loans dropped dramatically, from about 70 percent with satisfactory outcomes in 1992 and 1993, to

FIGURE 1.20: RECENT TRENDS IN BANK PERFORMANCE, BY REGION, CLOSING YEARS 1988-94



Source: Annex Table 1.70.

only 44 percent with satisfactory outcomes in 1994 (Annex Table 1.50). Closer analysis shows that this startling finding can be traced to Africa's performance.¹⁷

Figure 1.13 (p. 38) shows the long-term trend by lending sources. IDA/blend loans have consistently had poorer outcomes than IBRD loans (Annex Table 1.51).

As implied by the fact that disbursement-weighted ratings are generally higher than project-based (non-weighted) ratings, larger projects tend to perform better than smaller projects. Differentiating outcome ratings by project size, the best performing projects over the longer run (as well as in the 1995 cohort) are found in the \$51-100 million group. This general finding by and large holds across different country groupings (income groups, regions, IBRD vs. IDA) and different periods. A notable exception is the EAP region where the largest projects of over \$100 million have been the best performers (Annex Table 1.9).

Larger projects tend to perform better than smaller projects

Sustainability ratings

The proportion of projects viewed as likely sustainable has been on an upward trend since closing year 1983, as Figure 1.14 (p. 39) indicates. Abstracting from the outlier years 1982 and 1983, the ratings by closing year have been relatively stable at the 41–44 percent mark through 1989; thereafter, likely sustainability was recorded for about 50 percent of the evaluated projects. As in the case of outcome ratings, results vary significantly by country groupings. East Asia and Pacific has been the region with by far the best and most stable ratings, at more than 20 percentage points above average, while Africa after 1989 has fallen short of the average by about 20 percentage points (Annex Table 1.53).

Institutional development (ID) ratings

The proportion of operations with a substantial ID impact averaged about 33 percent for the period 1990–94. Its high point was 38 percent for projects closing in 1991. It declined to 31 percent for closing year 1992 and 1993 projects, as shown in Figure 1.15 (p. 47), and declined again for projects closed in 1994, to 25 percent. These Bankwide averages mask considerable regional variation. Averages in proportion of projects with substantial ID impact range over closing years 1990–94 from highs of 53 and 50 percent for EAP and ECA, respectively, to a low of 8 percent for Africa. EAP is again the region with the highest and most stable ratings, while Africa is again persistently the weakest performing region (Annex Table 1.57).

Economic rates of return

Economic rates of return almost always exceed the 10 percent benchmark

The Bank has used the ERR as the preferred measure of efficiency of investment whenever applicable, although recent reports have pointed to a need to increase the quality and realism of economic analysis. In the 1995 cohort, ERR analysis was applied in about 36 percent of the projects, down from an average of 58 percent in the mid-1970s and an average of 56 percent in the 1980s (Annex Table 1.61). This downward trend (Figure 1.16, p. 49) can be attributed in large part to a progressive shift towards social sector investment and technical assistance, where it has been traditionally accepted that formal cost-benefit analysis is difficult to apply. The current drive to strengthen quality at entry through more rigorous analysis should result in a reversal of this trend with wider application of cost-benefit analysis, including in the social sectors.

The ERR is calculated at appraisal and re-estimated at completion. For the 36 percent of projects with economic analysis that were evaluated in 1995, all regions reported average re-estimated ERRs well in excess of the 10 percent cut-off benchmark. Similar positive results have been observed in most closing years since 1974, with few exceptions (Annex Table 1.62). As shown in Figure 1.17 (p. 49) by approval year, even though the top and bottom 10 percent of the projects in each cohort were omitted to control for outliers in ERRs, the projects still show variability in RERRs over time. The region and Bankwide averages mask considerable dispersion among individual projects (Annex Table 1.68). There are also marked differences between (*ex ante*) ERRs and RERRs at completion, in both directions (Annex Table 1.67). This finding, however, is not particularly meaningful, especially since the estimates do not take risk explicitly into account and do not represent expected values at the 50 percent probability level. The important finding is that of the 36 percent of the projects in the 1995 cohort with RERRs, more than 86 percent exceeded the 10 percent benchmark.

It is also interesting to note that projects for which ERRs were calculated at appraisal perform significantly better than average; within the 1995 cohort, of

the 95 projects with ERRs at appraisal, 84 percent were rated satisfactory as compared with the overall average of 68 percent (Annex Table 1.64). A likely explanation involves the objectives of these projects. Projects in the 1995 cohort with high or substantial achievement of physical goals were more likely to have an RERR (55 percent) than other projects (36 percent). Projects with high or substantial achievement of physical goals also had a much higher satisfactory outcome rate at 88 percent satisfactory than all projects taken together, with the overall average of 68 percent (Annex Table 1.71).

Lending instruments

Over closing years 1990–94, adjustment and investment loans performed about equally at 68 and 69 percent satisfactory, respectively. But the outcome by specific type of adjustment or investment loan varied considerably, as shown in Figure 1.18 (p. 50). Structural adjustment loans, with a 63 percent satisfactory rate, for example, did less well than sectoral adjustment loans, which had a 70 percent satisfactory rate. Technical assistance loans (TALs) carried considerable risk (see Table 2.1) and showed disappointing results (only 54 percent satisfactory), while emergency recovery loans (ERLs) tended to be highly successful (88 percent satisfactory).

Emergency recovery loans seem to be as demanding and complex as other operations (albeit normally less risky because of their limited objectives). Because they respond to emergency situations, borrower and Bank alike appear to do their utmost to make these operations visible success stories. This is reflected in higher than average ratings on Bank and borrower performance at the different stages of the project cycle (86 and 71 percent satisfactory, respectively, for projects with ratings on these performance criteria, as compared with 78 and 68 percent, respectively, for all operations taken together).

Bank performance

Figure 1.19 (p. 50) shows the longer-term trend of Bank performance. It is encouraging that performance at appraisal appears to be on a slight upward trend, improving from a satisfactory rate of 67 percent for closing year 1992 to 70 percent for closing year 1994. While the trend may be improving, much greater effort is needed to strengthen the quality of operations at entry to the portfolio through better economic analysis in accordance with Bank directives.

Supervision is of equal concern, as the performance trend line points in the wrong direction, from a high of 82 percent satisfactory for closing year 1991 to 74 percent satisfactory in closing year 1994 (Annex Table 1.70).

Analysis of Bank performance in supervision by region shows dramatic differences. As displayed in Figure 1.20 (p. 51), performance in supervision is high in EAP (at 93 percent satisfactory for closing year 1994) and SAS (88 percent for satisfactory for closing year 1994). ECA, with relatively few projects, also rebounded in closing year 1994 with a performance of 88 percent satisfactory. Supervision in AFR and MNA, however, raises concern. AFR shows a declining trend to 61 percent satisfactory for closing year 1994, while MNA shows a declining trend to 38 percent satisfactory (Annex Table 1.70).¹⁸ While historical, these most recent findings are critical: AFR and MNA are among the three regions with the highest proportion of at-risk projects in the current portfolio, according to the FY96 ARPP; these regional portfolios would certainly warrant intensive supervision of the highest quality. The Bank is now taking corrective action by assigning greater responsibility for supervision to resident missions, most notably in Africa, and expanding the role of local staff.

Better economic analysis is needed to strengthen the quality of operations entering the portfolio

*Risk
manage-
ment—not
avoidance—
is the
challenge
facing the
Bank*

Conclusions and outlook

The proportion of operations rated satisfactory continues to hover around 70 percent ("averaging" project and disbursement-weighted ratings), as it has over the past few years. This constitutes a marked improvement over the 1978–88 period, whose low point was about 60 percent. Likely sustainability has been reported for about 50 percent of the projects for the last few years, up from a plateau in the low 40s during 1984–89. Substantial institutional development impact has been reported for about 30 percent of the projects for the last five years or so, up from a plateau of less than 30 percent.

Thus, the longer-term trend lines for all project ratings are generally encouraging. Yet, there is no reason for complacency. The absolute rating levels are far from satisfactory, and projects closed in 1994 show potentially worrisome downturns in outcome and ID ratings. Thus, for good reasons, substantial improvement of project portfolio performance is currently one of management's top priorities.

Individual projects vary in risk according to many factors such as lending instrument and source, loan/credit size, the presence of war or civil strife over the project life, whether or not it is a "repeater" project, the region in which it is conducted, and the income level of the country in which it takes place. Avoiding risk is not the goal of the World Bank, given its responsibilities as a development institution; however, risk needs to be selective and well-managed so that the Bank can achieve greater development impact with reasonable risk.

Notes

1. The discussion in this section is essentially based on the "1995 cohort" of 264 newly evaluated operations. Occasionally, the broader "1995 evaluation set," which adds the 92 operations that were audited in 1995, is used.
2. Subsector disaggregation is limited by the number of operations in each of the subsectors. In some subsectors the number of operations is too small—even for multi-year periods—to arrive at statistically meaningful conclusions. The minimum representation for analytic purposes was generally set at 10 operations.
3. According to the FY96 ARPP, nine countries were in non-accrual status or suffering from civil strife: Algeria, Angola, Burundi, Djibouti, Rwanda, Sierra Leone, Somalia, Sudan, and Zaire.
4. World Bank forthcoming. The FY96 ARPP goes beyond prior reports and uses the concept of "projects at risk" developed as part of the Portfolio Improvement Program. Thus, projects at risk include not only those projects that are rated as problem projects on assessments of implementation progress (IP) and/or the likelihood of achieving the project's developmental objectives (DO), but also those projects that are considered potential problem projects based on a number of leading indicators of unsatisfactory outcomes. Chapter 3 discusses the Portfolio Improvement Program.
5. Another 32 percent of the cohort received a rating of uncertain sustainability. About 22 percent had unlikely sustainability. It is important to note that of those with uncertain sustainability, over time some of these are likely to move into one of the other two rating categories. Performance audits conducted by OED may result in changes for these ratings. See Annex 3.
6. OED's evaluation methodology is particularly rigorous in rating ID. It reports the proportion of projects with substantial impact ratings; it does not report the proportion of projects with moderate ID ratings.
7. In previous Annual Reviews, a narrower concept of ID has been used, namely the degree of achievement (efficacy) of explicitly stated ID objectives. Applying the narrower criterion, the ID rating for the 1995 cohort would be 37 percent. For the 1994 cohort, the comparable figure was 39 percent.
8. Analyzing closing years 1990–94, an association (using Somer's d) was found from institutional development to sustainability of 0.462, and from sustainability to institutional

development of 0.451 (with 95 percent confidence). This indicates there is a clear and modest-to-strong association between these two ratings. The Pearson correlation is similar at 0.495. Findings for the 1995 cohort are also similar.

9. Bank performance has been rated by OED since 1991. Borrower performance ratings are even more recent; they were introduced in evaluation year 1993.

10. The disaggregation of the cohort numbers at the country level is somewhat problematic as it deals with very small numbers of observations that are subject to wide year-to-year variations. For example, Brazil is represented with four projects, Jamaica with three in the 1995 cohort. However, Brazil's portfolio performance has been poor for some time, and even now—in spite of recent improvements—there are a high number of potential problem projects in the ongoing portfolio (48 percent of the FY96 portfolio). Still, country impact can be substantial if there are large numbers of projects. For example, if Zaire projects were excluded from the 1995 cohort, the proportion of satisfactory projects Bank-wide would increase from 68 percent to 71 percent.

11. This year's analysis covered 67 countries as compared with 61 last year. About 27 percent of the countries fell in the same categories as last year, 44 percent moved by one category vertically or horizontally, and 15 percent moved by two categories vertically or horizontally. The rank correlation is .44.

12. For details on the methodology, see OED 1995.

13. OED rates projects in terms of the complexity, riskiness, and demandingness of their objectives. Complexity is determined by factors such as the range of policy and institutional improvements to be attempted, the number of institutions involved, the number of project components and their geographic dispersion, and the number of cofinanciers. Project riskiness is concerned with vulnerability to variations in key factors affecting the operation. Demandingness involves a judgment about the degree to which an operation stretches the specific country's and/or the Bank's implementation capacity.

14. The risk index is composed of project information form (PIF) ratings for riskiness, complexity, and demandingness on the Bank. The reward index is composed of PIF ratings for outcome, sustainability, and institutional development impact. Because of the importance of country and sector assistance strategies, extra weight was given to project outcome if it was rated highly relevant. (Relevance is defined as outcomes in relation to country and sector assistance strategies.) Each rating was assigned a value of 1 (for ratings of high or substantial) or 0 (for ratings of moderate or negligible). This is consistent with other OED analyses at the aggregate level. Risk ratings thus sum from 0 to 3. A project was classified as low risk if the total rating equaled 0 or 1, and high risk if it totaled 2 or 3. Reward ratings sum from 0 to 4. A project was classified as low reward if the total rating equaled 0, 1, or 2, and high reward if it totaled 3 or 4.

15. The 1994 closing year estimate in this review is based only on 50 percent of the closing year group. The rest of the 1994 closing group will most likely be evaluated by the end of 1996. However, preliminary findings on evaluations completed in the first six months of 1996 confirm this estimate.

16. For interested readers, Annex 4 in Volume II discusses in more detail the three approaches to longer-term trend analysis—approval year, closing year, and evaluation year.

17. In the 1995 cohort, Africa had 17 of the 50 adjustment loans and of these, 10 had unsatisfactory outcomes. These 10 projects accounted for about 60 percent of the unsatisfactory adjustment loans in the cohort. Four of the 10 were over \$100 million in size (one was over \$200 million). In contrast, the 1994 cohort consisted of only 30 adjustment loans, nine of which were in Africa. Of these nine projects, only three had unsatisfactory outcomes and two of the three were significantly under \$100 million in funding.

18. As illustrated in Figure 1.20, MNA's performance was at a high of 78 percent satisfactory in 1991 and declined to 72 percent satisfactory in 1992 and 1993. The drop in 1994 to 38 percent satisfactory is most likely an anomaly as MNA had only eight projects in closing year 1994 compared with 18–25 projects in the other closing years. The larger concern is the direction of the trend, rather than the magnitude of the change from one year to the next.

2. A sector and thematic perspective

Introduction

While Chapter 1 presented the portfolio performance record and trends, this chapter focuses on sectors and cross-cutting themes. Beyond country and project-specific risks, project performance varies across sectors and sector-specific rewards and risks. This chapter highlights longer-term sector trends as well as recent developments. Volume II, Annex 1 presents the statistical detail underlying the findings.

The Bank's traditional sectoral approach to development has given way to a country focus

The Bank's traditional approach to social and economic development has been along sector lines. Over time, a country focus gained in importance and is now the most important organizing principle for its development assistance. However, in parallel the Bank pursues cross-cutting themes that embody institutional priorities and can be considered "quasi-programs" at the global level. Although they have yet to be treated as "programs" in the traditional management sense, the Bank already sets out to achieve concrete goals in all thematic areas and prepares annual progress reports for some. This chapter focuses on two of the four thematic areas: *poverty reduction* and *environmental sustainability*.¹ Poverty reduction is the Bank's overarching goal. The environment is a primary goal in its own right as it permeates people's quality of life and affects their long-term welfare. By comparison, the Bank's other two themes—private sector development and economic management—can be viewed as instrumentalities in pursuit of the primary goals.

In addressing the two generic themes, the chapter concentrates on evaluation findings from the 1995 evaluation set; it also draws on other Bank evaluation material as appropriate. Assessing Bank progress on the themes is difficult in that completion reporting in most cases does not focus on themes. Lack of monitoring and evaluation arrangements in projects and the resulting lack of relevant, quantitative information also cause difficulties. Nevertheless, it is possible to distill general lessons from the highly diverse evaluation material.

Risk and rewards: the sector dimension

Cohort performance by sectors and selected subsectors

As shown in Figure 2.1, project performance ratings for the 1995 cohort vary significantly across sectors.² In terms of outcome ratings, telecommunications projects were all considered satisfactory, albeit with only five projects. Energy (with only nine projects), human resource, and industry projects had high satisfactory outcome ratings at 89, 83, and 83 percent, respectively.³ The sectors with the poorest record for the cohort are technical assistance, finance (also with only nine projects), and water and sanitation, with satisfactory outcome ratings for only 19 percent, 22 percent, and 38 percent of the projects, respectively (Annex Table 1.28).

RESULTS IN BRIEF

This chapter focuses on risks and results at the sector level as well as within two cross-cutting themes: poverty and environment.

The 1995 cohort results at the sector level are mixed. Agriculture and industry, with traditionally weak performance, showed welcome upturns; the increases can be traced to differences in country and/or subsector composition between this year's cohort and the long-term averages. The poor performance over time in finance, with its economywide impact, and technical assistance, with its ramifications for institutional development and long-term sustainability, are of particular concern. The 1996 ARPP shows that these performance problems persist.

Analysis of actual project risks and rewards by sector finds that program and policy projects stand out as high risk, but with almost as strong a likelihood of being high reward as low reward. Urban and technical assistance stand out as sectors with high risk and low rewards, while telecommunications is the sector posing lowest risk and yielding highest rewards, followed by power. Energy and human resources were found to have been high-risk sectors, but also high reward.

Even those sectors that are traditionally weak performers show better results in countries with good overall portfolio performance, largely as a reflection of the country's economic performance.

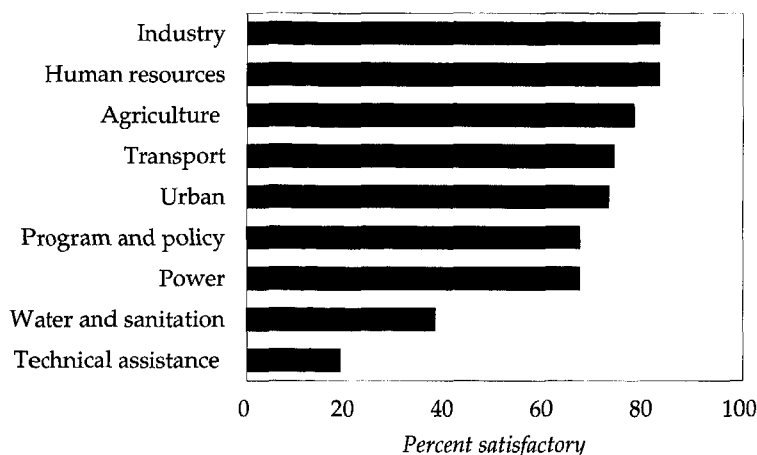
Poverty reduction is the Bank's overarching goal, and the 1995 cohort reflects this focus. However, the cohort predates the Bank's current three-pronged strategy for poverty reduction (labor-intensive growth, targeted interventions that focus on social services, and a social safety net) adopted in 1991. About 90 percent of the cohort are growth projects, contrasting with the current portfolio, in which almost a quarter of the projects support investment in the social sectors.

Progress has been made in reducing poverty, but the gains are still modest when set against the challenge. In the Bank's dialogue with borrowers, OED finds more attention needs to be given to poverty assessments and their reflection in country assistance strategies. Poverty assessments have been improving, but their quality is still variable and their influence on country assistance strategies remains modest.

Of the 356 operations in the 1995 evaluation set, about 25 percent had an *environmental* focus, with the greatest concentration in agriculture. Project outcomes were slightly below the Bankwide average. About half of the projects were approved prior to FY86, that is before major improvements in Bank procedures regarding the environment took place.

Environmental projects in the cohort approved after 1991 generally had better outcome ratings than those approved during the early 1980s. Recent operations pay more explicit attention to environmental issues, and signs abound that learning is taking place and progress is being made. At the same time, this progress is constrained by the institutional capacity of borrowers and the size of the challenge posed by population growth.

FIGURE 2.1: OUTCOME OF EVALUATED OPERATIONS, BY SECTOR, 1995 COHORT



Note: Telecommunications, energy, and finance were omitted from this figure due to small sample size ($N < 10$).

Source: Annex Table 1.28.

*Sector
performance
is intertwined
with country
performance*

Figure 2.1 is unidimensional with a focus on outcome in different sectors. By contrast, Table 2.1 places sectors in a matrix displaying project risks and rewards, in terms of *actual* development impact.⁴ Program and policy lending emerges as a high risk activity with almost as strong a likelihood in the past of being high reward as low reward. Urban and technical assistance stand out as having been high risk, low reward activities, while telecommunications and power operations have posed low risks and high rewards. Energy and human resources have been high risk, high reward sectors. In terms of *potential* rewards, one is inclined to rate program and policy, finance, and technical assistance much higher than this analysis of actual performance suggests, given their strategic, systemic, and countrywide effects. It is important to keep in mind that the gap between actual rewards and potential rewards can be substantial as Bank and borrower performance may have been lagging at critical junctures of the design and implementation process. These process performance factors need to be specifically addressed to realize the full reward potential.

Sector performance is intertwined with country performance. As found in last year's econometric analyses and confirmed in this year's similar exercise, country policies, economic performance, and governance are important determinants (Chapter 3) of performance of country portfolios; they are statistically less important at the level of individual projects. Similarly, they seem to be important for the performance of entire sectors: the better the overall country/regional portfolio performance, the better the performance of individual sectors. Thus, even sectors that are relatively poor performers on the Bankwide average are performing markedly better in better country environments. To illustrate the point, finance has been among the weakest performing sectors for years; the 1990–94 record shows only 50 percent of projects rated satisfactory as compared with a Bankwide average of 69 percent. But looking across country groupings ranked by overall portfolio performance, one notes that in countries with satisfactory portfolio outcome ratings exceeding 80 percent, even finance reaches 71 percent. By contrast, in poor environments with portfolio ratings of less than 50 percent satisfactory, only 19 percent of the finance projects were rated satisfactory.

TABLE 2.1: RISK AND REWARD, BY SECTOR, EVALUATION YEARS 1993-95
(Number of projects and percent of sector and Bankwide totals)

		Reward					
		High			Low		
		High risk-high reward	No.	%	High risk-low reward	No.	%
Risk	High	Energy	16	36	Program and policy	42	51
		Human resource	28	31	Urban	24	45
		Program and policy	25	30	Technical assistance	14	42
		Industry	15	29	Water and sanitation	17	33
		Transport	20	18	Finance	22	30
		Finance	12	16	Human resource	25	27
		Power	12	15	Industry	14	27
		Agriculture	37	14	Energy	12	27
		Urban	7	13	Agriculture	65	25
		Technical assistance	4	12	Transport	26	24
		Water and sanitation	5	10	Power	17	21
		Telecommunications	0	0	Telecommunications	1	8
		Total	181	19	Total	279	30
	Low	Low risk-high reward	No.	%	Low risk-low reward	No.	%
		Telecommunications	7	54	Technical assistance	15	45
		Power	31	39	Telecommunications	5	38
		Water and sanitation	15	29	Finance	28	38
		Transport	32	29	Agriculture	98	38
		Human resource	24	26	Transport	31	28
		Energy	11	24	Water and sanitation	14	27
		Agriculture	61	23	Power	20	25
		Urban	12	23	Industry	12	23
		Industry	11	21	Urban	10	19
		Finance	11	15	Human resource	14	15
		Program and policy	6	7	Energy	6	13
		Technical Assistance	0	0	Program and policy	9	11
		Total	221	23	Total	262	28

Note: Sector totals: Agriculture=261; Energy=45; Finance=73; Human resource=91; Industry=52; Power=80; Program and policy=82; Technical assistance=33; Telecommunications=13; Transport=109; Urban=53; Water and sanitation=51. Projects for which all seven underlying ratings were not available were omitted. N=943.
Source: Annex Table 1.41.

Agriculture projects in Africa illustrate the impact that may result from sector performance when intertwined with country performance. Without agriculture projects in Africa, the Bankwide rate for the 1995 cohort would increase from 68 percent satisfactory to 76 percent satisfactory.

Longer-term trends

Some of the 1995 cohort results come as a surprise compared with longer-term sector performance; other sectors continue at their customary "cruising performance;" and others continue a worrisome downward trend or stay at disturbingly low success levels. Figure 2.2 highlights longer-term trends for selected sectors: agriculture and industry with traditionally weak performance and sur-

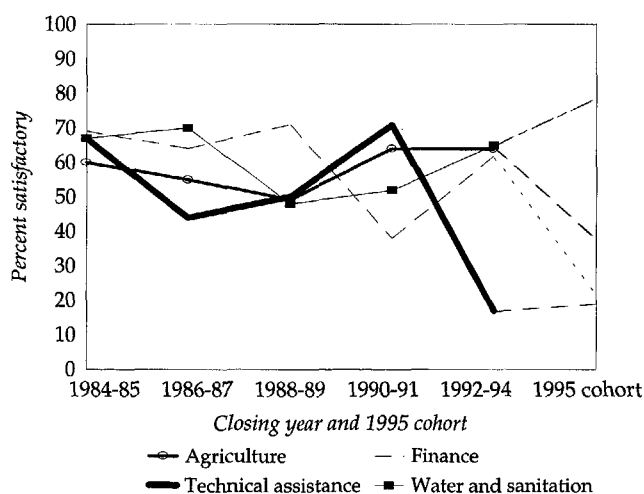
prising upturns in 1995; finance and water supply and sanitation with poor performance in recent years and again in 1995; and free-standing technical assistance lending (with a heavy concentration in Africa) with traditionally poor performance over a long period. Figure 2.2 also makes clear the volatility of the sector ratings, in part due to small numbers of projects for a given year in some sectors, and the need for a longer-term perspective when reviewing them. The following sections take a look at the sector performance of the cohort compared with the longer-term picture and in terms of the current portfolio.

Analysis of individual sector performance

The *agriculture* sector illustrates the intertwining of sector performance and country performance. The sector results for the 1995 cohort are significantly better than in previous years and the long-term average (Annex Table 1.28). The 1995 cohort consists of 51 agriculture operations, of which 78 percent were rated satisfactory. This compares with an average satisfactory rating of 64 percent for closing years 1990–94, and an average of about 63 percent for the 1974–94 closing years.

Most of the increase can be traced to differences in regional and subsectoral composition between the 1995 cohort and the stock of evaluated agricultural operations. Using a cohort analysis, the increase in the 1995 satisfactory ratings over the sector's long-term average is about 24 percent. Africa, with about one-third of the projects, accounts for about 60 percent of this increase. Within the Africa region, the increase is mainly the result of a significant shift in the composition of the cohort towards subsectors with better than average performance in the past, and away from underperforming subsectors. Most significantly, there are strong increases in the shares of agricultural credit/finance projects and of research and extension, which have had above average long-term satisfactory ratings of 59 percent and 58 percent, respectively. At the same time, the share of area development dropped substantially from the long-term average, while live-stock had no representation in the 1995 cohort—both underperforming subsec-

FIGURE 2.2: LONG-TERM PERFORMANCE TRENDS FOR SELECTED SECTORS, BY CLOSING YEARS 1984–94 (TWO-YEAR INTERVAL) AND 1995 COHORT



Source: Annex Table 1.33.

tors with long-term ratings of 44 percent and 30 percent, respectively. Some of the changes in the subsector composition observed in Africa are also at work Bankwide, with a similarly positive impact on the overall sector rating. This is particularly true for strong declines in area development and livestock and for a strong increase in research and extension. Some of these shifts in subsector emphasis are likely to be lasting. On this basis, one could expect a more durable improvement in agriculture performance ratings, with a positive impact on the Bank's overall portfolio outcome. The 1996 ARPP findings add support to this view, as the share of problem projects—those having difficulty making progress on implementation (IP) and in achieving development objectives (DO)—in the agriculture sector's ongoing portfolio is in the mid-range for the sectors.

In the *financial sector*, the 1995 cohort shows a dramatic drop in performance, with only 22 percent of the projects rated satisfactory on outcome as compared with a 1990–94 closing year average rating of about 50 percent and a 1974–94 average of about 71 percent. The sector's medium-term record was significantly below the Bankwide average of about 69 percent and far below the long-term record, which is in line with the Bankwide average of 72 percent. While the 1995 rating is startling, at the same time, the 1995 finance cohort is extremely small, with just nine operations as compared with 340 for the 1974–95 period. Therefore, it is difficult to draw conclusions. However, the findings of the 1996 ARPP raise concern in that in terms of percentages of IP/DO problem projects, finance is among the sectors with the highest proportion of problem projects. Thus, the active portfolio also raises sector concerns. A major OED financial sector study⁵ is under way and should shed light on the risk of financial sector projects.

With regard to *industry*, the 1995 results are again substantially better than those observed in previous evaluation years and the long-term average (Annex Table 1.28). The percentage of satisfactory projects for industry is 83 percent in the 1995 cohort, clearly above the averages of the 1990–94 and 1974–94 closing years (64 percent and 66 percent, respectively). The country/regional composition of the sector cohort goes a long way towards explaining the good performance of industry. The 1995 cohort does not include any projects from the Africa region, which—in the past—carried a low 31 percent average across the 1974–95 cohorts. On the other hand, the cohort includes a large proportion of projects in East and South Asia, which performed relatively well in the past (81 percent and 75 percent satisfactory, respectively, across the 1974–95 cohorts).

Whether the improvement in sector performance will last is quite uncertain at this stage. Arguing for the turn-around is the fact that in previous years' evaluation cohorts, most of the African projects belonged to the first generation of public-enterprise-based industrial development in relatively protected environments. The projects were approved in the first half of the 1980s. Most have been completed by now, leaving Africa basically without industry-specific projects. On the other hand, expected changes in the subsector composition of industry projects of future cohorts could be detrimental to overall performance. The Bank has *de facto* discontinued lending for specific industries, and now financial intermediary loans (FILs) basically cater to industry. If one uses the recent performance of FILs within the finance sector as a performance benchmark, there is little consolation: these loans have performed well below average in recent years (55 percent satisfactory across the 1990–95 cohorts). There is no reason to think that FILs catering to industry do any better. Looking again at the active portfolio, the 1996 ARPP shows industry among the worst performers using the actual and potential "projects at risk" measure, but the active portfolio contains only 29 industry projects. FILs were also poor performers with regard to lending instruments. Thus, the ARPP findings support the latter interpretation.

*Better
agricultural
performance
can be traced
to a shift,
especially
in Africa,
towards the
subsectors
that perform
better*

Program and policy operations in the 1995 cohort were fairly stable; technical assistance was weak

As for *program and policy operations*, the 1995 results are fairly stable, at 67 percent satisfactory for closing years 1974–94. Structural adjustment loans were rated at 64 percent satisfactory compared with 65 percent satisfactory for the 1990–94 closing years, and with sectoral adjustment loans at 71 percent satisfactory compared with a 71 percent satisfactory average for closing years 1990–94 (Annex Table 1.28). Seventeen of the 52 operations in the cohort had unsatisfactory outcomes; of these, 10 were in Africa. Two factors predominate in the reports as explanatory factors for the 17 unsatisfactory projects: lack of ownership and macroeconomic, especially fiscal, discipline. In seven of these instances,⁶ weak or wavering government commitment was singled out as the main explanatory factor; in six cases,⁷ a failure to stabilize the economy was the main shortfall, with the budget having been the main variable responsible for the unsatisfactory outcome; for the remaining four, poor design⁸ or political disturbances⁹ were the culprits. In at least two instances (Guinea and Papua New Guinea), a windfall in revenues or an excess of foreign aid was identified as having undermined government commitment. In addition, marginally satisfactory outcomes were also generally attributed to wavering government commitment or financial discipline. Conversely, most of the genuinely satisfactory outcomes occurred when government commitment to reform was very strong. At times, it took a truly major economic crisis to create that commitment (for example, in Argentina).

Regarding *technical assistance*, performance has traditionally been weak, with a longer-term average of 55 percent satisfactory (1974–94 closing years). However, with only three (19 percent) of its 16 projects evaluated in 1995 rated satisfactory, the sector stands out as by far the weakest performer.¹⁰ Review of the sector indicates that several factors have contributed to the failure of TA loans (TALs): turbulent economic and political developments during their implementation, and some design factors (see Box 2.1). In the active portfolio, the 1996 ARPP shows that TALs continue to be, along with FILs, the worst performers.

Ten of the 13 TALs with unsatisfactory outcomes were in Africa. Many reasons have been advanced for these outcomes: lack of government program ownership; political and macroeconomic instability; and, in some instances, a problem of governance. These factors often impinged on the continuity of project implementation, causing major delays and under-use of TA resources. Technical and agency issues were also important: overambitious design requiring program changes; implementing agency problems; prolonged and complicated procedures for procurement, including especially those of consultants; and problems related to consultants (terms of reference; inability to transfer skills and technology through training; lack of monitoring; and poor Bank supervision). Short-term objectives were sometimes achieved initially, but eventually one of the above factors, or a combination of them, contributed to the failure to achieve the longer-term goals. The long-term goal is pursued by the capacity-building initiative (see Box 2.2).

The *power sector* shows some improvement over 1994, but the 1995 results, with 67 percent of the projects rated satisfactory, are considerably below the 1990–94 and 1974–94 averages of 75 percent and 82 percent, respectively (Annex Table 1.28). Greater demandingness—by increasing the importance given to institutional aspects beyond the much simpler physical objectives—in part explains the declining trend since 1989. Specifically, the decline can be attributed to a more demanding stance by the Bank with respect to (1) poor recovery of cost of service and self-financing of utilities caused by low, government-controlled, electricity tariffs; (2) excessive government intervention in the operation and management of power utilities as reflected by low productivity and efficiency

BOX 2.1: TECHNICAL ASSISTANCE AND THE WORLD BANK

Technical assistance (TA) is a key instrument for improving policies and project design, enhancing skills, and strengthening implementation capacity, and for institutional development in general. The World Bank is a major provider of TA and has sharply increased its lending for this purpose in recent years, partly reflecting the large needs of its new members. The current portfolio comprises 136 freestanding TA loans, averaging about \$20 million in size, and technical assistance components—ranging from \$200,000 to \$50 million in size—of an estimated 1,300 other loans. With regard to regional distribution of freestanding TA loans, Africa, with 32 percent, has received the largest share from FY91–95, with the Europe and Central Asia region, at 30 percent, a close second, and the Latin America and Caribbean region third with about 20 percent of the freestanding loans.

The Bank distinguishes between two forms of TA: (1) substitution TA, wherein consultants and advisors fill short-term gaps when local capacities are insufficient; and (2) institutional development TA (IDTA), which has the goal of building and improving capacity by developing skills and strengthening institutions. The Bank has been gradually shifting its emphasis towards IDTA.

Evaluations of the Bank's experience in a wide range of countries and types of endeavor—from petroleum engineering in Turkey through telecommunications in Indonesia, support to agriculture in Madagascar, earthquake preparedness in China, and management of social services in Argentina—confirm the contributions that TA can make to development. Yet, TA is difficult, both because policy change, capacity building, and institutional development are intrinsically complex and because many of the countries that most need TA are those least equipped to use it effectively. Governance problems and weak management are the two main reasons for the poor past performance of TA projects. Experience shows there is no formula for making TA effective. A new paradigm emphasizing participation, empowerment, short-term consultants, and use of performance indicators may improve TA, but more research needs to be done.

Meanwhile, following the recommendations of a high-level task force report on TA, in 1993 the Bank created the Institutional Development Fund, which provides grants to countries where institutional development is a significant goal of country assistance strategy. It supports small, action-oriented proposals for institutional development and capacity building, closely linked to the Bank's economic and sector work and policy dialogue.

Source: OED 1996e.

indicators (over-staffing, high losses, high level of arrears); and (3) efforts to develop capacity through staff training and sector planning, coordination, and regulation for government officials. The negative impact of the second oil crisis (1979) and mounting debt-service problems in the early 1980s also contributed to the decline of power projects' performance. The results of the new (1993) power sector paradigm—focused on a radical power sector restructuring and a different regulatory approach—and the Bank's expanding guarantee program for private-sector-based initiatives are not reflected in the recently completed power projects. Thus, the new paradigm cannot be considered a factor in the worsening performance of the 1994 and 1995 cohort.

Box 2.2: CAPACITY BUILDING IN AFRICA

Long recognizing the institutional challenge in Africa, in the late 1980s the Bank launched the African Capacity Building Initiative, which sought to build a stock of policy analysts and managers who would develop frameworks for capacity building. In turn, in 1991 the initiative launched the African Capacity Building Foundation (ACBF), which has the primary aim of building capacity for policy analysis and economic management in Africa. More recently, in April 1996, the World Bank commissioned a study to find out how it can improve its policies, instruments, and operations in Africa in order to enhance the impact of its interventions on capacity building in the region. The working party, made up of African and non-African development researchers and practitioners, concluded that capacity building is central to sustained development, and that the effort must be undertaken by the African peoples and their governments. Because African countries are increasingly differentiated, the working party stressed that capacity development must be nationally owned by each country. To that end, the report called for individual African countries to conduct national assessments to define a national vision; identify institutional strengths and weaknesses, and the strategies and incentive systems to strengthen institutional performance; identify critical skills gaps and means of addressing them; and develop a national strategy for capacity building.

The working party also reported that the Bank, during the last six years or so, had given much thought to the problem of capacity deficiencies in Africa, but had not yet addressed how to translate the idea of the local "ownership" of a project, loan, or policy into practice. In addition, the working party concluded that not enough thought has been given to mainstreaming capacity-building ideas into World Bank operations.

Source: World Bank 1996a.

Three-quarters of the 39 unsatisfactory power projects for the 1990–95 cohort are located in the Africa and LAC regions: 13 and 15 projects, respectively. Also, IDA-funded power projects have been less successful than the ones funded by IBRD. About half of the 13 hydroelectric projects included in the 45 power projects in the 1994 and 1995 cohorts were rated as satisfactory. Over the medium term (1990–95), too, IDA-funded hydroelectric projects have been less successful than the ones financed by IBRD. The ARPP findings concerning power projects still in implementation are encouraging; that the sector is close to the Bank average in terms of proportion of actual and potential problem projects suggests that improvement from the new paradigm is being seen.

Concerning the *water and sanitation sector* (WSS), the decline in satisfactory outcome ratings (down to 38 percent in 1995 from a 1974–94 closing year average of 73 percent and a 1990–94 closing year average of 59 percent) has been much steeper than for any of the other sectors (Annex Table 1.28). The 1994 cohort rating (89 percent satisfactory) is an outlier, with most of the satisfactory ratings being "marginally satisfactory" border cases. It is important to recognize that the evaluation year cohorts in WSS are generally very small, ranging from seven to 16 projects between 1986 and 1995, and thus constitute a weak base for robust statistical analysis. Africa and LAC have been the dominant regions in the 1991–94 WSS cohorts. In 1995, MNA with five projects had the highest share, followed by Africa and LAC. In terms of the active portfolio, this sector stands out as hav-

ing among the worst actual and potential problem projects, indicating a continuing challenge.

As with power, the decline in ratings is due, in large part, to the greater emphasis on, and increasing importance of, institutional development. The small proportion of projects with a substantial ID impact (8 percent in the 1995 cohort)—by far the lowest ratio in many years—supports this interpretation. In addition, other factors were at play. In the 1995 cohort, the Gulf War affected performance of two projects (in Jordan and Yemen), and major civil unrest affected one project (Zaire). Key problems among the unsatisfactory projects were (1) poor project preparation; (2) weak project management and institutional development; and (3) lack of progress on financial targets, particularly tariffs.

Risks and rewards: poverty reduction

The Bank's strategy for poverty reduction was first proposed in the 1990 World Development Report (WDR). This three-part strategy combines (1) encouragement of efficient, broadly based economic growth that productively absorbs the poor's most abundant resource—labor; (2) provision of social services, such as primary education, basic health care, family planning, and improved nutrition to equip the poor to respond to the income-earning opportunities created by growth; and (3) well-targeted transfers and safety nets to protect those who are unable to respond to new economic opportunities (including children, the elderly, or the chronically infirm), or are vulnerable to shocks, such as floods or droughts. This strategy significantly shifted the Bank's focus on poverty reduction away from the single-minded pursuit of growth advocated in the 1950s and 1960s, the basic needs approach of the 1970s, and the emphasis on structural adjustment of the 1980s. The strategy became Bank policy in 1991; it was summarized in the policy paper *Assistance Strategies to Reduce Poverty* (World Bank 1991) and codified in Operational Directive 4.15 of December 1991.

The 1995 cohort

Almost all projects in the 1995 cohort, except for 10 adjustment loans, were approved in the mid-1980s before the Bank's current policy on poverty reduction was adopted. Thus, about 88 percent were designed to contribute to broad-based growth; 10 percent were designed to contribute to human resource development; and 2 percent were designed to support substantial safety net components in addition to growth.

Because growth projects account for almost 90 percent of the 1995 cohort, their performance closely tracks the average performance of the cohort as a whole, as presented in Chapter 1. The ratings of the 24 projects (9 percent) aimed at human capital development (health care, nutrition, education, and other social services) are substantially better than average for two of the three key ratings, with 83 percent rated satisfactory, 58 percent rated likely to be sustained, and 21 percent rated as having a substantial ID impact. Many of these projects supported construction of physical facilities and provision of primary-level services. Growth projects with substantial safety net elements are also rated highly, but this category included only six projects. Projects supporting human capital development (education and population, health, nutrition [PHN]) have been expanding rapidly in the current Bank portfolio from 17.5 percent of projects (12.1 percent of commitments) in FY93 to 20.7 percent (15.9 percent of commitments) in FY96. Their performance (based on ARPP ratings of problem projects) is still considered slightly above average, although in recent years the ratings have weakened

Almost all projects in the 1995 cohort were approved before the Bank adopted its current policy on poverty reduction

Box 2.3: POVERTY REDUCTION AND THE WORLD BANK: PROGRESS AND CHALLENGES IN THE 1990S

The incidence of poverty fell slightly from 30 to 29 percent of the world's population between 1987 and 1993, but the number of people living on less than a dollar a day continues to increase. The incidence of poverty has decreased in East Asia, Middle East, and South Asia, remained basically stable in Latin America and sub-Saharan Africa, and increased in Eastern Europe and Central Asia.

The Bank's support for poverty reduction has many aspects: measures to include the poor in growth through the provision of policy advice towards broad-based growth and functioning markets; the assurance of access to essential factors of production; increased returns to, and productivity of, the poor's factors of production; and overcoming discrimination against poor groups. The Bank also supports human capital development by providing basic education and improving the health of the poor. Some countries have made notable progress in reallocating social spending to the poor (for example, Argentina, Colombia, Malaysia, the Philippines, Uruguay), while many others have not.

To lift themselves out of poverty, people need health and education, and over the last decade Bank lending for human capital development has increased more than fivefold. Efforts in education have focused increasingly on early childhood development, primary education, and education for girls, where the returns on educational investment are the greatest and most broadly based.

Investment in safety nets has grown from almost zero in the mid-1980s to more than \$2 billion by 1996. These investments include short-term job creation projects, such as AGETIP in Senegal, the Program of Essential Services in Mexico, which combines investment in essential services with short-term public

and moved closer to the Bankwide average, as projects have become more demanding and complex and the sector portfolio has matured. Given the rising importance the Bank attributes to human capital development, special efforts are under way to ensure better quality at entry and implementation (*inter alia*, through more rigorous economic analysis, as well as piloting and monitoring and evaluation, so as to learn more systematically from experience).

Bank data do not lend themselves to identifying projects designed to support safety nets. Since this category of project is an integral part of the Bank's poverty reduction strategy, it would be worthwhile to begin to flag these projects in order to track their performance.

Other evaluation findings

Progress in poverty reduction. The Bank's annual progress report on poverty reduction for FY95, summarized in Box 2.3, concludes that inroads have been made in reducing poverty, but overall the gains have been modest when set against the challenge.

The social impact of adjustment. OED's study of the social impact of adjustment, which reviewed Bank-supported adjustment operations between 1980 and 1993, concluded that those countries that successfully implemented adjustment poli-

(Box 2.3 continued)

works programs in low-income areas, and numerous social funds. Three-quarters of Bank support for safety nets has been to countries of the former Soviet Union. Safety net interventions are part of the Program of Targeted Interventions (PTI). A project is included in the PTI if it has a specific targeting mechanism for reaching the poor and/or if the proportion of poor people among its beneficiaries is significantly larger than the proportion of the poor in the total population. FY95 saw a 25 percent increase over FY94 in PTI lending (\$5.4 billion). PTI projects have rated consistently better than average in both their potential to achieve their objectives and progress in implementation.

No country has been able to sustain its efforts in reducing poverty without economic growth. Overall, most countries in which serious efforts were made to implement adjustment measures achieved growth without increasing poverty. However, there is considerable variation across countries in the impact of a given rate of growth on poverty reduction.

Lessons from experience

Growth is vital for reducing poverty, but income distribution is an important determinant of how growth affects poverty reduction. More work needs to be done to ensure that the poor benefit disproportionately from growth if measurable progress in poverty alleviation is to be made. Government commitment to, and broad support for, poverty reduction are essential for success. Participation of local people and beneficiaries is critical to strengthen implementation and ensure sustainability of poverty reduction interventions. Last, but not least, effective poverty monitoring systems should be built into country assistance strategies and operations to measure the impact of Bank support on poverty.

Source: World Bank 1996b.

cies have raised per capita income and reduced poverty (Jayarajah, Branson, and Sen 1996). Economic growth was the most significant factor affecting poverty reduction. OED's analysis also showed that the effects of growth on poverty were larger than the effects of income distribution, across all regions. This conclusion was also supported by an in-depth study of six African countries (Demery and Squire 1996). While higher growth rates have the potential to reduce poverty, there is considerable variation across countries in the impact of a given rate of growth on poverty reduction. Income distribution is an important determinant: (1) the greater the reduction of income inequality achieved over time, the greater the impact of growth on poverty reduction; and (2) the level of income inequality in the base year influences poverty reduction in subsequent years. Growth with reduced inequality is achievable only when the poor participate adequately in the growth process.

Implementing projects for the poor: the experience of IDA-8. An impact assessment of 67 IDA-8 projects targeted to benefit the poor concluded that performance ratings were better than the average of all IDA-8 projects and all IDA projects ongoing in 1992-94 (Carvalho and White 1996). The reasons for such good performance included their focus on basic services and disadvantaged areas, sensitivity to gender issues, their encouragement of broad policy reform, emphasis on both supply and demand in service provision, and their adaptability to conditions on the ground. However, several common problems also existed, includ-

Economic growth is a significant factor in reducing poverty

ing problems with country project management, disbursement and procurement, and government failure to implement complementary actions, as well as external factors beyond the control of stakeholders, including adverse weather.

Taking action for poverty reduction in sub-Saharan Africa. A Bank Task Force on Poverty in Sub-Saharan Africa was established in 1994 to identify how the Bank could strengthen its operational response to poverty and improve food security. The Task Force Report contained six principal findings (World Bank 1996d): (1) up to 50 percent of the people in the region live below the poverty line, and unless these numbers are reduced substantially, they will threaten economic growth and social stability; (2) too few governments have made strong commitments to poverty reduction, and without such commitments poverty is not likely to be reduced; (3) economic growth rates are generally too low to reduce poverty significantly. Because of high rates of population growth, annual economic growth rates of 6.5 percent are necessary for most countries before poverty will be reduced significantly; (4) Bank lending to the region has focused mainly on growth (58 percent), with lesser amounts aimed at provision of national-level services (24 percent) and services targeted at the poor or defined locations (18 percent); (5) the focus on poverty reduction in operational work must be intensified and stronger links forged between poverty assessments, country assistance strategies, and lending programs; and (6) stronger partnerships for poverty reduction are needed. Governments should promote inclusion of stakeholders, especially women's groups and nongovernmental organizations (NGOs), in formulating and implementing programs to reduce poverty.

Progress in poverty assessments. The findings of the Africa Region Task Force support those of OED's progress review on poverty assessments (OED 1996d). This review assessed the 46 poverty assessments prepared between 1988 and the end of 1994 in terms of the guidance provided by the Bank's operational directive (OD) on poverty reduction,¹¹ their influence on the Bank's country assistance strategies (CASs), and poverty-targeted lending. The review found that the Bank had been unable to fulfill its initial commitment to complete poverty assessments because complexity was underestimated and resources were insufficient. The quality of the poverty assessments, judged against the benchmark set by the OD, varied.¹² A number of poverty assessments were rated as superior,¹³ but too many failed to satisfy the requirements of the OD. Even more importantly, the influence of poverty assessments on CASs was modest. With a few significant exceptions, including CASs for Ethiopia, Mali, and Mexico, the findings and conclusions of poverty assessments found little expression in CASs. Few CASs recorded progress in poverty reduction.

Based on these findings, OED recommended that a new and more realistic timetable for completion and updating of poverty assessment be established; the quality of poverty assessments be monitored and the results of monitoring reported annually to the board; the links between poverty assessments, CASs, and lending be analyzed and recorded in the Bank's annual report to the board on progress in poverty reduction; and the Bank systematically strengthen borrower capacity to prepare poverty assessments and monitor progress in living standards. These recommendations are consistent with those that Bank senior management made when the 1995 progress report on poverty reduction was released.

Risks and rewards: environment

The World Bank has come a long way in its response to environmental concerns from the days when its environmental portfolio of \$1 billion was handled by a

five-person staff. The Bank's current strategy for the environment grew out of the 1992 United Nations Conference on the Environment and Development (UNCED)—the Rio "Earth Summit"—and the watershed 1992 World Development Report, *Development and the Environment*. Today the Bank's environmental portfolio stands at about \$11.6 billion for 163 projects. More than 10 percent of the Bank's new lending is now devoted to projects specifically addressing environmental problems (Mason, Dixon, and Redwood 1994). The Bank's concept of sustainable development requires balancing environmental protection with job creation and better livelihoods. Its environmental agenda centers on (1) assisting countries in setting priorities, strengthening institutions, and implementing programs for environmentally sustainable development; (2) minimizing the potential adverse environmental and social impacts of development projects; (3) building on the positive links between poverty reduction, economic efficiency, and environmental protection; and (4) addressing global environmental challenges. Key themes are expanding the voice of the poor in decisionmaking for sound environmental management, expanding the scope of environmental assessment in designing sectoral and regional investment programs, and leveraging private initiative.

The 1995 cohort and the active portfolio

About 25 percent of the projects in the 1995 cohort have an environmental focus. Almost all of these were approved prior to 1991; about half were approved before 1986. The performance of these projects trails that of the larger cohort, with 63 percent having a satisfactory outcome rating, below the rating of 68 percent satisfactory for the cohort as a whole. Agriculture is the sector with the most projects, followed by urban, water and sanitation, and power and energy. The group is highly heterogeneous and, given the changes in Bank environmental policy and scope since the approval dates of these projects, the 1995 cohort cannot provide a test of current policy on the environment. It is clear, however, that the more recent operations in the cohort paid more attention to environmental issues and performed better than the earlier ones.

The active portfolio includes \$10 billion in environmental projects through June 1995; efforts are being made to treat global environmental problems through the Global Environment Facility (GEF) and the Montreal Protocol; initiatives are under way towards afforestation, soil conservation, market-based land reform, decentralized rural development, appropriate water pricing to raise the efficiency of irrigation systems, and expanding national parks and reserves. Particular emphasis has been placed on energy efficiency and abating transport-related pollution. Evaluative evidence from various 1996 Bank studies provides a picture of learning taking place and progress being made, but major challenges also remain. Overall, progress is constrained by the institutional capacity of the borrowers and the size of the challenge posed by population growth.

More recent projects with an environmental focus perform better than earlier ones

Other evaluation findings in relation to the Bank's environmental strategy

Assisting countries in strengthening their environmental policies and institutions. Environmental impact assessments and action plans are the two key means of achieving this component of the Bank's environmental strategy. Two recent World Bank studies, one by OED (internal) and one by the Environment Department, agree that the quality and effectiveness of environmental impact assessments (EAs) have improved over the last five years, particularly identification and assessments of impacts, as well as mitigation, monitoring, and management planning (Kjorven and others 1996). Many international organizations have adopted Bank procedures as models for their own environmental assessments.

Environmental impact assessments and action plans are two ways for the Bank to help clients strengthen environmental policies and institutions

But important weaknesses remain. Borrower field staff tend to be poorly prepared and would benefit from training in the supervision of environmental management plans. Too often EAs strive for comprehensiveness at the expense of timely assessment of major risks. As a result they are often completed too late to influence the design of operations. Analysis of project alternatives is weak, as is supervision. However, there is an incipient trend of improvements. For projects with the most severe environmental impact, recently EAs have had an increasing influence on project design.

The Bank has supported the preparation of national environmental action plans (NEAPs) since 1992. OED found that they have had positive impacts: NEAPs helped create a forum for debate and stronger environmental management institutions, introduce environmental protection policies, prepare innovative pilot projects, and increase public awareness of environmental issues. A requirement that NEAPs be prepared for all IDA borrowers was included as a condition of funding of IDA-9. Still, they have yet to achieve their full potential and are among many environmental action plans competing for government attention and scarce resources. They often seem to be imposed on the borrower and to be inviting little local participation.

The OED study also found that, in most cases, country environmental management agencies are small, with few individuals having the requisite knowledge and experience to deal adequately with environmental issues. Country environmental agencies are so overworked that local investment projects receive little scrutiny. Borrowers are looking for ways to maximize coverage with existing staff resources. Expanding the geographic and sectoral areas covered by their project planning-related environmental studies is one way for borrowers to do this without a dramatic budgetary increase. Broader assessment methodologies can provide a context for site-specific designs, reducing project-specific preparation costs. The study noted that more frequent recourse to sectoral environmental assessments would lead to improvements in timeliness, better screening, and more careful consideration of alternatives and economies of scale in project EAs (regional and sectoral databases would eliminate the need for assessment reports to repeatedly gather the same data).

Building on the links between poverty reduction, economic efficiency, and environmental protection. Two OED impact studies illustrate the need for these links and the challenges of coping with urban growth and weak municipal management (OED 1996b, 1996c). Over the course of three projects, the Bank provided \$440 million to improve Bombay's water supply and sewerage systems. OED's impact evaluation finds that the project succeeded in increasing water supply and expanding sewerage coverage, but population growth was overwhelming and three-fourths of the collected sewage is still discharged to creeks and coastal waters without treatment. The sewerage components were intended to provide the primary environmental benefits of the program, but technical, managerial, and contractual difficulties have postponed the completion of several key components. The most improved environmental conditions are found at the street level (because of expanded sewerage coverage), and shoreline pollution has also decreased in selected areas because two marine outfalls are in service. A comprehensive environmental assessment was conducted and resulted in a program to address the above problems starting in 1995.

Five Bank-supported urban services projects in Nairobi improved environmental conditions in the city's major rivers as well as in project sites. The Nairobi River, which runs through the entire city, and the Ngong River, its main tributary, are the core of the drainage system. They are also, unfortunately, the recip-

ients of solid waste and uncontrolled discharges from industrial plants and effluent from the sewer system. The water quality in the rivers has deteriorated over time; the all-time high for critical indicators was reached in 1987. Since then, water quality in the Nairobi River has shown signs of improvements attributable to the expansion of sewerage coverage and the improved treatment of sewage. Sanitation in unsewered areas still poses an alarming threat to public health. The steady increase in area coverage of the sewerage has markedly improved the environment in many Nairobi neighborhoods. On the other hand, because of the deteriorating solid waste collection and disposal system, which currently collects only about 20 percent of waste generated, both people's health and the quality of the environment are still at risk in many poor neighborhoods. Solid waste is routinely dumped in streets and open drains in many areas, even in the very center of Nairobi. The waste is often burned in an attempt to control the problem, thus adding to air pollution. Some better-off neighborhoods have started to hire private contractors to collect their waste. Substantial improvements were made initially at the sites of the urban projects but the momentum was soon lost, due to inadequate institutional strengthening at the city level.

The Ethiopian Forestry Project harmonized stakeholders' income needs with conservation. The availability of profitable land management systems was critical in fostering interest in resource conservation and management. Once trade in timber was liberalized, interest quickly increased in tree farming on the degraded and eroded hills around Addis Ababa, with trees being harvested for fuelwood and construction purposes. Similarly, in Benin, the Borgou and Zou rural development projects both included components to encourage farmers to intensify the use of seasonally flooded land as an important component of sustainable farming systems.

Minimizing the potential adverse environmental and social impacts of development projects. A recent OED review of the Bank's experience with projects involving large dams found that their social and environmental performance has improved (OED 1996f). This has been a response to the growing attention given to social and environmental effects, as reflected in the Bank's development and implementation of specific policies, beginning with the guidelines for involuntary resettlement in 1980. Of the 36 cases approved before 1980, only 11 percent were judged to have had negligible or appropriately mitigated social and environmental impacts. Based on current policies, 66 percent of these cases were found to have small impacts, and 22 percent had large impacts. Of the 14 projects approved since 1980, fully 64 percent have been found to have negligible or appropriately mitigated environmental impacts, 21 percent small impacts, and 14 percent large impacts.

Of all the social and environmental aspects of large dams, resettlement was the one whose inadequate management was most likely to seriously affect the overall outcome of a large dam project. Resettlement has had an adverse, or unknown and possibly adverse, outcome in about half the dams in the review. While performance has improved in more recent (post-1980) projects, there are still many lessons that need to be learned from projects where the resettlement outcome was satisfactory, such as Chilatan (Mexico), Lubuge (China), and Khao Laem (Thailand), as well as those that encountered major difficulties, such as Chixoy (Guatemala) and Upper Indravati (India).

Of the dams' environmental impacts, watershed degradation, sedimentation, and loss of natural habitats were the most likely to have a serious adverse impact on the outcome of large dams. In most cases, the impacts appear to have been small, and at least partially mitigated in the course of project planning and

While performance of resettlement projects has improved, there are still many lessons to be learned

implementation. In a few projects, notably Pehuenche (Chile), conditions for wildlife have improved. In others, such as Kulekhani (Nepal), accelerating watershed degradation appears to be increasing the rate of sedimentation, threatening the long-term sustainability of the benefits.

The study also found a growing emphasis on the social aspects of sustainable development in land and water resource projects. For example, land and water resource management plans need to respect traditional organizations. Increasing emphasis is being placed in resource management operations on decentralization and the development and/or involvement of local institutions. However, care needs to be taken to ensure that whatever is supported by the project is compatible with existing structures. Much effort is being expended, for example, to develop water users associations (WUAs) for local irrigation management, and frequently a standard organizational pattern is involved. However, where there is a tradition of irrigation, there are likely to be local semi-formal or informal groups to coordinate water use. If these are ignored, as in the Pakistan on-farm water management projects, the organizations specifically created to coordinate beneficiary participation in the project are unlikely to last.

Addressing global environmental challenges. Few Bank-funded projects with a significant emphasis on biodiversity conservation have yet been completed and evaluated. One such project in the 1995 cohort is the Malaysia Sabah Land Settlement and Environmental Management Project. It provides a significant example not only in terms of biodiversity conservation, but also in terms of the value of partnerships. More than half the area involved in this project was earmarked for wildlife and forest reserves. Working together with a major NGO, and with United Nations Development Program (UNDP) funding of required TA, the project supported the preparation of a conservation strategy for the state and management plans for the gazetted reserves in the project area. The partnership between the state government and locally based NGOs helped ensure broad support for the conservation effort, and preparation of the statewide conservation plan provided an invaluable base for dialogue between stakeholders and increasing awareness of the issue.

Conclusions and outlook

A country's economic and policy environment can have a dramatic effect on project risks and rewards

Project risks and rewards clearly vary by sector and lending instrument, and when the factor of country risk is added, the effect can be dramatic. The country dimension tends indeed to be dominant, with generally poorly performing sectors faring better in good country environments. The worst combination is a project in a generally poorly performing sector being undertaken in a poor country environment.

These findings are based on the historical record and do not reflect the potential these sectors are believed to have. At the same time, however, the performance risk appears to be present also in the current portfolio. The FY96 ARPP shows technical assistance and financial intermediary loans (classified as lending instruments) with an above average share of "projects at risk" (actual and potential); this means that enormous efforts have to be undertaken to realize the full potential of these interventions in the future.

With respect to policy changes, OED findings indicate that economic growth was the most significant factor affecting poverty reduction. Where macroeconomic adjustment policies have been implemented consistently, they have contributed positively to growth and lowered inflation. The effects of growth on

poverty have been larger than the effects of income distribution, both in countries where poverty has increased and in countries where it has decreased.

Mainstreaming concern for poverty reduction in the Bank's dialogue with borrowers, in country assistance strategies, and in lending requires significantly more attention to poverty assessments and CASs. Raising the quality of poverty assessments by implementing OD 4.15 more consistently and ensuring that the findings and conclusions of poverty assessments are incorporated in CASs should be a Bankwide priority.

While the Bank is making good progress on environmental issues, overall progress is constrained by the institutional capacity of borrowers and the size of the challenge posed by population growth. Building institutional capacity of borrowers is key to success in this area.

Notes

1. In this report and particular context, human resource development is not counted as a separate theme; it is rather treated as a sector with the ultimate goal of poverty reduction. Technical assistance is presented as a sector; Chapter 1 also discusses technical assistance as a lending instrument.
2. This year's presentation of sector analysis has modified the sector designations of prior Annual Reviews in order to report all adjustment lending under the 'Program and Policy' classification. Thus, sectoral adjustment loans are no longer reported under their respective sectors. As a result, comparison of the current sector analysis with past analysis will show smaller representation of most sectors in terms of number of projects and commitment/disbursement amounts.
3. The high ratings for human resource projects are likely due to the overwhelming physical objectives at the time the projects in the 1995 cohort were designed.
4. The methodology for this analysis is the same as for Table 1.2 in Chapter 1. As shown in the note to Table 2.1, the sample size at the sector level gets relatively small in a number of cases. This makes it impossible to disaggregate further, which would have otherwise been desirable in order to pinpoint the problems with greater precision.
5. The working title of the study is "Financial Sector Reforms: A Review of World Bank Assistance." It is expected to be completed by July 1997.
6. Nicaragua Economic Recovery, Venezuela Public Enterprise Reform (PERL), Madagascar Public Sector Adjustment, Guinea Structural Adjustment Credit (SAC) II, Central African Republic SAL III, Papua New Guinea SAL, and Tunisia PERL.
7. Venezuela Financial Sector Adjustment (FSAL), Chad Financial Rehabilitation, Ghana Private Investment Promotion (SAC III), Tanzania FSAL, Cameroon Structural Adjustment Loan and Credit.
8. Bangladesh FSAL.
9. Togo SAL IV, Rwanda SAL I, and Lebanon Reconstruction.
10. Although the Bank has traditionally considered TA a sector, there is little homogeneity within this group of projects. Most TA projects are specific to sectors such as power, education, and health.
11. Operational Directive 4.15.
12. A review of 26 African poverty assessments, prepared by the Institute of Social Studies (ISS) in The Hague for the government of the Netherlands, also concludes that poverty assessments are highly variable. "Poverty in Sub-Saharan Africa: What Can We Learn from the World Bank's Poverty Assessments?" Institute of Development Studies Advisory Service, The Hague, the Netherlands, 1996.
13. Poverty assessments rated as superior, prepared before the OD was adopted, included those for Malawi and the Philippines. Poverty assessments rated as superior, prepared after the OD was adopted, included those for China, Colombia, El Salvador, Jordan, Mali, Mauritania, the Philippines (an update), and Poland.

3. Managing portfolio performance: determinants, risks, and options

RESULTS IN BRIEF

At the individual project level, borrower performance has the greatest influence on project performance. The next influential factor is Bank performance. The 16 outstanding projects in the 1995 evaluation set show a strong relationship with these factors, while the eight poorly performing projects show the inverse relationship.

Cross-country econometric analysis of country portfolio performance was also conducted. The results confirm those obtained last year:

- Good economic management has the highest payoff for improving portfolio outcomes and sustainability.
- Identification, appraisal, and supervision are significant Bank process factors correlated with portfolio outcome and sustainability.
- Good Bank performance is likely to make a significant difference in project performance. However, the effort has to be very strong to overcome the odds of a poor country economic and implementation environment.

Different models were used to test the sensitivity of portfolio outcomes to changes in performance. Sensitivity testing based on econometric models assumed that Bank appraisal and supervision would be raised to the 90–95 percent satisfactory mark, and borrower implementation to 80 percent. Together, these improvements would raise the probability of satisfactory outcome of the average project to about 80 percent. A conditional probability model simulating the impact of greater country selectivity, proactive portfolio management, and improved quality yields a similar result for projects to be closed by the year 2004. Much of the impact would result from improved quality at entry as the portfolio is rejuvenated and eventually completely renewed through the entry of new, high-quality projects. The model confirms most portfolio improvement requires broad-based and sustained efforts over many years.

Scope and methodology

What factors are likely to bring about satisfactory portfolio performance? What are the characteristics of outstanding and poorly performing projects? How important are a country's economic and socio-political environment and borrower behavior to project outcomes? How significant are Bank-controlled processes? This chapter recaps the findings and updates the country portfolio-based econometric analysis of the 1994 Annual Review.

The main changes in the country portfolio-based econometric analysis for this 1995 review are the inclusion of the new cohort of projects evaluated in 1995 and the use of Bank country performance ratings for the period 1977–95 to compare short- and long-term economic management across countries. The analysis characterizes the project portfolio of countries with at least seven projects approved after 1979 and evaluated during 1991–95. The sample of 1,344 projects represents 67 countries, six of which were added for the first time to last year's sample:

Algeria, Honduras, Romania, Togo, Uruguay, and Yemen. The explanatory variables include measures of Bank performance and policy dialogue with the borrowers, indicators of countries' short- and long-term economic conditions and policies, as well as indicators of socio-political conditions and governance, and a variable capturing external economic shocks. The most important innovation in this year's exercise is the use of country performance ratings prepared by the Bank for each year from 1979 through 1992 in place of the several standard macroeconomic indicators tested in the past. For the periods 1979–84 and 1987–88, these ratings are based on separate ratings for four equally weighted components: short-term economic management, long-term management, poverty alleviation, and responsiveness to the Bank. By using these ratings, the analysis avoids the collinearity problems that typically characterize macroeconomic indicators, and also captures countries' medium- and long-term structural conditions. The analysis tests all relevant variables in eight different model specifications, using both OLS and quantile regression. Quantile regression allows differentiation among country groups according to the level of portfolio performance, thus providing disaggregated results that are not dominated by countries with either exceptional or very poor performance and sustainability records.

The findings, as seen in the following sections, are for the most part consistent with those reported in the 1994 Annual Review. They are used to highlight the likely impact on portfolio outcomes of potential improvements in Bank and borrower performance and countries' economic environments.

Key findings at the project level

At project level, the 1994 econometric analyses concluded that borrower performance had the greatest impact on project results. Poor borrower performance generally translates into uncertain or unlikely sustainability, and limited institutional development. In particular, borrower performance during implementation and compliance with loan covenants exert a major impact on project outcomes.

The next most influential determinant of outcomes is how well the Bank itself does its job. Bank performance generally has a major effect on outcomes, a significant effect on sustainability, and a moderate effect on the degree of institutional development. In particular, sound appraisal as well as strong supervision are key Bank performance factors. While economic instability and governance factors have statistically significant adverse effects on project performance, their effects can be mitigated at the project level by high-quality appraisal and strong supervision.

High-quality appraisal and strong supervision can help offset the effects of economic instability

Lessons from performance outliers

Of the 356 operations evaluated in 1995, OED assessed 16 (5 percent) as outstanding and eight (2 percent) as poor. Table 3.1 lists the projects. The 16 outstanding operations all had a highly satisfactory outcome, likely sustainability, and substantial institutional development impact. In addition, they either

TABLE 3.1: OUTSTANDING AND POOR OPERATIONS IN THE 1995 EVALUATION SET

Country	Operation	Loan/credit
<i>Outstanding</i>		
Argentina	Social Sector Management Technical Assistance	L2984
Argentina	Public Enterprise Reform and Adjustment	L3291
Belize	Poor Development	L2749
Benin	Borgou Province Rural Development 2	C1877
China	Agricultural Research 2	C1516
El Salvador	SAL 1	L3293
Indonesia	Gas Distribution	L2690
Indonesia	BRI/REPEDES Small Credit	L2800
Maldives	Male Airport Upgrading	C2143
Mexico	Road Transport and Telecommunications	L3207
Moldova	Emergency Drought Recovery	L3569
Pakistan	Telecommunications 5	L2743
Peru	Trade Policy Reform	L3437
Peru	SAL	L3452
Thailand	Bangkok Oil Refinery Restructuring	L2548
Thailand	Power Transmission	L2915
<i>Poor</i>		
Argentina	Housing Sector	L2997
Cameroon	Highway 6	L2584
Central African Rep.	SAL 3	C2162
Kenya	Highway Sector 2	L2409
Somalia	Agricultural Enterprise Development	C1794
Togo	Private Enterprise Development	C1843
Yugoslavia	Power Transmission 3	L2338
Zaire	Gecamines Technical Assistance 2	C2051

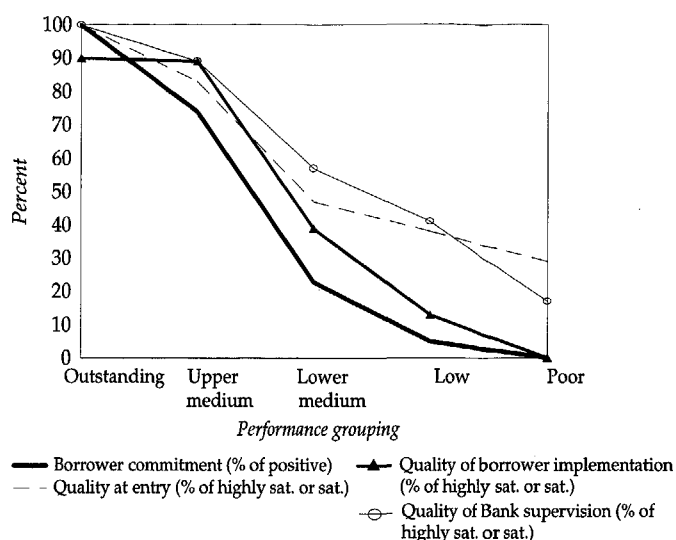
*All 16
outstanding
operations
featured
strong
borrower
ownership,
good quality
at entry,
and solid
supervision*

exceeded their major goals, had highly innovative designs, and/or were replicable in other countries or sectors. The eight poor operations, in contrast, were rated at the lowest level of all these criteria.

As Figure 3.1 shows, all outstanding projects featured strong borrower ownership and commitment. All enjoyed highly satisfactory or satisfactory quality at entry and all were well supervised. Such ratings applied to only 25 and 13 percent of the poorly performing projects, respectively. Good supervision translated into flexibility in response to changing conditions and/or new demands. Some projects with complex designs did succeed as a result of extensive and effective Bank staff involvement and judicious technical assistance.

The importance of borrower ownership, skillful Bank identification, and attentive supervision is illustrated by Argentina's Public Enterprise Reform and Adjustment Loan. This was the first of several Bank adjustment loans that helped Argentina restructure its economy. The loan's major objectives, which were largely achieved and in many cases exceeded, were to help Argentina restructure and privatize public enterprises in telecommunications, railroads, and hydrocarbons. The loan entailed high risks, not only because of the severe macroeconomic crisis, but also because Argentina had a history of unfulfilled reform commitments. However, the government showed its commitment to reform by privatizing the state telecommunications utility before loan approval.

FIGURE 3.1: PERCENTAGE DISTRIBUTION OF SELECTED PERFORMANCE DETERMINANTS, BY PERFORMANCE GROUPINGS, 1995 EVALUATION COHORT



Source: Annex Table 1.16.

Further developments demonstrated that speedy and effective reforms are possible when a country fully "owns" the reform. This sweeping level of reform required substantial technical advice and consulting resources. The Bank responded appropriately by investing a much higher than average amount of staff resources.

Borrower ownership was also a critical factor in a successful reform program in Peru. In 1991 the Bank's executive board approved a new policy of additional support for workout programs in countries with protracted arrears. The program required four conditions to be met: (1) an IMF-supported stabilization program; (2) an external financing plan; (3) a Bank-supported adjustment program; and (4) continued payment of current debt service to the Bank. Peru's program under this policy included a trade adjustment loan and a structural adjustment loan, both of which had highly satisfactory outcomes. Thanks to determined and sustained government action in all critical areas, the stabilization program brought hyperinflation under control. The improvement in fiscal accounts was especially noteworthy. The supply response to the government's program was impressive, with growth rates in the 10 percent range.

The eight poor operations reflect the risk patterns described in Chapter 1. Six were in the Africa region. Again, lack of borrower ownership was paramount, as well as problems with Bank performance. For example, a private enterprise development project in Togo faced difficulties in nurturing demand for the line of credit component while relying on a new, untested promotion mechanism and complex administrative arrangements. The government never fully endorsed the project concept; commercial banks lacked interest in the line of credit; there was competition from other financing schemes; and various managerial and institutional problems were left unattended. In parallel, the economic environment deteriorated.

At the country level, appraisal and supervision ratings and macroeconomic performance are strongly linked to portfolio performance

Key findings at the country level

Portfolio performance: outcome

Among the variables tested, appraisal and supervision ratings and short- and long-term macroeconomic performance were significant factors associated with the performance outcome of an entire portfolio. The coefficient on the macroeconomic performance rating is estimated to be between 0.13 and 0.15, so that the "average" impact of a unit increase in this index is to increase portfolio performance by 13 to 15 percentage points. Other things being equal, if Zaire, the country with the poorest performance record (1.686), mimicked the country with the best macroeconomic performance record (Korea with 4.95), its portfolio performance would improve nearly 50 percentage points (from 11 percent to 60 percent satisfactory). Table 1.1 (Chapter 1) shows country rankings in terms of economic and portfolio performance.

Portfolio performance: sustainability

Portfolio sustainability behaves in line with portfolio outcome. Macroeconomic performance, appraisal, and supervision are strongly and positively linked to better odds of portfolio sustainability. The impact of good macroeconomic performance and better appraisal is especially marked. The estimates suggest that an increase in one unit in the macroeconomic performance index would improve portfolio performance by 19 to 24 percentage points. Continuing the above example, a Korean type macroeconomic environment would raise Zaire's portfolio performance, from 62 to 78 percent likely sustainable.

Country groupings

The results summarized in the two preceding paragraphs hold for all countries on average. A special regression technique (quantile regression) makes it possible to differentiate the results by groups of countries according to their portfolio performance. An improvement in the economic environment has the greatest impact on portfolio outcome in countries whose past performance has been low to median. The impact of quality of project identification and appraisal on portfolio outcome also tends to be the strongest in below-median countries, while the quality of Bank supervision tends to have the highest impact in above-median countries. The quality of economic management tends to matter most in countries with low sustainability of their project portfolio in the past.

Governance factors also have some influence on portfolio outcome and sustainability. The impact of improved governance, similar to that of improved economic management, tends to be strongest in countries with a historically low portfolio performance record.

Econometric tests

The econometric models were also used to test the sensitivity of portfolio performance with regard to changes in the key determinants that are under management control. When interpreting the results, one has to keep in mind that the project sample is made up of projects evaluated by OED during 1991–94/95. No link is established with ARPP ratings on the current portfolio. Thus, the underlying behavioral parameters are heavily influenced by project design factors and developments prevalent in the mid-1980s, when the bulk of the sample projects were approved.

The project performance determinants under direct Bank control are quality at entry (project identification and appraisal) and quality of supervision. In the project sample used for the econometric analyses, the average rating for identification was 90 percent satisfactory for all projects taken together, for appraisal 70 percent, and for quality of supervision 78 percent. For projects with unsatisfactory outcomes, the respective ratings were 70, 63, and 68 percent. These latter ratings are important to keep in mind as they constrain the effectiveness of possible improvements in Bank performance. Since Bank performance at identification was rated very highly in the past, there is not much scope for improvement. However, if the quality of appraisal were to improve to the 90–95 percent satisfactory mark, the expected project outcome would be likely to improve by about 4 percentage points. Improvements in the quality of supervision are likely to have an even higher return. Raising the quality of supervision to the 90–95 percent satisfactory level would raise the expected project outcome by about 6 percentage points.

Borrower performance (implementation and—to a lesser degree—compliance with loan covenants) was found to be even more important for project outcome. However, the Bank can only indirectly influence borrower performance, for example, through use of remedies like suspension or cancellation, and through greater selectivity in country assistance strategies (use of instruments, scope of lending). In the project sample used for the econometric analyses, the ratings for implementation and compliance with covenants were on average 65 and 58 percent satisfactory. Given the Bank's limited influence on borrower behavior, it does not seem to be realistic to aim at the same level of performance as for the determinants under the Bank's direct control. Raising borrower implementation to 80 percent satisfactory would improve the likely project outcome by about 6 percentage points.²

It should be noted that the responses to improvements in the different aspects of Bank and borrower performance are not fully additive. The combined increase in the likely outcome rating as a response to improved Bank appraisal and supervision (up to the 90–95 percent level) and borrower implementation (up to the 80 percent level) would be expected to be on the order of 12 (rather than 16) percentage points. Starting at the current Bankwide outcome rating of 68 percent satisfactory, one would expect to reach about 80 percent—subject, however, to the caveats spelled out in the above section on country groupings. The sensitivity tests suggest that the improvements could be expected as a result of joint and determined efforts by the Bank and borrowers. However, given the nature of the underlying models, the time dimension—how long it would take to materialize—is not captured.

While acknowledging the illustrative character of the above sensitivity tests, it is clear that Bank performance matters a great deal in determining project outcomes. Hence, current efforts to improve portfolio management and quality at entry (see Box 3.1) are of high priority. On the other hand, the degree to which portfolio performance can be expected to respond to these initiatives depends a great deal on initial portfolio conditions. Therefore, OED developed a conditional probability model, which is described below.

A conditional probability model

The conditional probability model links ARPP information on the status of ongoing operations and OED information for closed operations. The conditional probability approach³ uses past relationships⁴ between OED outcome rat-

A significant improvement in the quality of supervision alone would have a marked impact on overall portfolio performance

BOX 3.1: MANAGEMENT ACTION TO PROMOTE QUALITY IN OPERATIONS

The Quality Assurance Group (QAG) was created in February 1996 as part of a Bankwide effort to achieve high-quality results on the ground. QAG's role is to help create an enabling environment for consistently high Bank performance by enhancing accountability and promoting systemic change. QAG addresses accountability by providing line managers with independent assessments of the quality of Bank work. These assessments are carried out by customized panels involving senior Bank staff and experienced and respected non-Bank staff from other aid agencies, nongovernmental organizations, and elsewhere. Findings from these assessments provide QAG with a better understanding of what factors determine operational quality. QAG then uses these findings to initiate changes in Bank policies, programs, and processes. Some of the activities QAG designs to promote systemic change are carried out in cooperation with the Bank's Learning and Leadership Center, by the Operations Policy Department, and others.

QAG is initially focusing on the quality of the portfolio through the Portfolio Improvement Program (PIP), an effort aimed at promoting early and substantial improvement in the performance of the Bank's portfolio. The PIP targets management's attention on projects, sectors, and countries with the most severe performance problems and where intensified attention can be expected to have a high payoff. QAG's core work program focuses on the Quality Assessment Program, a program that separately assesses three dimensions of the Bank's operations—quality at entry into the portfolio, quality in supervision, and quality in economic and sector work. Actions taken as a result of both programs will become building blocks for a system of checks and balances to underpin the move to decentralized decisionmaking in the Bank's operational work. To reinforce these actions, managers and staff are being held more accountable for results than in the past—to promote a culture that emphasizes development effectiveness in terms of results on the ground rather than board approval of projects. Over time, these actions are expected to make a significant difference in overall portfolio performance—from the current plateau of about 70 percent of projects rated satisfactory to a target of 80 percent or better.

Source: QAG.

ings and a select group of project/country conditions—the risk factors—to project the likely outcome ratings for active projects conditional on the same risk factors. The conditioning factors in the model are project age, ARPP risk status, and country economic performance characteristics. Regarding ARPP status, the model uses the "projects at risk" indicator. Regarding country factors, the model uses the IDA/IBRD general performance index, which combines country performance in terms of both short- and long-term economic policies with efforts to improve income distribution and poverty alleviation.

The concept of "project at risk," pioneered by the Quality Assurance Group, was recently introduced in the ARPP assessment of the health of the ongoing portfolio. It classifies projects as facing either actual problems (that is, projects rated unsatisfactory in supervision reports either on grounds of implementation progress or likely achievement of development objectives) or potential problems (presenting three or more of 12 different performance shortcomings that have been shown to correlate with unsatisfactory outcomes).⁵ In the active portfolio as of June 30, 1996, slightly less than one-third of projects, representing

about 30 percent of commitments, were classified as “projects at risk.” The concepts of both actual and potential risk problems are reasonably good predictors of actual outcome as rated by OED after completion: project classifications of actual risk for projects during FY86-94 had OED outcome ratings of about 29 percent satisfactory on average; classifications of potential risk had OED ratings of about 54 percent satisfactory, while problem-free classifications were found to be satisfactory in about 82 percent of the cases.

It must be emphasized that—based on historical probabilities—projects classified as actual problem projects (about 20 percent of projects in the current portfolio) are not all likely to fail; they still have almost a 30 percent chance of achieving a satisfactory outcome. At the other extreme, the projects classified as not at risk (about 68 percent of the ongoing portfolio)—again based on historical probabilities—are not likely to be all success stories; they are expected to turn out satisfactory only in about 80 percent of cases. The projects facing potential problems are in-between. Since even the projects classified as being not at risk have only an 80 percent probability on average of a satisfactory outcome at completion, a reduction of the share of projects at risk in the current portfolio does not translate into an equivalent increment in the final success rate.

The conditional probability model captures or proxies the most important behavioral variables. The country economic environment is explicitly taken into account in the country groupings derived from the Bank’s performance index, while Bank and borrower process performance is reflected in the risk status by project age groups. Quality at entry is reflected in the risk attributed to young projects, while the quality of implementation (Bank supervision, borrower implementation, and compliance with covenants) is reflected in changing probabilities with project age. The dynamics of learning from experience and the resulting progressive improvements in Bank and borrower performance are captured by the weighting of observed outcome probabilities, with the most recent observations weighted more heavily than the earlier observations.

The conditional probability model was used to establish a baseline or status-quo forecast and to test the sensitivity of portfolio outcome to the kinds of management actions that are currently being implemented or under consideration. Applying the model to the portfolio active in FY96 comprising 1,752 projects, with their given age structure and risk status, as well as their location in countries with different quality of economic management and without considering measures of portfolio improvement, suggests that the expected outcome remains close to the current level, with about 68 percent of projects rated satisfactory.

The sensitivity tests simulate three sets of actions:

- *Greater country selectivity.* Building on the ongoing portfolio improvement program, 25 countries were identified by QAG as having particularly difficult implementation environments (economic management, past portfolio performance). It is assumed that new lending to this group of countries would be reduced to about half, while other countries (with better management) would absorb the lending resources thus released.
- *Proactive portfolio management.* To simulate increased proactivity in portfolio management, it is assumed that one-half of the young projects facing actual problems would be canceled, and the other half restructured; for mature projects, it is assumed that one-quarter would be canceled and one-quarter restructured. Restructured projects would move to the low risk category within their respective age groups. In addition, it is assumed that as a result

The review tested sensitivity of portfolio outcome to greater country selectivity, proactive portfolio management, and better quality at entry

Modeling suggests that with strong Bank actions, by 2002, portfolio performance would plateau around the 80 percent satisfactory mark

of proactive management, the remaining number of projects at risk would be reduced by 20 percent.

- *Improved quality at entry.* It is assumed that Bank appraisal would improve to reach a level of 90–95 percent satisfactory. This assumption is translated for the model to mean that new projects enter the portfolio in the low risk category. As they age, the model assumes that new projects move into less favorable risk categories, although on a decreasing basis. Starting in the year 2000, all new projects are assumed to stay in the low risk category throughout their life as a reflection of an all-out effort to improve quality at entry.

The combined impact of the above measures would build up over time as the portfolio is progressively “rejuvenated” and eventually completely renewed, which is assumed to happen by the year 2004. A new plateau around the 80 percent satisfactory mark, up from the current 68 percent, would be approached by 2002, with marked improvements setting in by the year 2000. The expected path of portfolio performance reveals that the greatest boost is likely to come from improved quality at entry and the commensurate improved behavior of projects through completion. This, however, takes time, as the annual increments are only in the order of 250 projects and past decisions and behavioral patterns weigh heavily on the existing portfolio.

The assumption that all new projects entering the portfolio in the year 2000 and beyond would stay in the low risk category is heroic. This would require a leap to a new Bank assistance paradigm. This paradigm would be shaped by the overarching goal of poverty reduction through environmentally and financially sustainable growth, and pursued through assistance strategies that would “do the right things” in addition to “doing things right.” Specifically, the following changes would be required:

- a highly selective country assistance approach based on Bank-country compacts, with lending extended only to countries that are fully committed to development and good governance, with reasonably good economic performance and transparent governance. The performers that do less well would benefit mostly from nonlending services, TA (mainly financed on a grant basis from the Institutional Development Facility or trust funds), and Economic Development Institute (EDI)-based capacity-building efforts directed at the improvement of country environment and performance. This process would have to start with more rigorous CASs with clearly specified monitorable objectives, bolder strategies, explicit management of risk (without avoiding high risks if they promise potentially high rewards), and closer coordination among donors to ensure the desired impact on the countries;
- major cancellations of problem-ridden projects, at least one-fifth (possibly up to one-third) of today’s portfolio in terms of projects and commitments. This obviously would result in a sharp short-term deterioration of portfolio outcome ratings as such canceled projects are automatically rated unsatisfactory;
- much improved quality at entry following the recommendations of the various reports on quality of project analysis;
- introduction of new-type projects based on rigorous economic, social, and environmental analysis and reaching out to beneficiaries and other stakeholders so as to strive for optimum design and results;
- piloting of new-type projects and systematic learning from experience before going to large-scale replications. This would be important not only for new-

type projects with ambitious institutional development objectives for a sustainable long-term impact, but also for new Bank member countries, particularly in ECA, and long-time clients with difficult environments and extraordinary challenges, particularly in Africa; and

- much improved project management and supervision based on meaningful and realistic monitoring and evaluation systems, with a more flexible adaptation to changing circumstances, so as to fully realize the potential of Bank interventions.

The preceding change agenda is exceptionally demanding and possibly disruptive, and it goes far beyond the scope of the Portfolio Improvement Program (PIP) activities as currently envisaged.⁶ It is also politically difficult to implement. The Bank's client countries, particularly the IDA beneficiaries, have been accustomed to sustained Bank presence and to a pattern of business relations that may be hard to break. Mutual expectations and relationships would need to be changed with clear understandings of country commitments and modulated Bank responses of financial and nonfinancial support. All clients would have to understand that the programs and the money at stake are theirs and not the Bank's and that projects would ultimately have to increase a country's debt-servicing capacity, while also meeting the ultimate goal of poverty reduction.

Conclusions and outlook

The combined impact of the above measures would build up over time as the portfolio is progressively "rejuvenated" and eventually completely renewed. The process would not be complete until the year 2004. A new plateau around the 80 percent satisfactory mark—up from the present 68 percent—would be reached.

Such a scenario would only materialize through fundamental changes in business practices combined with explicit risk management processes. Historically shaped behaviors in the Bank and in client countries are major factors of portfolio performance. Unless operational managers are rewarded and penalized in line with the operational performance of their units, limited progress will be achieved.

Given the rapid changes taking place in the development scene (rising private flows; growing popular expectations; repositioning of the state; tight fiscal situations; more demanding development priorities; and so forth), investment projects need to be restructured more often than in the past. This is why proactive portfolio management must be combined with more innovative and responsive lending products and greater reliance on on-lending services as a judicious complement to traditional lending services.

Institutional development and policy reform are crucial to improved portfolio outcomes and the Bank's comparative advantage has gradually shifted away from micro to macro interventions, thus requiring new partnerships for achieving results on the ground. More than ever, the Bank, its borrowers, and its partners share responsibility for portfolio outcomes. Therefore, what is involved in the heroic scenario modeled above is a leap to a new Bank assistance paradigm, which would give a far greater role to borrowers and partners while, at the same time, continuing to strengthen the Bank's own quality assurance system. The impact of such a change agenda would be highly rewarding.

Fundamental changes in business practices, along with sound risk management, are needed for such a scenario to materialize

Strong foundations for managing developmental risk are being laid, but the benefits will take time to emerge

The benefits would not materialize immediately for three main reasons. First, the secular upward trend in the complexity, riskiness, and demandingness of Bank operations has yet to be broken and will, for some time, continue to counteract many of the gains being secured through portfolio management improvements. Second, the increased risks recently incurred through substantial lending to new members with deep-seated economic problems and weak implementation capacities, mainly in ECA, have begun to exert a drag on annual performance outturns. Third, the necessary resort to cancellation of highly problematic projects is bound to lead to a short-run increase in the number of unsatisfactory outcomes.

In an increasingly volatile implementation environment, the very nature of the Bank's main lending product—the slow gestation, slow disbursement investment project—leads to “path dependence” in portfolio outcomes. Past decisions and contractual relations weigh heavily on the existing portfolio. The implications for quality management are fundamental. Unless the development risks of individual operations are explicitly identified upfront and unless well-defined protocols are set to limit, monitor, and manage development risk exposure at the country and sector level, the incentive structure within which operational managers operate will continue to be dominated by ambitious policy frameworks and by the imperative to step in where others fear to tread—with the inevitable reckoning taking place several years later.

Thus, for the “approval culture” to yield fully to the emerging “implementation culture,” the risk/reward equation needs to be made more transparent. Fortunately, sound foundations for development risk management are being laid by management. Results on the ground through learning and self-evaluation have been set as fundamental objectives of the new professional networks. Training programs to enhance the quality of operational management and the skills required to ensure quality at entry and to improve supervision are being implemented. Building on OED and Operations Policy Department work, the Quality Assurance Group is forging diagnostic tools that will facilitate timely remedial restructuring actions by country and sector portfolio managers.

Notes

1. Complete findings and a full description of the methodology used can be found in OED 1995.
2. Raising compliance with covenants up to 80 percent satisfactory would result in an improvement of about 1.5 percentage points.
3. For a detailed description of the model and the underlying assumptions see Annex 2.
4. To adapt the model to the progressive changes of project behavior as a result of improved portfolio management, the observed relationships in the past are weighted so as to give the most recent observations a higher weight than the earlier ones.
5. The concept has been undergoing some changes since the beginning of the initiative. At the end of October 1996, the shortcomings were defined as follows: (1) more than nine months between effectiveness and board approval (for adjustment and emergency operations: three months); (2) disbursement delays of 24 months for investment and 12 months for adjustment operations; (3) classification as a problem project during two or more consecutive years at any time during implementation, with the flag being turned off (or restarted) for restructured projects; (4) noncompliance with covenants; (5) constraints on counterpart funding; (6) project management problems; (7) procurement problems; (8) financial performance problems; (9) location in a country with poor portfolio performance during the last five years (less than 50 percent of projects or 33 percent of commitments with satisfactory OED outcome rating); (10) an additional country flag focuses on economic performance as measured by a Bank internal index on a scale of 1 to 5, with a three-year average of less than 3 considered critical; (11) using a historically poorly performing

lending instrument (less than 67 percent of commitments with satisfactory outcome rating during the past five years); and (12) a flag for environmental/resettlement issues.

6. The actions also go far beyond the forecasting capability of the conditional probability model. As emphasized before, the model is built upon historically observed outcome probabilities. Although the model is adaptive in giving higher weights to the most recent than to earlier observations, the actions stipulated above would result in marked changes of these probabilities (for which there is no historical evidence).

4. Concluding observations and implications

Progress is being made, but the current plateau of satisfactory operations is not good enough

As stated by the World Bank's 1996 Annual Report, "Increasing development effectiveness is the absolute priority of today's World Bank. For only by increasing the effectiveness of what the Bank does can its goals—reducing poverty and fostering sustainable development—be met."

Review of the performance of the Bank's 1995 cohort and the longer-term performance trends finds that progress is being made and some recent trends are encouraging, but the 70 percent plateau of operations reaching satisfactory outcomes is not good enough. The lessons of experience are clear. The Bank must do a better job at risk management. Certainly in light of the Bank's responsibilities as a development institution, its job is not to avoid risk. It must work with countries facing political and economic instability and with countries where government commitment is not as strong as might be desired. Its job is, however, to apply the lessons learned and to use the tools at its disposal to help better manage that risk.

Borrower performance

Borrower performance matters. There is a close relationship between government commitment to operational goals and observed outcomes. Evaluation has established that ownership depends on four factors: locus of the initiative, level of conviction among policy makers, expression of political will by top leadership, and efforts towards consensus building among various constituencies. Borrower ownership must be nurtured. It does not just happen. Capacity building is critical. In this respect, it is important to note that the Bank's freestanding lending for technical assistance has had a poor longer-term record and dismal performance in the 1995 cohort.

Bank performance

Bank performance matters:

- Outstanding projects show effective monitoring and flexible Bank adaptation to changing conditions.
- Quality at entry is central. The Bank's weakest area of performance in relation to the 1995 cohort is in appraisal where, in particular, greater realism is needed. Longer-term trend analysis suggests that performance at appraisal is on an upward trend.
- Bankwide performance in supervision at best is stagnant at too low a level and may even be on a slight downward trend. Closer analysis indicates large

performance variance across regions. In particular, the AFR and MNA regions' longer-term performance in supervision raises concern. The concern is not merely historical; the results of the 1996 ARPP indicate that these two regions have high proportions of projects at risk in the active portfolio. Supervision in these two regions needs special focus. The Bank currently puts a substantial portion of its resources into supervision. Projects have become more demanding, complex, and risky over time. But cancellations are high and major time overruns frequent.

Risk and reward

Individual projects are not at equal risk or likely to carry equal reward if all goes well. Risk varies by region, country, sector, lending instrument, project size, and other project characteristics. The Bank needs to reduce the 30 percent of projects that were found—based on past records—to be in the high risk-low reward category. Projects' reward potential needs to be fully realized through greater management efforts by the Bank and the borrower. For example, repeater projects do better than average. Increases in the use of piloting for demanding and complex projects and changing the project cycle is indicated. Partnerships are particularly desirable in higher-risk situations.

Economic management

The country economic policy environment is a major determinant of portfolio performance. Projects do better in countries with good economic conditions. Even sectors that perform poorly on average, Bankwide, do better in these countries. Hence, policy matters. Accordingly, the relevance of Bank lending has come to be judged in terms of its consistency with country assistance strategies. In turn, these strategies are now driven by economic management fundamentals and thematic emphases—poverty reduction through higher, broad-based growth, human resource investment, private sector promotion, and environmentally sustainable development programs. It is critical that each country assistance strategy realistically assess the domestic capacities available to deliver results. Considering the overwhelming importance of country conditions, greater selectivity in the use of assistance instruments, including ESW and institution building, is likely to have a positive impact on overall portfolio performance.

Support for institutional development

To improve institutional development impact, operations in poorly performing countries, in particular, need to better address problems of public sector management, civil service reform, decentralization, deregulation, private sector development, and enhanced participation.

Selectivity

The findings call for different countries in different circumstances to be treated differently, according to their needs, and full assessment of risk with more rigorous risk management.

Strategies such as increased use of piloting can help reduce the number of high risk-low reward projects

The portfolio improvement challenge

The Bank's approach to improved portfolio risk management, which involves the classification of projects at risk, is promising. But it is difficult to overstate the challenge ahead. Model-based simulations of expected portfolio outcome in response to different courses of Bank management action suggest that improving the Bank's development effectiveness in terms of results on the ground is a formidable undertaking.

Because of the Bank's engagement in many risky countries, particularly in the ECA region, one can expect outcome ratings over the next few years to stay at the current plateau. Marked improvements can be expected from the renewal of the portfolio over the next eight years or so if (1) quality at entry and project implementation improve significantly; (2) lending is channeled more to countries with suitable environments in terms of economic policies and governance; and (3) the more problematic countries receive a higher dose of nonlending services. But to make a real break with the past, a quantum leap into a new Bank paradigm would be required. Such a change agenda would be demanding and sensitive, and it goes far beyond what is currently envisioned, including stricter selectivity in terms of countries and assistance instruments, extensive use of piloting, and more cancellations of substandard projects in the current portfolio. This effort would need to be backed up by Bank-country compacts that would clearly spell out a country's commitments to development and good governance and the Bank's modulated response through financial and nonfinancial assistance.

Implications for Bank policy

The lessons from this Annual Review yield several policy directions that should be adopted:

- In countries where the policy framework is distorted and the implementation environment is weak, advisory and capacity-building services should be preferred to lending.
- Given the poor performance of freestanding technical assistance loans and credits, the Bank should seek to develop strategic alliances with well-selected partners to help deliver effective capacity-building services in parallel with (or better still, ahead of) Bank loans and credits.
- Whenever risks are high, domestic capacities are weak, and/or borrower commitment needs to be nurtured, quality at entry should be enhanced by inducing borrowers and partners to learn from pilot operations, ahead of large-scale Bank lending.
- Development risk assessment, monitoring, and evaluation should be strengthened throughout the project cycle and used to inform country assistance strategy design and execution, with added emphasis on portfolio implementation issues in the country dialogue.
- The Annual Report on Portfolio Performance should continue to be upgraded for use by management and the board as a strategic risk management and oversight instrument.

*Lessons
from this re-
view suggest
policy
directions
for the Bank*

Implications for borrowers

While the Bank needs to manage better, along the lines sketched out in this report, it does not control all the levers. In such a change agenda, it is necessary for clients to understand that the programs and money at stake are their own and not the Bank's. And, as always, the success of Bank-supported interventions—be they programs, projects, or nonlending services—will ultimately depend on the client countries' commitment to development.

*Ultimately,
client
countries'
commitment
makes the
difference*

References

- Carvalho, Soniya, and Howard White. 1996. *Implementing Projects for the Poor: What has been Learned?* Washington, DC: World Bank.
- Demery, Lionel, and Lyn Squire. 1996. "Macroeconomic Adjustment and Poverty in Africa: An Emerging Picture." *World Bank Research Observer* 11 (1):39–59.
- Jayarajah, Carl, William Branson, and Binayak Sen. 1996. *Social Dimensions of Adjustment: World Bank Experience, 1980–93*. A World Bank Operations Evaluation Study. Washington, DC.
- Kjorven, Olav, and others. 1996. "The Impact of Environmental Assessment: Second Environmental Assessment Review of Projects Financed by the World Bank, July 1992–June 1995." Washington, DC: World Bank.
- Mason, Jocelyn, Johnson Dixon, and John Redwood III. 1994. *Making Development Sustainable: The World Bank Group and the Environment, Fiscal 1994*. Washington, DC: World Bank.
- Operations Evaluation Department (OED). 1995. "Econometric Analysis of the Determinants of Project Portfolio Performance and Sustainability." Washington, DC: World Bank.
- . 1996a. *1994 Evaluation Results*. Washington, DC: World Bank.
- . 1996b. "India—Water Supply and Wastewater Services in Bombay: First, Second and Third Bombay Water Supply and Sewerage Projects." Report No. 15849. Washington, DC: World Bank.
- . 1996c. "Kenya—Development of Housing, Water Supply and Sanitation in Nairobi." Report No. 15586. Washington, DC: World Bank.
- . 1996d. "Poverty Assessments: A Progress Review." Report No. 15881. Washington, DC: World Bank.
- . 1996e. *Technical Assistance. Lessons & Practices No. 7*. May. Washington, DC: World Bank.
- . 1996f. "The World Bank's Experience with Large Dams: An Overview of Impacts." White Cover Report. Washington, DC: World Bank.
- Picciotto, Robert, and Rachel Weaving. 1994. "A New Project Cycle for the World Bank?" *Finance & Development*. December.
- World Bank. 1990. *World Development Report 1990: Poverty*. Washington, DC.
- . 1991. *Assistance Strategies to Reduce Poverty*. A World Bank Policy Paper. Washington, DC.

———. 1996a. "Partnership for Capacity Building in Africa: A Report of the Working Party on the Impact of Bank Policies, Instruments and Operational Practices on Capacity Building in Africa." August. Washington, DC.

———. 1996b. *Summary of Poverty Reduction and the World Bank: Progress and Challenges in the 1990s*. Washington, DC.

———. 1996c. *Social Development and Results on the Ground*. Social Development Task Force Report. Washington, DC: World Bank.

———. 1996d. "Taking Action for Poverty Reduction in Sub-Saharan Africa: Report of the Africa Region Task Force." Washington, DC: World Bank.

———. Forthcoming. *Annual Report on Portfolio Performance: Fiscal 1996*. Washington, DC: World Bank.

World Bank Publications

Prices and credit terms vary from country to country. Consult your local distributor before placing an order.

ARGENTINA

Oficina del Libro Internacional
Av. Cordoba 1877
1120 Buenos Aires
Tel: (54 1) 815-8354
Fax: (54 1) 815-8156

AUSTRALIA, FIJI, PAPUA NEW GUINEA,

SOLOMON ISLANDS, VANUATU, AND

WESTERN SAMOA

D.A. Information Services
648 Whitehorse Road
Mitcham 3132
Victoria
Tel: (61 3) 9210 7777
Fax: (61 3) 9210 7788
E-mail: service@dadirect.com.au
URL: <http://www.dadirect.com.au>

AUSTRIA

Gardl and Co.
Wettburggasse 26
A-1011 Wien
Tel: (43 1) 512-47-31-0
Fax: (43 1) 512-47-31-29
URL: <http://www.gardl.co.at/online>

BANGLADESH

Micro Industries Development
Assistance Society (MIDAS)
House 5, Road 16
Dharmadip P/Arva
Dhaka 1209
Tel: (880 2) 326427
Fax: (880 2) 811188

BELGIUM

Jean De Lannoy
Av. du Roi 202
1060 Brussels
Tel: (32 2) 538-5169
Fax: (32 2) 538-0841

BRAZIL

Publicações Técnicas Internacionais Ltda.
Rua Peixoto Gomide, 209
01409 Sao Paulo, SP
Tel: (55 11) 259-6644
Fax: (55 11) 258-6990
E-mail: postmaster@pti.unl.br
URL: <http://www.unl.br>

CANADA

Renouf Publishing Co. Ltd.
5969 Carleton Road
Ottawa, Ontario K1J 9J3
Tel: (613) 745-2665
Fax: (613) 745-7660
E-mail: renouf@fox.nsn.ca
URL: <http://www.fox.nsn.ca/~renouf>

CHINA

China Financial & Economic
Publishing House
8, Da Fo Si Dong Jie
Beijing
Tel: (86 10) 6333-8257
Fax: (86 10) 6401-7365

HAITI

Culture Diffusion
5, Rue Capois
C.P. 257
Port-au-Prince
Tel: (509 1) 3 9260

INDONESIA

Infomedia Lda.
Carmara 6 No. 51-21
Aspirado Jeroo 34270
Sambale de Bogota, D.C.
Tel: (57 1) 285-2798
Fax: (57 1) 285-2798

IRELAND

Government Supplies Agency
O'Flaherty's
4-5 Harcourt Road
Dublin 2
Tel: (353 1) 661-3111
Fax: (353 1) 475-2670

ITALY

Licosa Commissionaria Sansoni SPA
Via Duca Di Calabria, 1/1
Casella Postale 552
50125 Firenze
Tel: (55) 845-415
Fax: (55) 941-257
E-mail: licosa@fibcc.it
URL: <http://www.fibcc.it/licosa>

JAPAN

Eastern Book Service
3-13 Hongo 3-chome, Bunkyo-ku
Tokyo 113
Tel: (81 3) 3818-0861
Fax: (81 3) 3818-0964
E-mail: sv-eds@ppb.bektoame.or.jp
URL: <http://www.bektoame.or.jp/~sv-eds>

KENYA

Africa Book Service (E.A.) Ltd.
Quarun House, Mwangi Street
Nairobi
P.O. Box 4245
Tel: (254 2) 223 641
Fax: (254 2) 330 272

KOREA, REPUBLIC OF

Daejeon Trading Co. Ltd.
P.O. Box 34, Yoida
706 Seoun Bldg
44-6 Yoido-Dong, Yeongcheong-Ku
Seoul
Tel: (82 2) 785-1631/4
Fax: (82 2) 784-0315

LIBERIA

Keala Sata Co. Publishers
Khaled Elsamli Ave.,
6th Street
Kushesh Delatroz No. 8
P.O. Box 15745-733
Tel: (82 21) 871781/9: 8716104
Fax: (82 21) 8717279
E-mail: keala-sata@media.net.lr

NETHERLANDS

Everest Media International Services (P) Ltd.
GPO Box 5443
Kalmar
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl

NETHERLANDS

De Lindeboom/In'Or-Publikaties
P.O. Box 202
7480 AE Haaksbergen
Tel: (31 53) 574-0004
Fax: (31 53) 574-9296
E-mail: info@netvision.nl



The World Bank

1818 H Street, N.W.
Washington, D.C. 20433, U.S.A.

Telephone: (202) 477-1234

Facsimile: (202) 477-6391

Telex: MCI 64145 WORLDBANK

MCI 248423 WORLDBANK

Cable Address: INTBAFRAD

WASHINGTONDC

World Wide Web: <http://www.worldbank.org/>

E-mail: books@worldbank.org

ISBN 0-8213-3898-6 [2-vol. set]



9 780821 338988